Marketing Compendium

Edition: 2023

A New Compendium for the brave new world of Marketing.

A Marketing Weekly Original

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500+ Latest concept examples:

Tesla, Godrej, Amul The Taste of India, Britannia Eat Healthy, Think Better, Flipkart

Tata, Ola, Apple, P&G, Microsoft

Pepsi, Unilever, Google, Colgate, Asian Paints, Vodafone, Aditya Birla Group, Airtel

Domino's Pizza, Nestlé, ITC Limited, Coca-Cola, Reliance Industries Limited, McDonald's, Ford, Mi, Amazon

OYO, Dabur, Nike, Reckitt, Philip Morris International, GSK, Marico, Netflix

About Marketing Weekly

At Marketing Weekly, we aspire to deliver unbiased analysis on the most recent and relevant topics in the realms of marketing and corporate strategy.

With each post, we aim to provide a fresh perspective on business by linking concepts to corporate actions, thus hoping to inspire our readers to critically examine brands and initiatives that shape their lives and the world around them.

We aim to grow the network of B-School students and aspirants who frequent the platform and provide them access to premium marketing content for preparatory and leisure reading.

Connect with Gunjan Solanki here on LinkedIn for any feedback.

To get all our future publications like Digital Marketing Compendium, Competition Playbook, etc.

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Notable Guides in the making of Compendium

1. **Gunjan Solanki** – Founder of Marketing Weekly | Marketing at a leading FMCG/Adhesive/Paint company.
2. **Hetal Patel** – A Digital marketing wizard | Product owner at a leading Fintech Company.
3. **Akshay Raman** – A Finance/Strategy Guru | VP at a Leading Fintech startup.
4. **Kalyani Kakaraparthi** – A resolute marketing Intellect | Marketing & Research in Fashion Industry.
5. **Sarbajit Biswas** – An indefatigable Strategist | Product Manager at a leading SaaS firm.
6. **Santosh Mishra** – An Eternal marketer & Optimist | Corporate strategy at a leading health startup.
7. **Pragati Nagpal** – A Dynamite of energy | Manager at a leading FMCG company.
8. **Sarthak Singh** – A fortress of Resilience | Consultant at a major IT company.
9. **Harsh Mankodi** – A Perseverant writer | Senior Consultant at a major MNC.
10. **Sukanya Dey** – A Penchant marketer | B2B Marketer at a leading technology company.

Also a Big Big thanks to everyone whose names I couldn't mention here, who have helped making this compendium a huge success.

Marketing Weekly will always be indebted to your genuine efforts.

About Compendium:

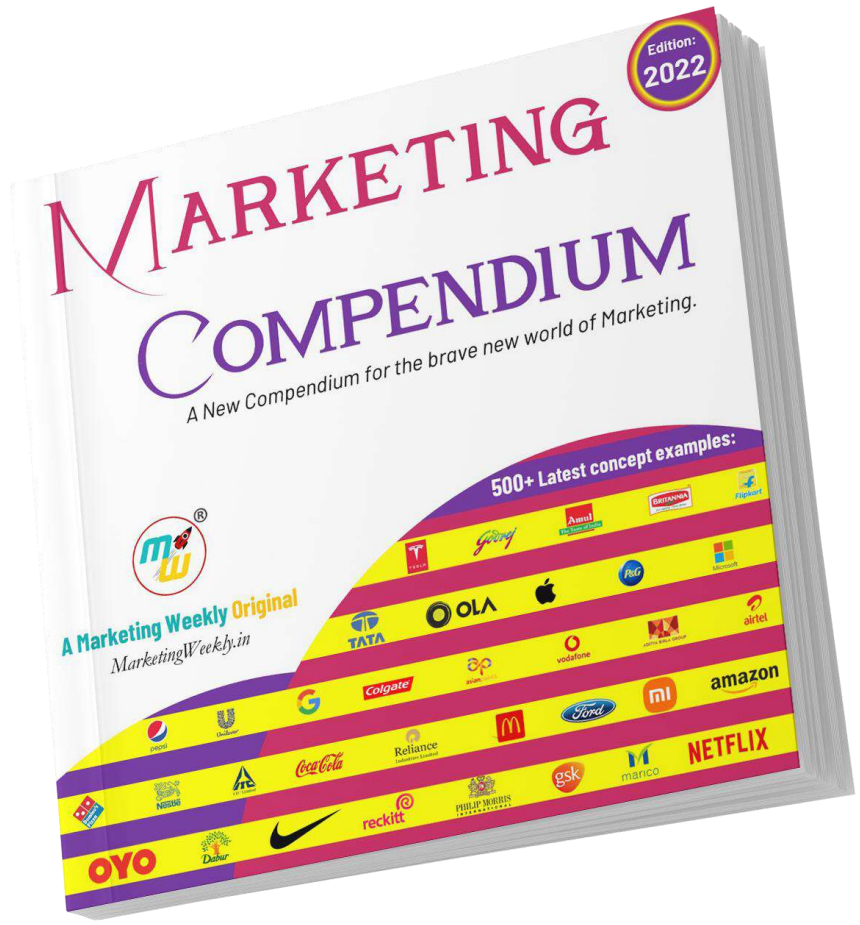
Marketing Compendium is **Free** literature.

We, at Marketing Weekly, aim at simplifying concepts of marketing with the latest examples.

Let there be light, feel entitled to forward this copy of the compendium to your friends.

Our Readers

- Management Students (MBA/BBA)
- Professionals
- Curious minds



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More learning modules from Marketing Weekly

Learn the fundamental of FMCG Sales

Unilever · Nestlé · Amul The Taste of India · asianpaints

pepsi · Godrej · ITC Limited · BRITANNIA Eat Healthy, Think Better · P&G · vodafone

Colgate · Dabur · airtel · Coca-Cola · marico

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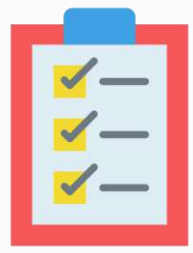
STP Check-list 

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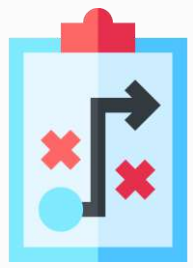
Flow Chart Of S&D 

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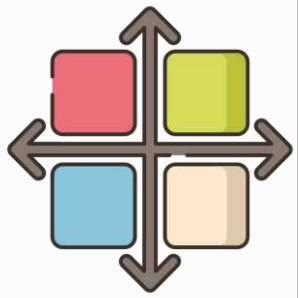

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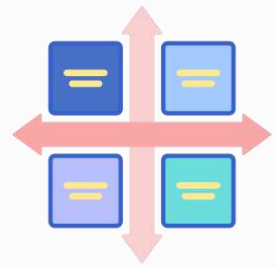

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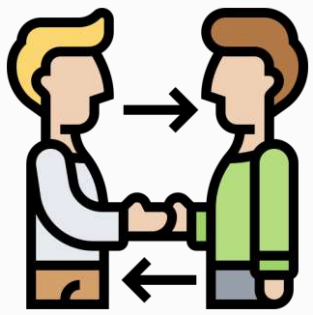

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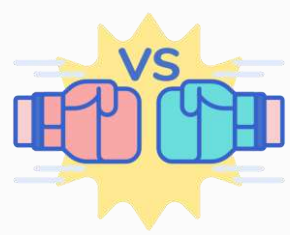

Brand Personality

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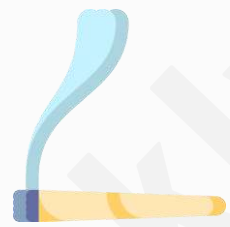

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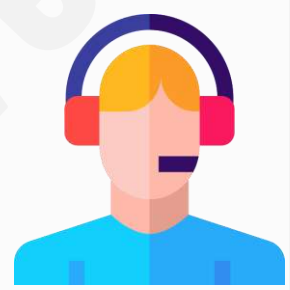

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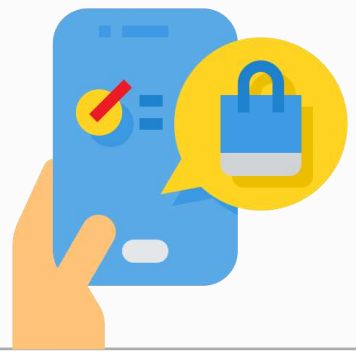

Further Readings:

Best Articles

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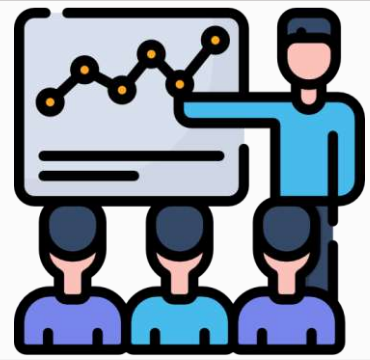
Miscellaneous reading:

Brand Audit

Psychology of Selling

Conditioning Techniques



Startup India 2022

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HOW
IDEAS
BRANDING
focus

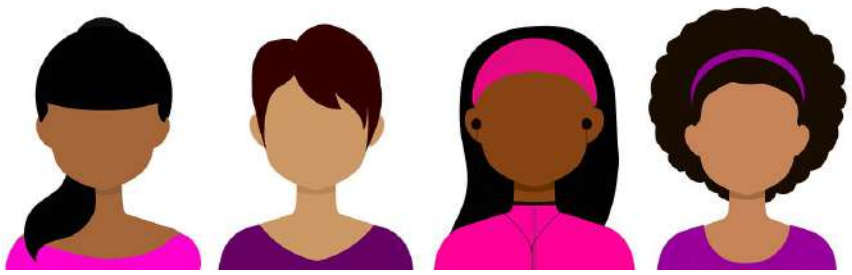
Introduction to MARKETING

Marketing is **meeting consumer demands profitably**. It starts by identifying a gap in the Market - something for which there is an inert need/want that isn't sufficiently met.

Marketing works its way from here to build a product or a service that meets those needs and wants.

Marketing covers broad areas ranging from finding the right Target Group (TG) to pricing and communication strategies.

For now, Understand that a **successful marketing execution brings prospects to you (it's a Pull strategy).**



A great example of identifying gaps in the Market is **Apple's iTunes**.
iTunes changed the music industry by making it possible for customers to own thousands of songs on one listening device at a reasonable price.

Prior to this, owning Music was costly and piracy had encompassed the Music Industry.

Introduction to Selling

Selling is a process of **convincing a prospect on buying your product** or service (**it's a push strategy**).

This could be done by the Salesperson at your door or your local shopkeeper or a luxury showroom salesperson or in the digital world, the eCommerce website nudging you to make a purchase.

A well-marketed product as against a poorly marketed product requires less effort in selling. **E.g., Nestle's Maggie compared to Jio's Snac Tac.**

For Instance, it is easier to sell an **HDFC** savings account than it is to sell an **IndusInd** bank account. You are more likely to receive a cold call from IndusInd explaining to you the benefits of opening an account with them.

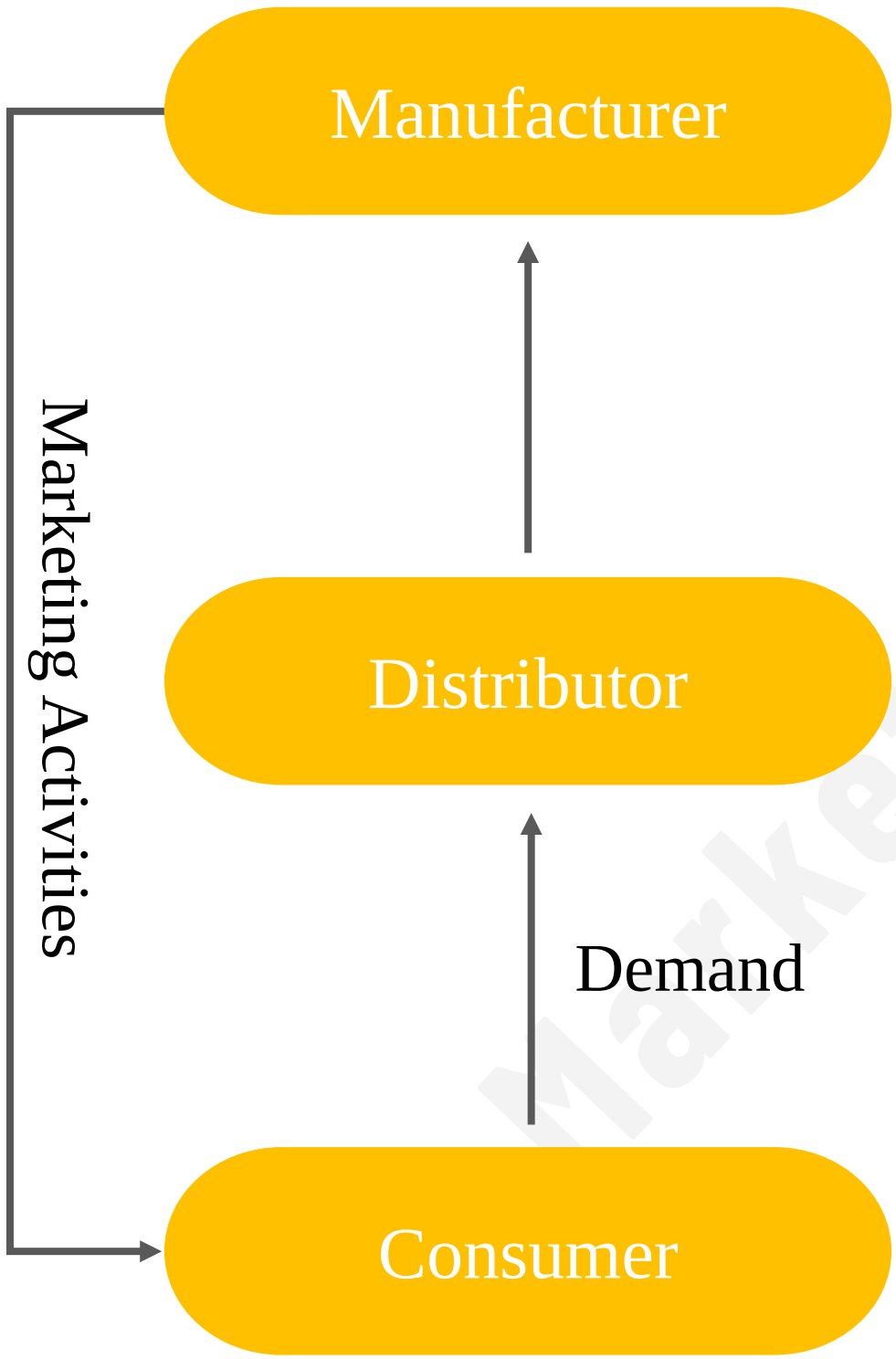
In certain Industries **where product and/or service differentiation is difficult to achieve, revenues are driven primarily by pushing products** to consumers.

For Instance, In Telecom product differentiation between **Airtel and Vodafone** is minimal. These companies focus on selling and strengthening regions of operation excellence and poaching customers.

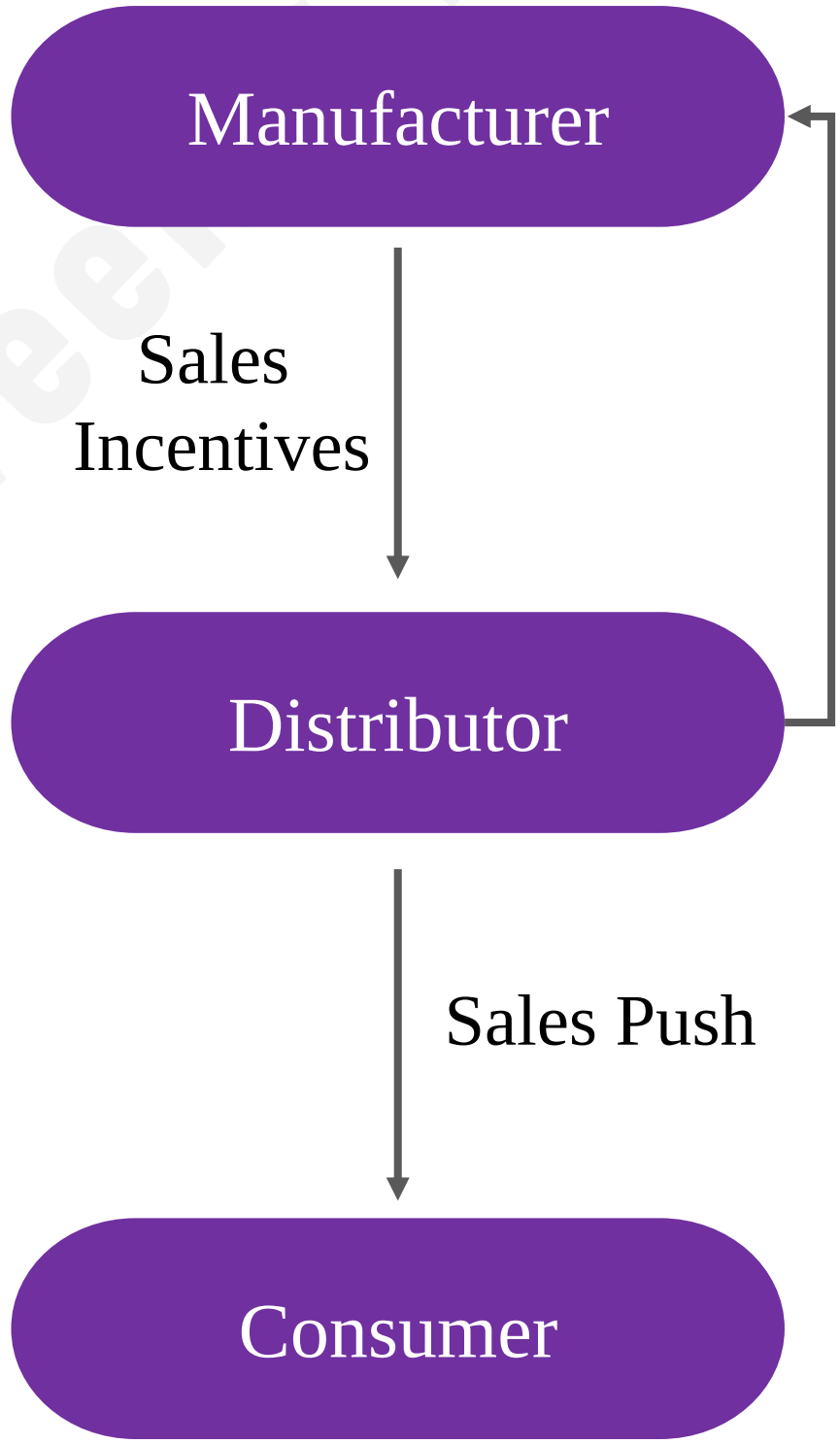
Insurance is also one such field where very companies are able to create differentiation, hence they rely heavily on push strategy.

Marketing Vs. Selling

Marketing Concept



Selling Concept



Marketing vs Selling: One view

Marketing	Selling
Pull Strategy	Push Strategy
Customer centric	Product centric
Revenue generated from providing right product to the right audience	Revenue generated from reaching out to as many consumers as possible
Focuses on increasing revenue by optimizing the processes	Focuses on increasing revenue by increasing the volume of sales
Long Term Planning	Short Term Planning

Interesting Case study on Sales: **the art of direct selling**

Marketing Mix: The Ps of Marketing

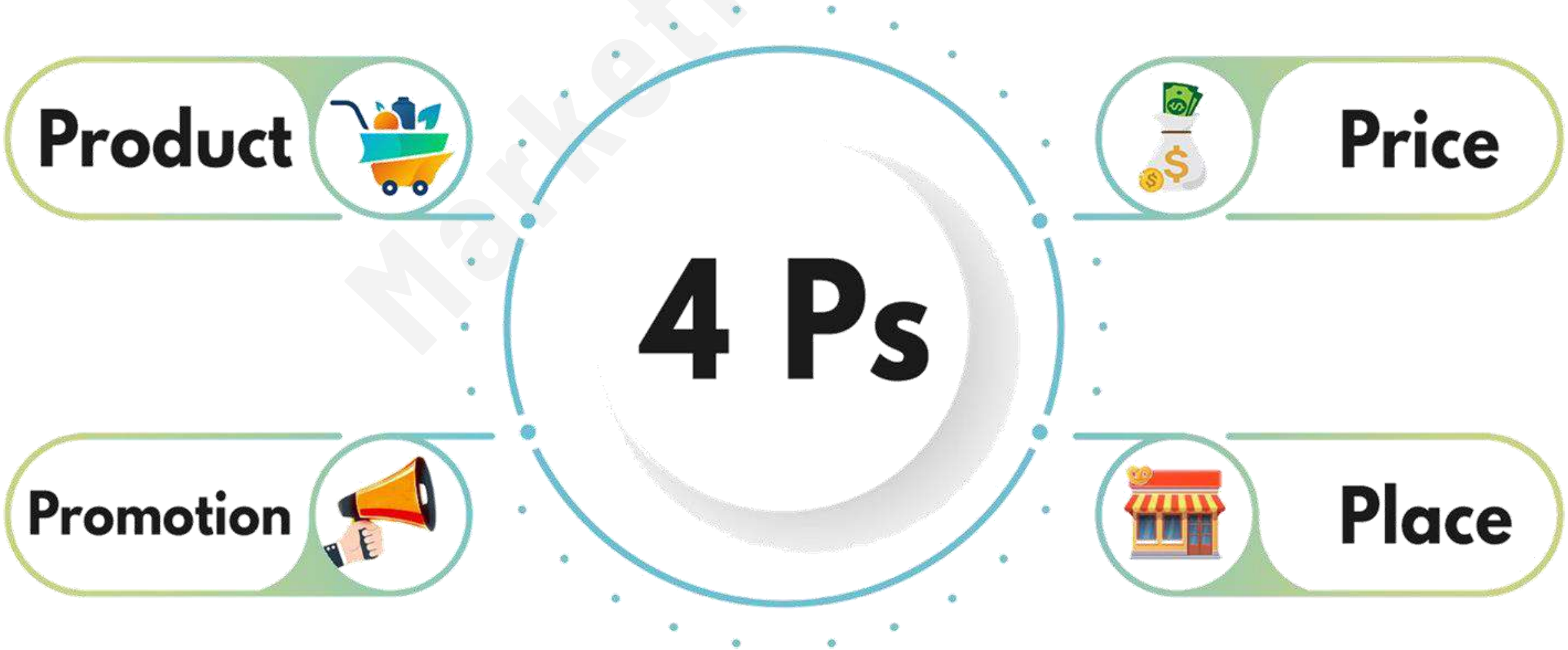
Do you know what makes a product/service **successful** in the market?

The first step is to get the Market Mix right!
The marketing mix is about putting the right product or a combination thereof in the right place, at the right time, and at the right price.

There are broadly 2 concepts in the marketing Mix: 4P & 7P.

4P:

E. Jerome McCarthy created the Marketing 4Ps in the 1960s. It stands relevant even today and is used by various companies for their GTM strategy.



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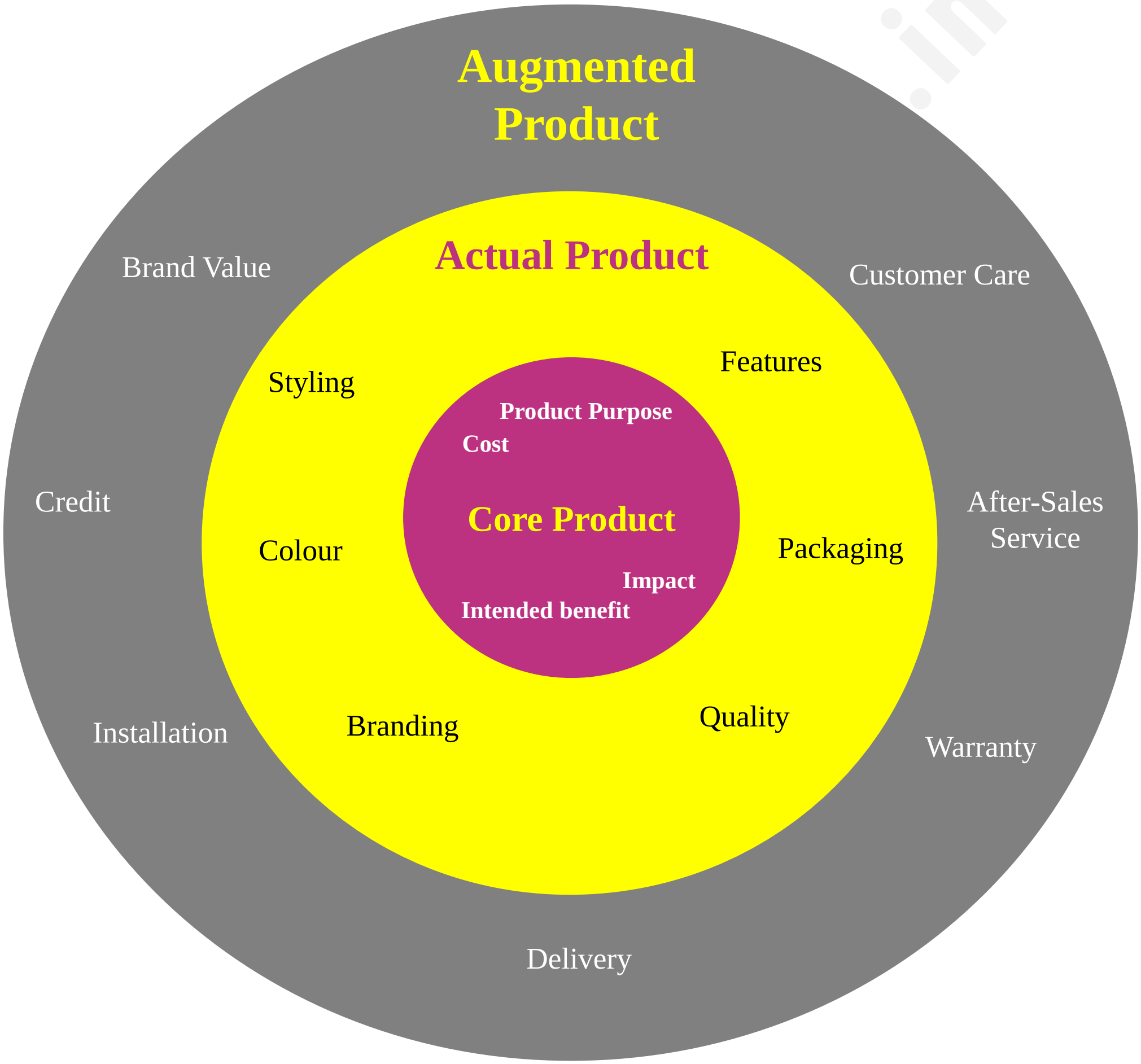
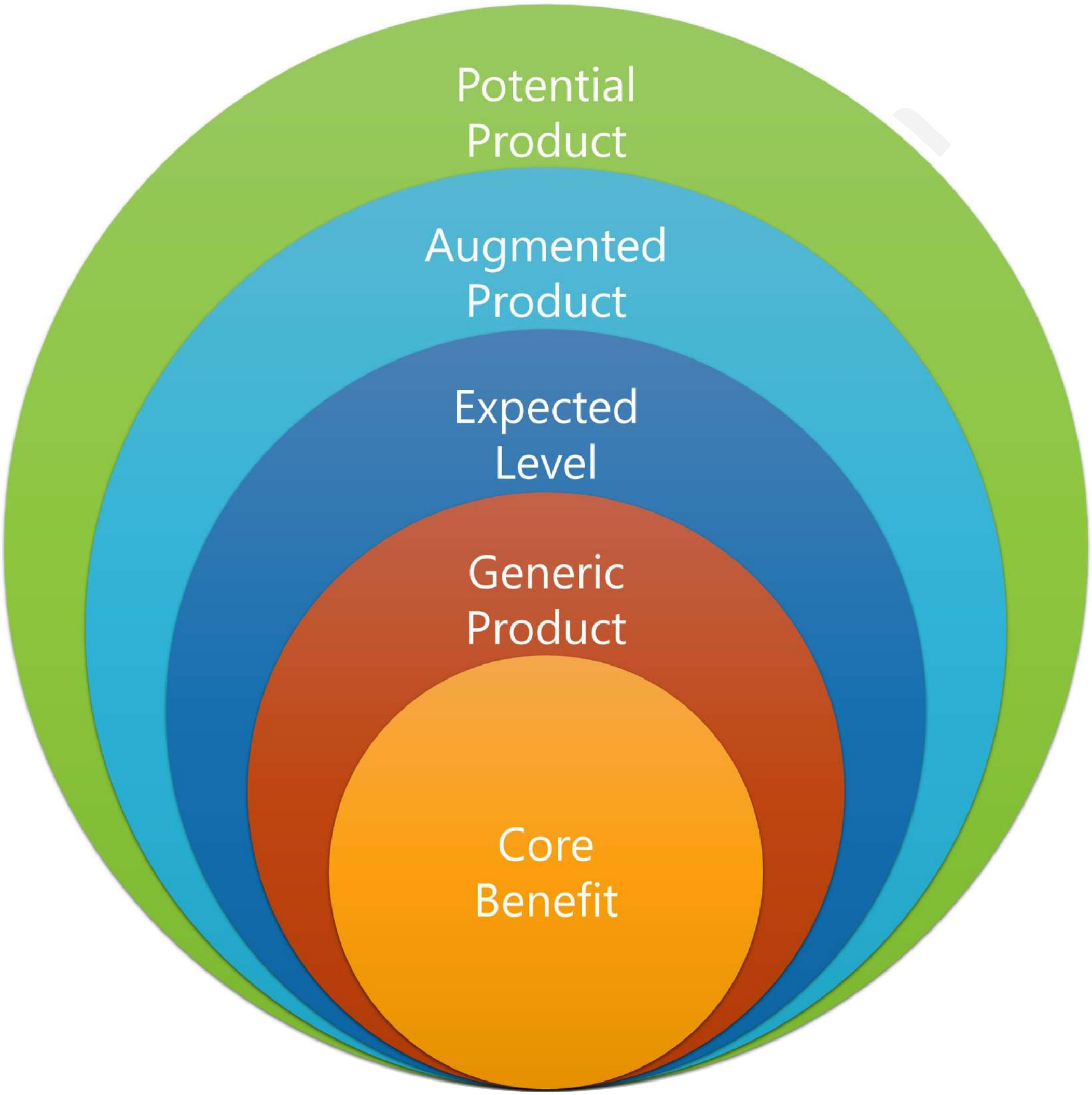
Product:

A product is anything tangible and intangible that fulfills our customers' needs or wants. A product must be relevant & adaptable to the changing needs of the user.

Three levels of a product Model:



5 Levels of Products:



Price:

To Buy or Not to Buy?

Probably the main question that comes to our mind after seeing the Price tag.

A great product at the wrong price can fail terribly.

The Primary determinants of the Pricing of a product are the perceived value, the utility of the product, and the price which the target segment is willing to pay.

Place:

So how does a product move from the place of production to the place of consumption?

The place is basically the channel of distribution a company chooses to increase the reach of its products.

Below are major channels that are used to facilitate distribution:

- **Direct Sales:** Door to door, Selling at the Manufacturer's Plant
- **Indirect Channel**: One-Level Channel, Hybrid Distribution Channel, or Multi-Channel Distribution System.
- **Ecommerce**

Promotions:

How does a new product reach people? It begins with the inception of the new product idea; the price is fixed and then the product is distributed…..**but how will people know about it?** Promotions play a major role in increasing the awareness of the product. Promotion helps in increasing brand/product awareness and in lead generations. Marketing campaigns include promotional activities to engage and attract consumers.

There are two types of Promotions:

- ❑ Sales Promotion: Bundle offers, Discounts, BTL activities, etc.
- ❑ Marketing Promotions: Digital Campaigns, Sponsorships, etc.

Marketing Mix (4P) for iPhone 14 Pro Max:

PRODUCT

- Smart Phone Built
- Features: Triple camera, A16 bionic chip, 6.7 inches display, Longest battery life, Water resistance, XDR OLED display

PRICE

- Rs 139000-190000, depending on the configuration.
- Using credit card discounts for effective pricing. (Mix of Price + Promotion)

PLACE

- Apple has partnered with Ingram Micro & Redington India Limited to distribute Apple Products nationwide
- E-commerce websites

PROMOTION

- Sales Promotion: Free access to Apple TV to new customers
- Marketing Promotion: Campaign-Its tough out there

Marketing Mix (4P) for Vaseline Petroleum Jelly

PRODUCT

- 100% **Pure** & triple-filtered petroleum jelly.
- Product is **hypoallergenic** & helps heal dry, damaged & cracked skin.
- Product has **occlusive** properties that create a protective barrier.
- It helps in preventing dryness associated with **Eczema**.

PRICE

- In India, the plain variant is available in 4 SKUs from **21 gm to 200 gm.**
- Price starts from Rs. 50 for the smallest SKU and Rs. 375 for the biggest one which is 200 gm.

PLACE

- Buy it from **retail shops** nearby.
- Buy it from modern retail such as **Walmart, Carrefour, Dmart**, etc.
- Buy it online on eCommerce websites like **Amazon, Flipkart**, etc.
- Get it from hyperlocal quick commerce platforms like **Zepto, Blinkit,** etc.

PROMOTION

- Most eCommerce players and quick commerce hyperlocal brands provide **discounts of 4% to 25%** depending upon the season.
- As it is not a serious purchase decision, people aren't much concerned about discounts.

7P

The 7Ps are generally used in the **service industries**

Extending the marketing mix by adding Physical Evidence, Process, and People to 4P, bring the marketing function closer to human resource management and operations.

The Remaining 3 Ps of the 7P:

People:

The people in the framework represent the **employees, consultants, and freelancers** who deliver the service to customers.

People are the most critical factor in providing knowledge-based services as they add value to the experience of the consumer.

Hence, **training, personal selling, and customer service** are key ways to ensure good service from the employees facing consumers.

E.g., **Waiters of a restaurant, Hairstylists in a Salon, business analysts in IT companies, etc.**

Process:

The processes are the steps that are required to deliver the service to a customer.

The aim of all service companies is to have a **seamless process flow**, making it easier for the consumer.

These companies share process maps for employees to make sure that work is repeatable and successful.

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Physical Evidence:

The physical evidence is a combination of the environment and branding where the service is provided to a customer.

The physical evidence capital would be:

- A service brochure
- Franchise Layouts
- Uniform & Mascots of brand
- Social media accounts
- A corporate website
- Company Service center/Point of Sales

Example of 7Ps:

PRODUCT:
Veg & Non-Veg menu
Beverages
Frozen desserts

PRICE:
Very affordable-Starts @Rs 29
Range: Rs 29-Rs
Psychological pricing
Cost leader

PROMOTION:
Happy Meals with free toys
Billboard ads
Social media

PLACE:
Popular locations.
Across most cities like malls
Drive-In & drive through options

PHYSICAL EVIDENCE:
McDonalds-Mascot
Social media accounts
Franchise buildings
Employee uniform

PROCESS:
Transparent to consumers
Uniform process worldwide

PEOPLE:
Fast & Friendly Service

Interesting Read: Dynamic Pricing: The art of the deal

Segmentation, Targeting, & Positioning (STP)

Segmentation:

- Segmentation is a practice that seeks out **pieces of the total market that contain customers** with identifiable characteristics, as defined by income, age, personal interests, ethnic background, special needs, and so forth.
- The point of segmentation is to **break a mass market into submarkets** of customers who have common needs.

Why do we need segmentation?

Not all individuals have similar needs. Individuals have different needs based on various factors which define them or their lifestyles like needs of men, women, and kids differ from each other completely, or the needs of married individuals would differ from bachelors or needs of people from different countries will be different, when they are to be satisfied using various products and services.

Identifying these segments makes it possible to do two things:

(1) Create goods and services that are better tailored to the needs of specific customers.
(2) Focus on marketing resources more efficiently.

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MSADA Framework:

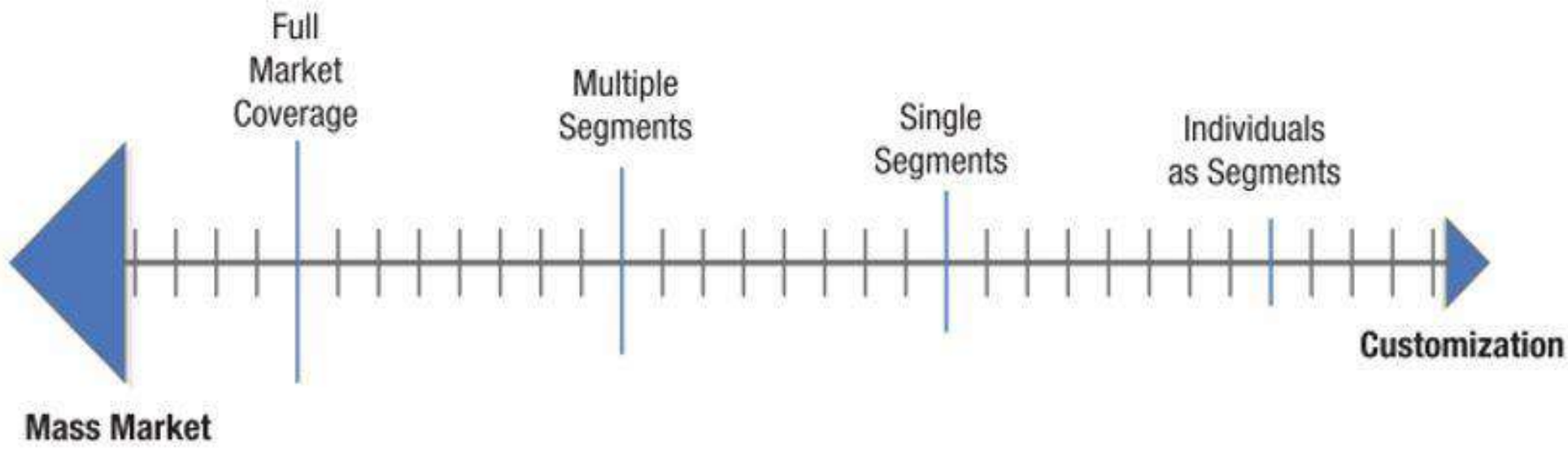
Market segments must rate favorably on five key criteria (**MSADA**) for them to be useful:

- **Measurable:** The size, characteristics & purchasing power of the segments can be measured.
- **Substantial:** The segments are large and profitable enough to serve. A segment should be the largest possible homogeneous group worth going after with a tailored marketing **program.**
- **Accessible:** The segments can be effectively reached and served.
- **Differentiable**: The segments are conceptually distinguishable and respond differently to different marketing-mix elements and programs.
- **Actionable:** Effective programs can be formulated to attract and serve segments.

Complete table for Segmentation:

Segmentation variable	Sr. no	Basis of Segmentation	Example
Geographic	1	Geographic segmentation	Regions - North, South, East, West
	2	City or metro size	Urban, Suburban, Rural
	3	Density	Urban, Suburban, Rural
	4	Climate	Hot, Cold, Tropical
Demographic	5	Age	Under 5, 5-11,12-17,18-34,35-49,50-64,64+
	6	Family size	1-2,3-4,5+
	7	Family life cycle	Young, Single, Young married, No children married, youngest child below 6
	8	Gender	Female, Male, Transgender
	9	Income	Under $10,000, $10,000-15,000 and so on
	10	Occupation	Profession, technical, Managers etc.
	11	Education	Grade school or less, graduate, post-graduate
	12	Religion	Hindu, Muslim, Christian, Sikh, Jain, Atheist.
	13	Race	White, Brown, Tribals
	14	Generation	Gen X, Millennials (Gen Y)
	15	Nationality	Indian, South African, American
	16	Social class	Lower, Middle, Upper
Psychographic	17	Psychographic lifestyle	Culture-oriented, sports-oriented, outdoor-oriented
	18	Personality	Compulsive, gregarious, authoritarian, ambitious
Behavioural	19	Behavioural occasions	Regular occasion, Special occasion
	20	Benefits	Quality, service, economy, speed
	21	User status	Nonuser, ex-user, potential user, first time user
	22	Usage rate	Light user, medium user, heavy user
	23	Loyalty status	None, medium, strong, absolute
	24	Readiness stage	Unaware, informed, interested, desirous, intended to buy
	25	Attitude toward product	Enthusiastic, positive, indifferent, negative, hostile

Possible Levels of Segmentation



Marriott International® owns a number of different hotel chains that target specific consumer groups.

Marriott

Exquisite Luxury Hotels	Contemporary Quality Hotels	Quality Destination Hotels	Extended Stay	Value Hotels
The Ritz-Carlton Hotel Company, L.L.C.	JW Marriott. Hotels & Resorts	Marriott. Hotels & Resorts	Marriott. Executive Apartments	Fairfield Inn Marriott
	Renaissance. Hotels & Resorts	Courtyard Marriott	TownePlace Suites Marriott	
			Residence Inn Marriott	

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About Marriot's Segmentation:

Courtyard by Marriott® hotels focus on travelers on the road, who want a nice, clean place to stay during their trip.

Ritz-Carlton® hotels target those who don't mind paying a premium for luxury.

Marriott ExecuStay® hotels are aimed at professionals who need a long-term & comfortable place to stay.

Marriott International doesn't communicate the same marketing message to all its customers.

Each hotel is designed and positioned to appeal to the unique wants and needs of a specific group.

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ITC Hotels Segmentation:

ITC Hotels has 4 distinct brands each catering to a different segment:

1) **ITC Hotels:** Exclusive Tie up with Marriott's 'The Luxury collection'. These are luxury hotels located at strategic locations. They cater to business and leisure customers looking for a luxurious stay.

2) **Welcom Hotels:** Welcom Hotels offer a 5-star experience.

3) **Fortune Hotels:** Under the fortune brand, ITC operates mid-market to upscale hotel chains in the full-service first-class business hotel segment.

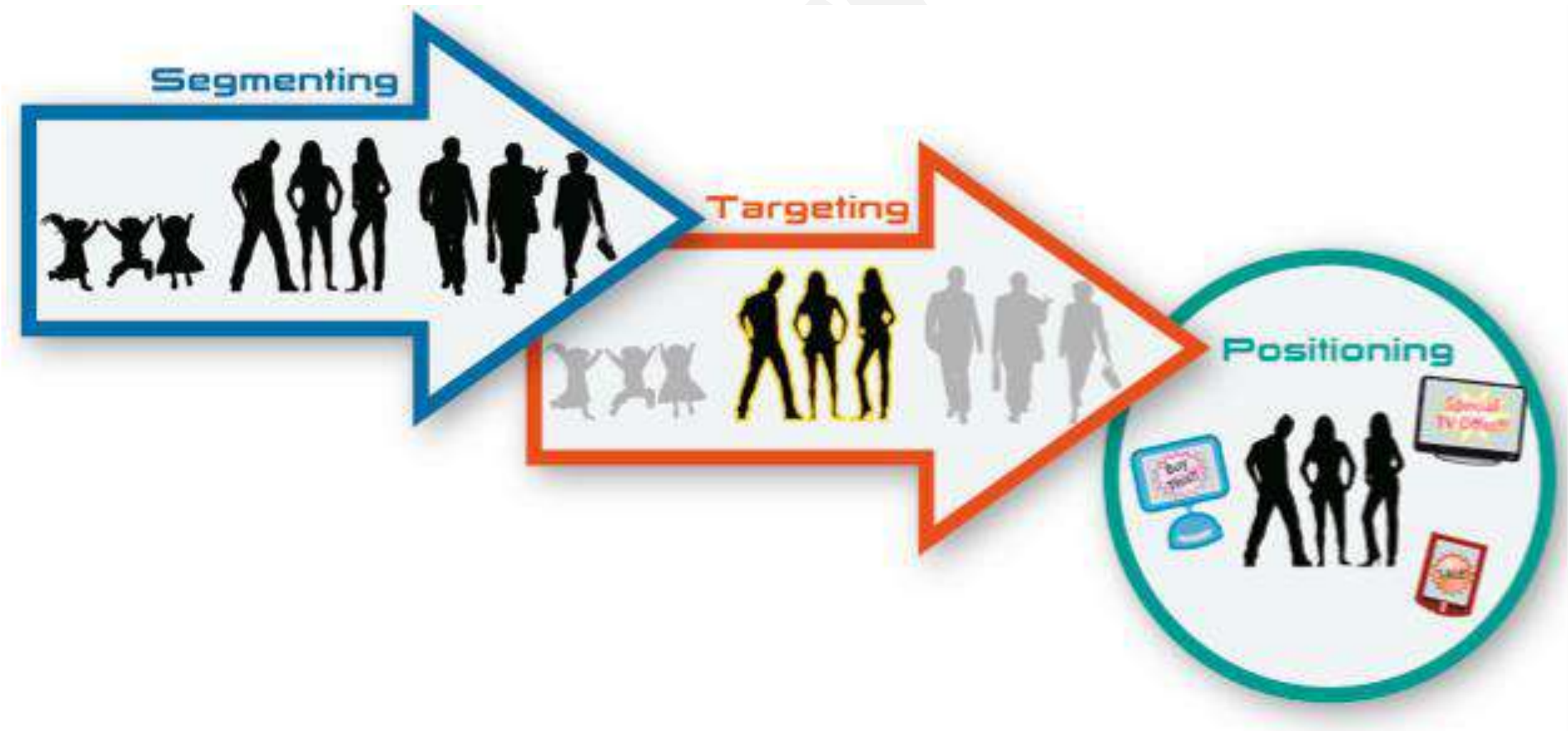
4) **WelcomHeritage:** Under the WelcomHeritage brand, a chain of resorts, forts, Havelis, and palaces are operational to provide a different hospitality experience. Ancient royal homes and their grandeur is preserved and a fine range of services is provided for customers looking an experience.

Targeting:

The segments that fit into the company objective that can be serviced are identified & targeted.

A firm can sell one product to several segments with product specialization.

Firms focus on serving many needs of a specific customer segment with market specialization.



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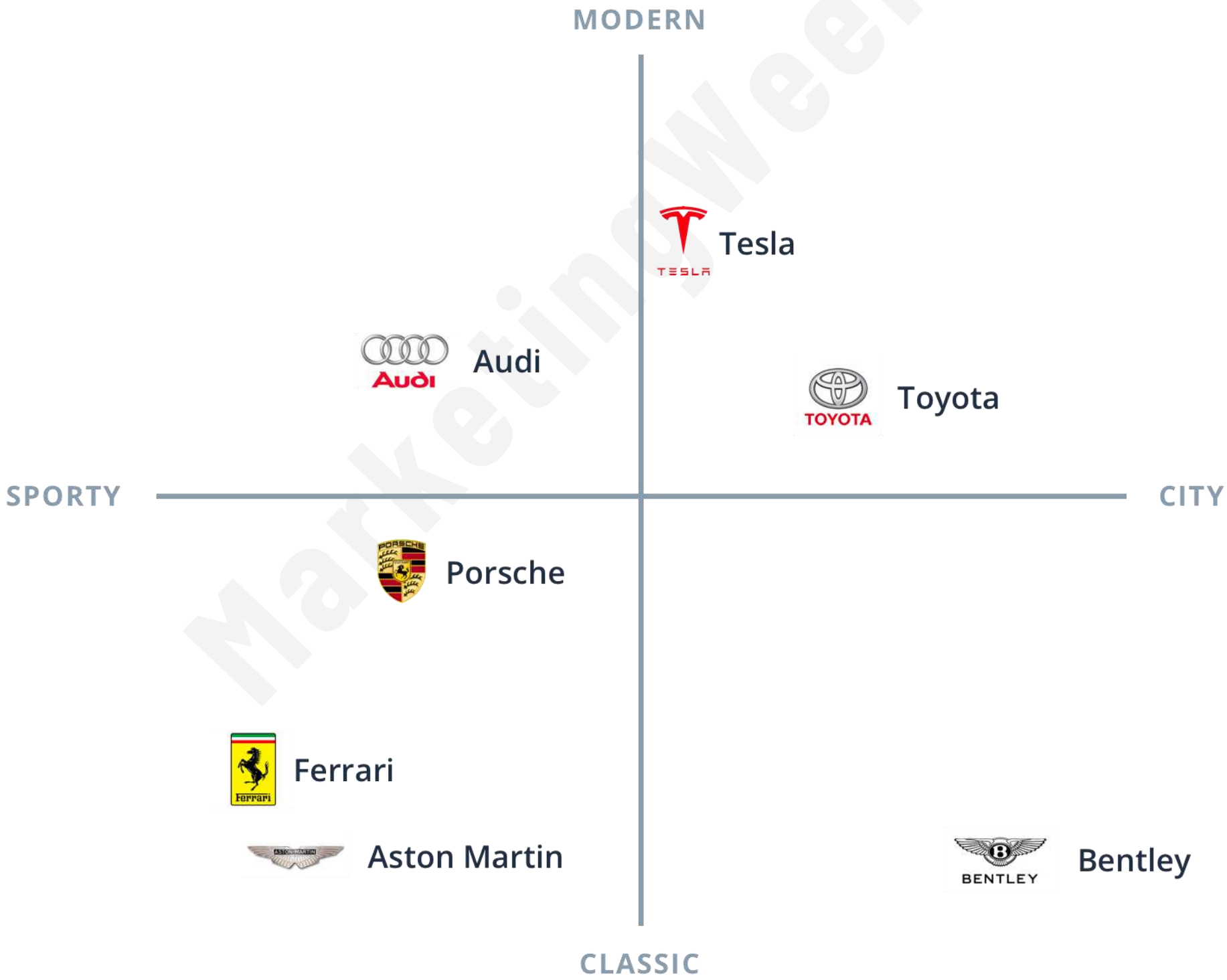
Positioning:

- Creating a favorable & distinctive image (or position) for the product in the mind of the consumer.
- Positioning is like owning a word such as safety for Volvo.
- To Develop a conducive position, the brand requires optimal **Points-of-parity (POPs) and Points-of-difference (PODs)**

Illustration of a perceptual map for automobile brands



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GSK's ENO, an antacid, has always positioned itself as an instant reliever from acidity. Positioning statement: Take ENO for fast relief from acidity. It gets to work in 6 seconds.

"To acidity-stricken people, ENO is a powdered antacid that gives instant relief in 6 seconds"

Additional examples of positioning:

Volvo: Safety, Nike: Sporty, Johnson & Johnson: Mother's Choice

Interesting Read: Why Colgate is a Market Leader in Oral Care?

Points of difference (POD) are attributes unique to the brand that is strongly held & favorably evaluated by consumers.

Points of parity (POP) are those attributes that are not unique to the brand but are shared with other brands. POPs are in three basic forms:

1. **Category**: Attributes or benefits that consumers view as essential to a credible offering within a product/service category. (Necessary but not sufficient conditions for brand choice)

2. **Correlational:** Potentially negative Attributes that arise from the existence of positive associations for the brand. Ex: If it's inexpensive, it may not be of good quality.

3. **Competitive:** Attributes designed to overcome the weakness of the brand in the light of competitors (Competitors' PODs suggest the brand's POPs)

Product Mix

Source: Pinterest

PRODUCT MIX

Product Line 1	Product Line 2	Product Line 3		Product Line 4
Product Type	**Product Type**	**Product Type**	**Product Type**	**Product Type**
Product A	**Product C**	**Product G**	**Product K**	**Product O**
Product B	**Product D**	**Product H**	**Product L**	**Product P**
Product C	**Product E**	**Product I**	**Product M**	**Product Q**
Product D	**Product F**	**Product J**	**Product N**	**Product R**

Product Line Length

Product Line Width

Product Mix Width

SKU: Stock keeping unit, means volume or weight of a product.
E.g., Maggie's 70 gm SKU 1, 280 gm SKU 2, 420 gm SKU 3, etc.

Marketing

Few Key Definitions:

Product Line: Similar kinds of products having different colors, sizes, tastes, etc. sold under one brand name.
E.g., **Oreo's** Chocolate, Normal, Orange, etc. flavors & their different weights.

Product Line Length: It is defined as the number of products in a single product line. If we see the previous example, Oreo has a product line length of 3.

Product Line Width: It is defined as the number of similar product lines parallel to each other. You may have two or more brands under the biscuits or beverage category.

For E.g., **Coca-Cola** has Minute maid, Coke, Sprite, and Powerade. Each of these lines has different variants & SKUs which makes product length.

Product Mix Width: It is a sum of all different kinds of product lines under all categories.

If we see **Unilever's** product mix, we will find various categories such as skin soap, detergent, deodorant, ice cream, shampoo, etc.

The Sum total of the entire range makes the Width of the Product Mix.

Interesting Read: **How do Brands choose their product mix name?**

Xiaomi Product Mix

- **Smartphone**
  - Redmi K20 Pro
  - MI 10
  - MI MIX Alpha
  - Redmi Note8
  - Redmi Note 7
- **TV**
  - Compact Projector
  - MI Smart TV
  - MI Box 4K
- **Laptops**
  - MI Notebook 14
  - MI Notebook 14 Horizon
- **Audio**
  - Bluetooth Speaker
  - BT Headset
  - Earphones
  - Headphones
  - Wireless Earphones 2
- **Power banks**
  - 10000 mAh Bank
  - Wireless Charge Pad
- **Smart Devices**
  - Smart Bands
  - Rumba room cleaner
  - Drones
  - Smart Plug
  - Desk/Bed Lamp
  - Security Cam
- **Miscellaneous**
  - Electric Scooter
  - Shoes
  - MI Robot Builder
  - Action Camera
  - Sphere Camera
  - Electric Air compressor
  - Air Purifier
  - WiFi Router

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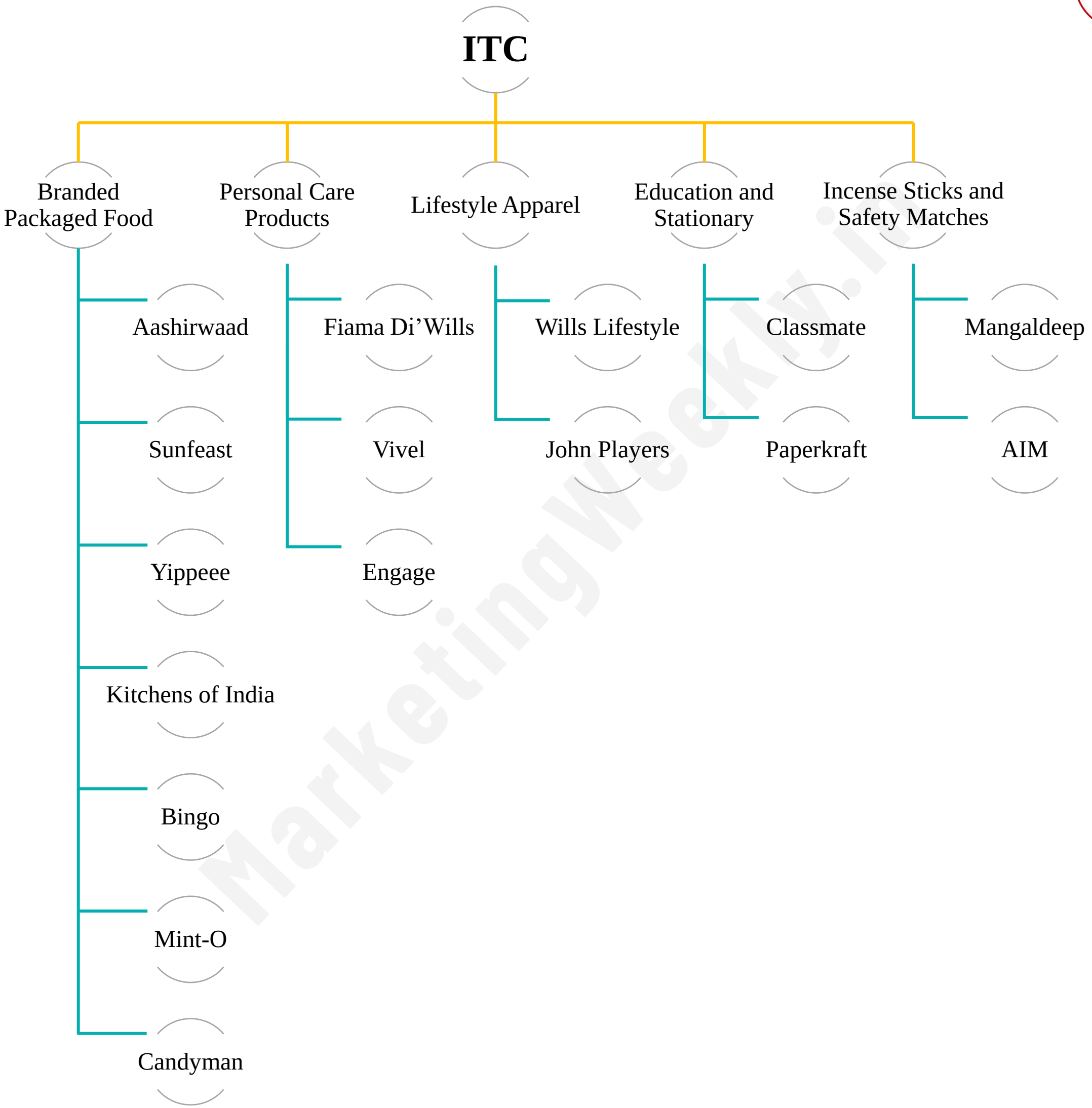

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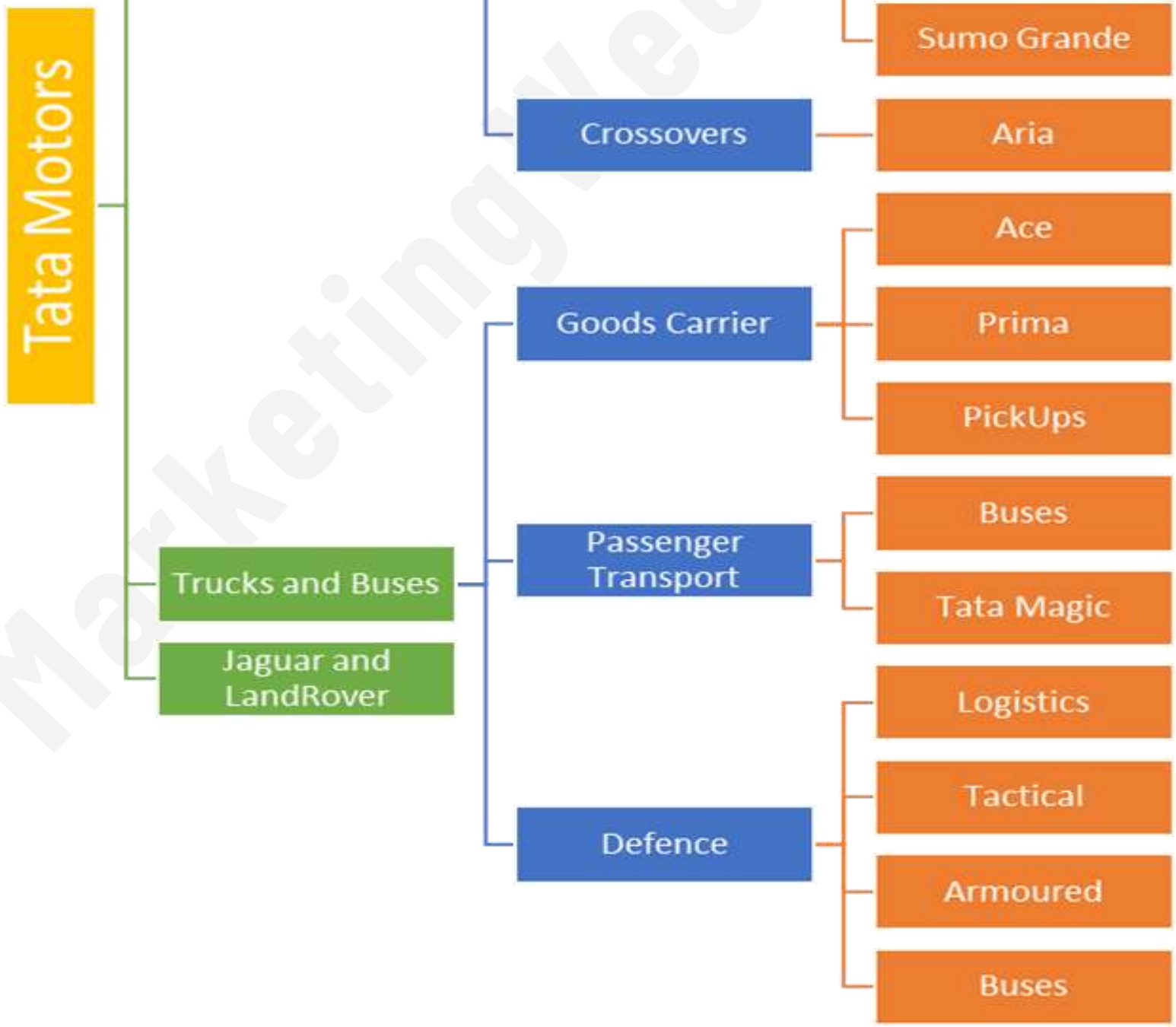
TATA MOTORS



Marketing Weekly

Vaseline Brand

- **Healing Jelly**
  - Original Jelly
  - Cocoa Butter Jelly
  - Baby Jelly
  - Cocoa Shimmer stick
  - Intensive care cream
  - All-over balm stick
  - Refreshing balm stick
- **Lotions & Moisturizers**
  - Intensive care lotion
    - 8 variants of lotion cream
  - Intensive care Spray
    - 2 variants of Spray
- **Lip Care**
  - Advance Healing tube
  - Stick
    - 4 variants of stick
  - Tin pack
    - 5 variants of Tin pack
  - Jelly Pack
    - 4 variants of Jelly pack
  - Hydra replenish cream
  - Hydra Strong cream
- **Hand Care**
  - Sanitizer lotion
  - Dry Hands rescue cream
  - Stronger nails cream
- **Gels & Body Butters**
  - Cocoa radiant gel oil
  - Cocoa body butter
- **Men**
  - Fast absorbing lotion
  - Cooling lotion
  - Extra strength lotion

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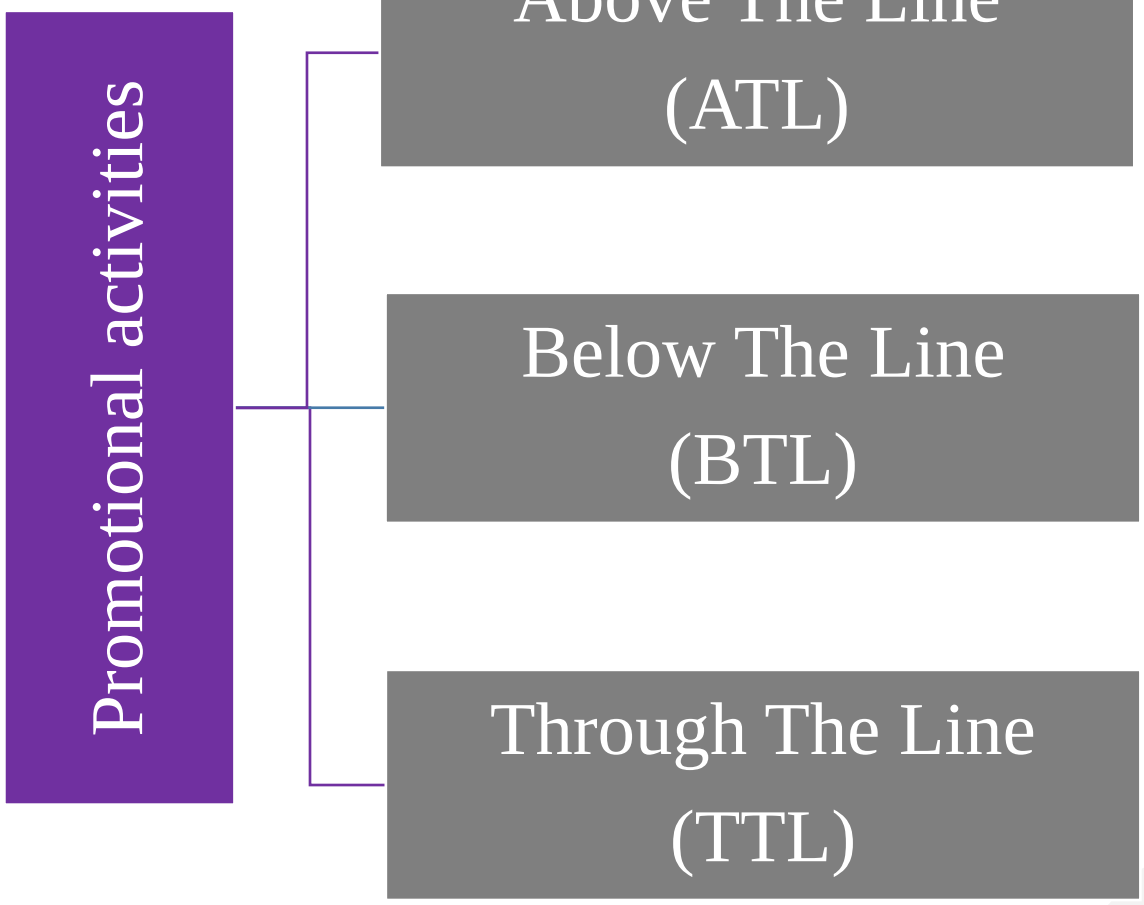
Type of Advertising

- ✓ATL
- ✓BTL
- ✓TTL

Interesting Read: Digital Out of Home Advertising

3 Ways to promote your Products:



Reach the entire market as a whole to build brand awareness and inform the masses about a product.

Focused communication for specific target groups through individual level interaction.

A combination of ATL and BTL, using mass advertising forms a customer database to focus on conversion.

Category	Above The Line	Below The Line	Through The Line
Target	Undifferentiated Segment	Specific target segment	Mass market with focused conversion
Known as	Mass marketing	One to One marketing	Combination of ATL & BTL
Media used	TV, Radio, Print, Billboards, Cinema Adverts	Flyers, Door to Door, PR events, SMS, Emails, College/institute events	Digital marketing, 360 degree marketing with both ATL & BTL
Response	May or may not drive customer response	One to One response	Customer response can be gauged indirectly
ROI	Difficult to measure	Easier to measure due to direct response	Easier to measure than ATL

FMCG and personal care brands use ATL marketing techniques to increase brand recall and subconsciously influence the purchase.

How do we measure the success of an ATL campaign?

- ✓ The reach of members watching the ad.
- ✓ The frequency of views.
- ✓ The number of impressions across various platforms.

Companies use BTL activities in places such a College, university, societies. high foot-fall areas to target its prospects.

How do we measure a BTL campaign?

- ✓ Sales achieved at a place of activity.
- ✓ New customer acquired at the site.
- ✓ Conversion rates on site (at a place of activity).
- ✓ Impression estimates via footfalls.
- ✓ Open rate of email campaigns.

TTL can help brands use an integrated approach to advertise products to both mass & focused markets together.

Example of Vodafone (Now VI):

As part of ATL advertising, Vodafone books key places for hoardings of its upcoming initiatives.
For example hoardings at airports, High streets, City roads, etc.

For BTL advertising, you may have seen a booth of Vodafone inside the malls in the past before it merged with the Idea to become VI.

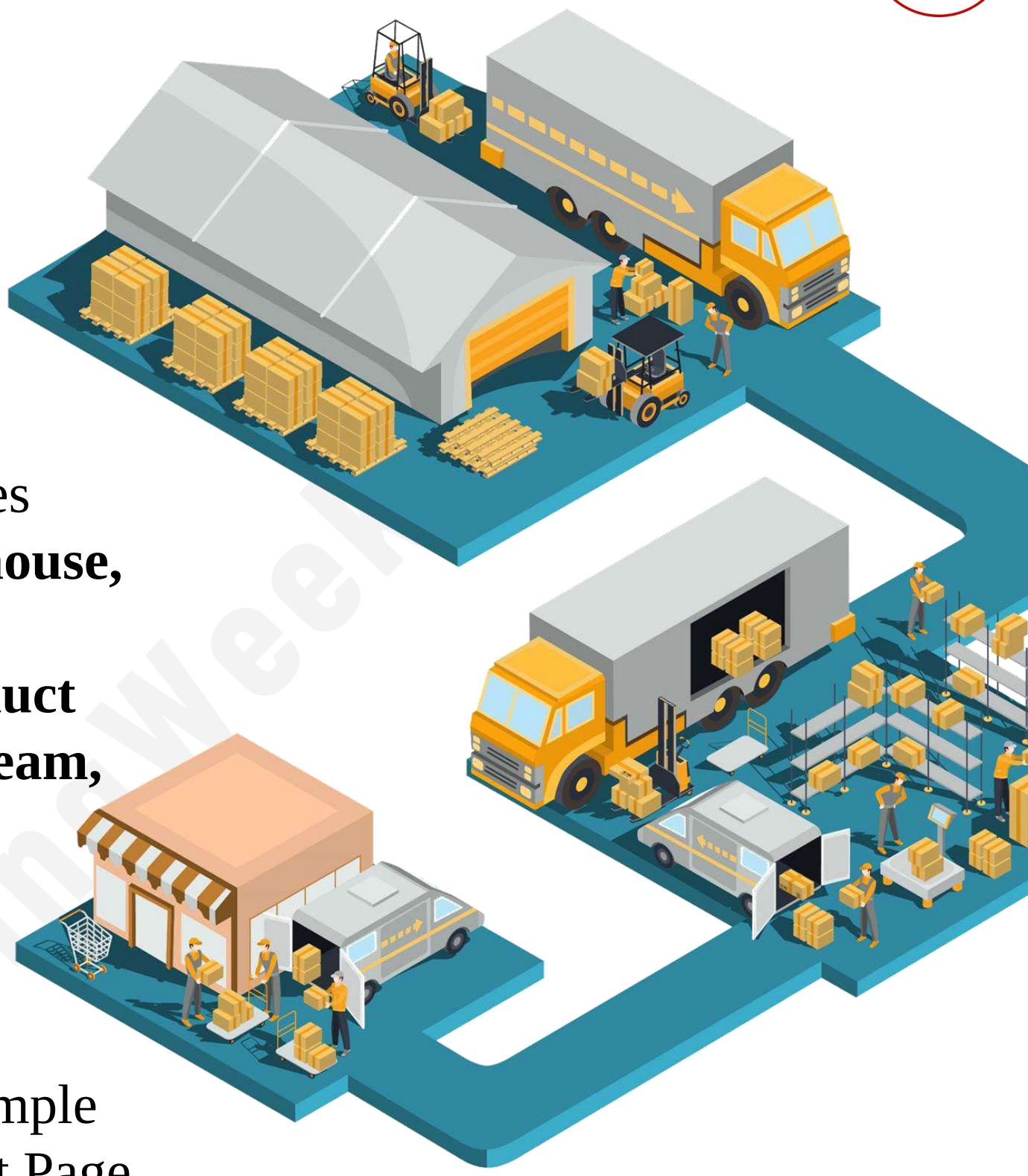
Interesting Read: Concept of Future DOOH!

Example for TTL - Uber Booths outside airports/Ads

SALES AND DISTRIBUTION MANAGEMENT

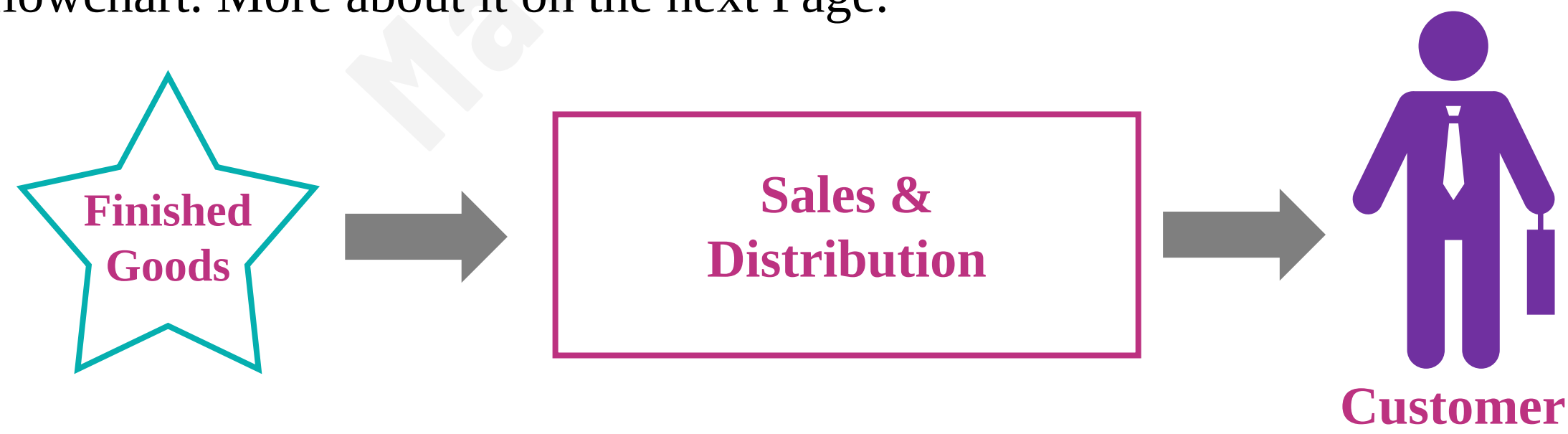
What is Sales & Distribution Management?

Sales & Distribution (S&D) is simply a process involving all the things from taking a **finished good from a factory to the customer.**



Sales & Distribution (S&D) involves various departments such as **Warehouse, Logistics, CRM, SAP, Salesforce, Business development team, Product training team, Trade marketing team, Audit team,** Etc.

Let us understand S&D with this simple flowchart. More about it on the next Page.



SALES & DISTRIBUTION

Explained

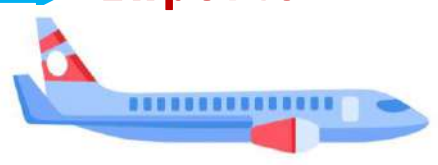
Factory

Transportation of **Finished Goods** using **Carry & Forwarding (C&F) Agents**

Warehouse/ Depot

Exports happen via **port (or Dry port)** after regulatory clearance

Exports



Carrying & Forwarding (C&F) agents provide transportations

B2B & Direct Distribution

General Trade

(For mass distribution)

Modern Trade

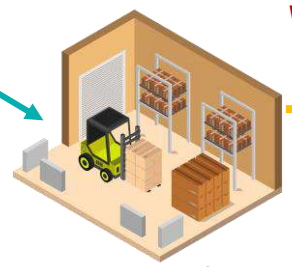
(E.g. BigBazaar/Dmart)

Ecommerce

Stockist (Urban)

Super-Stockist (Rural)

Wholesaler



Rural Distributor

Wholesaler

Consumer

It is called Primary Sales. It is between company & Distributor/Stockist/Channel partners

It is called Secondary Sales. It is between Distributor/Stockist & Retailer/Dealer

It is called Tertiary Sales. It is between Retailer/Dealer & Consumer

Margin: Each Channel involved gets the margin. Margin varies across industry & company.

Download HD PDF of the infograph here:

Terminology Of Sales & Distribution:

Warehouse/Depot:

- ✓ It is a place where company stores their finished goods. Goods are then dispatched from such depots to various places.
- ✓ Ideally a company should keep multiple warehouses to improve wait-time for order delivery.

Carrying & forwarding agents:

- ✓ Party that provides logistics solution to companies in dispatching their goods to various locations are C&F agents.
- ✓ They charge on basis of distance as well as delivery speed. Also charge may increase if your product needs specific temperature condition.

Modern Trade:

- ✓ Organized trade stores such as Bigbazaar, Dmart, More, etc. are called modern trade. Companies directly provide them goods, thereby eliminating distribution margin charges
- ✓ This allows them to pass on distributor margin to customers by means of discounts & schemes. Disadvantage of MT is that it lacks the convenience of neighborhood stores.

Stockist:

- ✓ Stockist or Distributor operates in Urban geographies. They provide goods received from company warehouse to various retailers.
- ✓ They also sell bulk quantity to wholesaler to increase its distribution reach & save logistics cost for serving low value outlets.

Super Stockist:

- ✓ Such distribution works in rural geographies where one big stockist provides bulk quantities to various rural Wholesalers.
- ✓ Super stockist helps the company reach deep rural areas.
- ✓ Various incentives such as freight charges are paid extra for extended geographies.

Wholesaler:

- ✓ They usually operate with multiple brands & hence they can afford to provide service to smaller outlets & remote markets.
- ✓ Companies discourage the wholesaler concept as it reduces their control over the rationalization of product price.

Three types of Sales in Distribution Management:

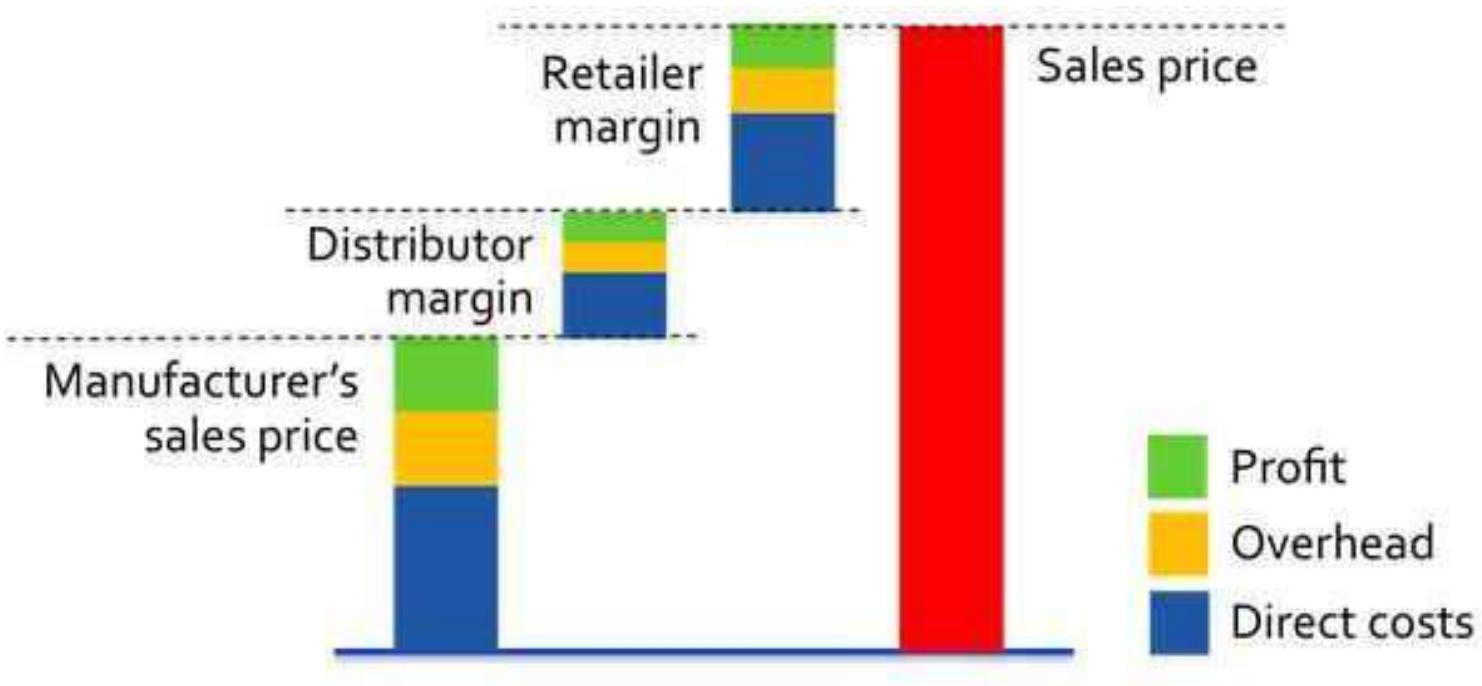
——— It is called **Primary** Sales. It is between the company & Distributor/Stockist/Channel partners

..... It is called **Secondary** Sales. It is between Distributor/Stockist & Retailer/Dealer

– – – It is called **Tertiary** Sales. It is between Retailer/Dealer & Consumer

Concept of Margin:

Every channel involved retains a specific margin so, each stakeholder earns a profit.



An example: *A bar of 5-Star chocolate sells at Rs. 5 at a retail store.*

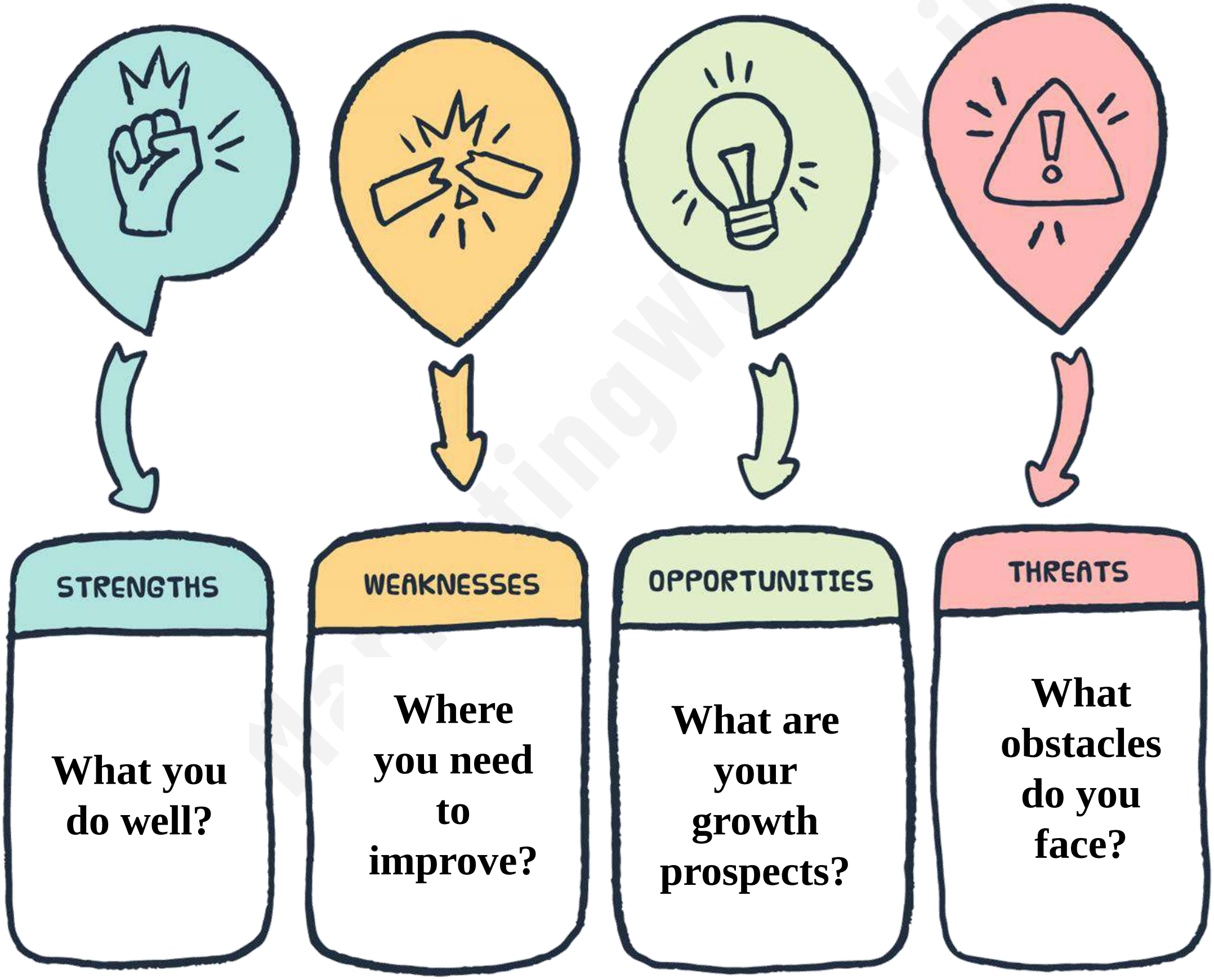
A single bar of 5-Star needs to travel below the flowchart to reach you:

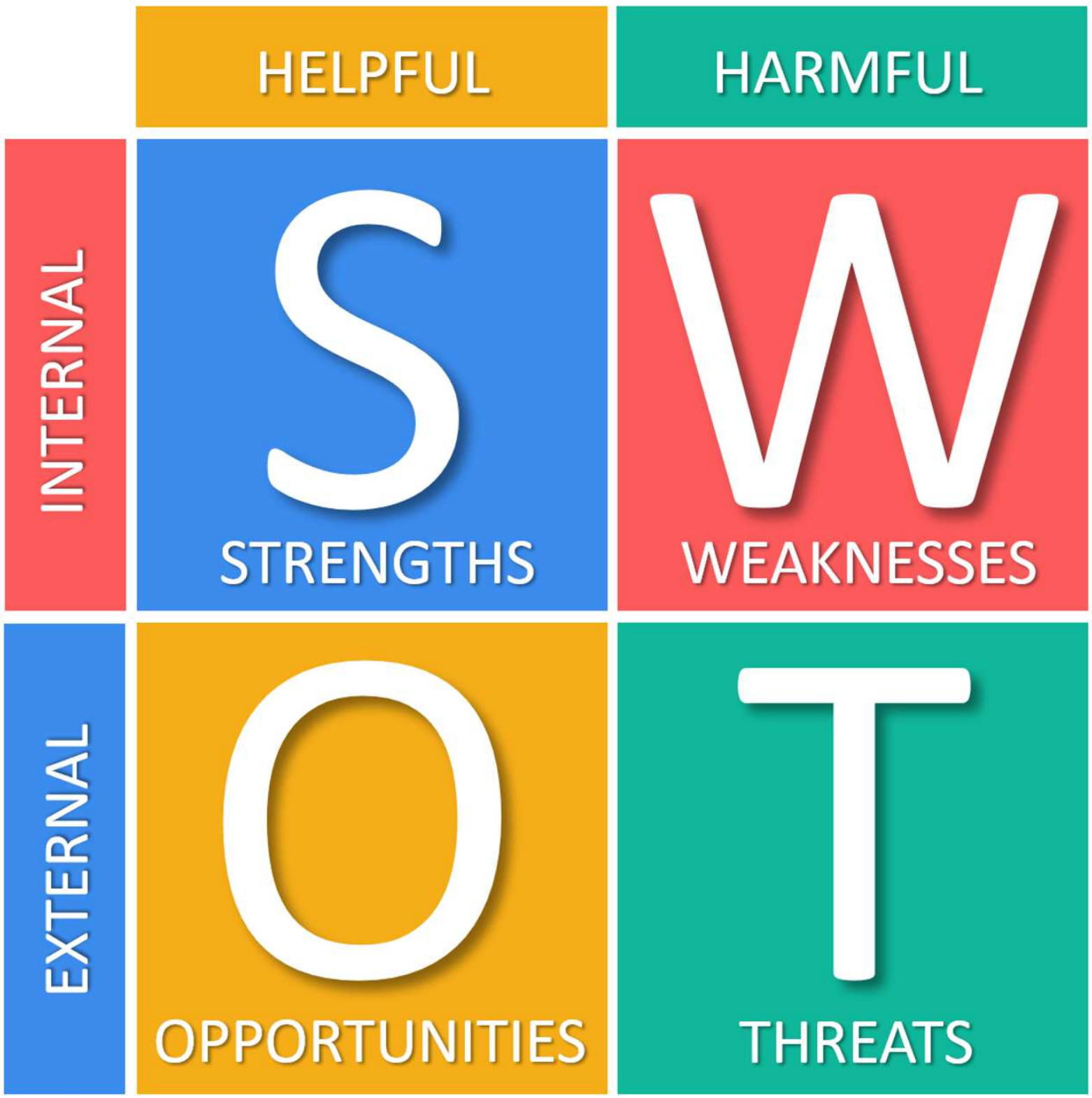
Obviously, everyone who contributes brings the delicious bar of 5-Star from Factory to You should be compensated. *(Below values are assumed & actual value may be different)*

- C&F agent gets a **1% margin** of 5 Rs. = 0.05 Rs.
- Distributor/Stockist gets a **2% margin** of 5 Rs. = 0.10 Rs.
- Retailers get a **5% margin** of 5 Rs. = 0.25 Rs. (Sometimes in form of an extra unit).

If you are wondering why these guys are paid and why can't company directly deliver things to you, kindly check a nice little section on FMCG Sales Here.

SWOT


STRENGTHS
What you do well?
WEAKNESSES
Where you need to improve?
OPPORTUNITIES
What are your growth prospects?
THREATS
What obstacles do you face?



Pro-Tip:

- We have two axis here, on X-Axis we have Helpful & Harmful and on Y-Axis we have Internal and External.
- Most people overlook or forget about the Y-Axis. Do remember that Strength & Weakness are Internal and Opportunities & Threat are External.

STRENGTHS	Key resources, capabilities, assets and partnerships that offer a competitive advantage over others.	**W**EAKNESSES	Characteristics such as resources, talent, assets and capabilities that are a disadvantage to others.
OPPORTUNITIES	External elements that provide opportunities for growth, innovation and other benefits.	**T**HREATS	External elements that could damage capabilities, resources or weaken compeititive position.

STRENGTHS

Include things that your company or project does **very** well.

E.g., **Brand** attributes, **people**, strong **leadership** etc.

WEAKNESSES

Include things that your company is not doing well or **needs improvements**

E.g., Shortage of **skilled** people, **financial** limitations or lack of clearly defined **USP**.

OPPORTUNITIES

Includes things you could do to **grow** as a company.

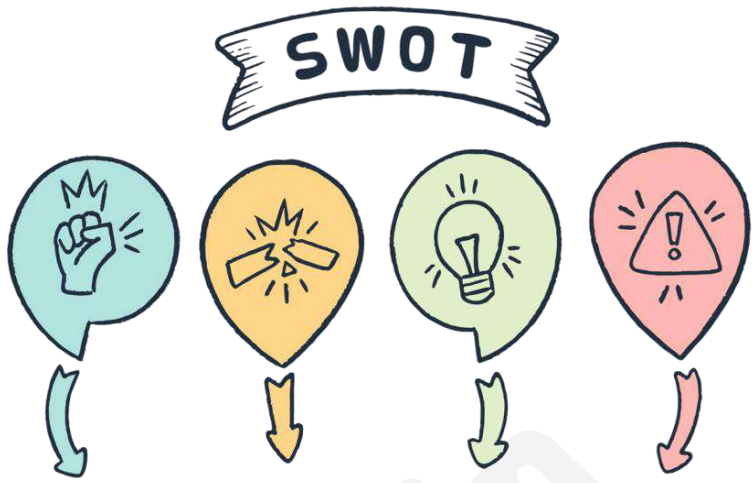
E.g., Tapping other **markets** to improve the sales, using advanced **technology** for better results.

THREATS

Include External things that pose a **risk** to the company.

E.g., Emerging **competitors**, **financial** risks, changes in regulatory **law** etc.

Interesting Read: : A different approach to SWOT



STRENGTH

- Extensive distribution network in Deep rural geographies.
- An Innovative FMCG company.
- High brand recall among consumers.
- Products with presence in over 20 consumer categories.
- Quality of Human Resource.

WEAKNESSES

- High number of portfolios makes it difficult to focus.
- Slow to pivot and less agile compared to startups.
- Portfolio of Oral care & deodorant segment losing market share.

OPPORTUNITIES

- M&A to strengthen the brand.
- Increasing purchasing power of people thereby increasing demand.
- Rise of Internet economy via hyperlocals like BlinkIt, Zepto, Etc.
- Extraction from Modern Trade channels like Dmart, JioMart, etc.

THREATS

- Competition from D2C (Direct to consumer) startups like BSC, The Man Company, Beardo, etc.
- Competition from new players like Patanjali & Joy.
- Private labels of Modern Trade such as Snac Atac, Tasty Treat, etc.
- Market Saturation.

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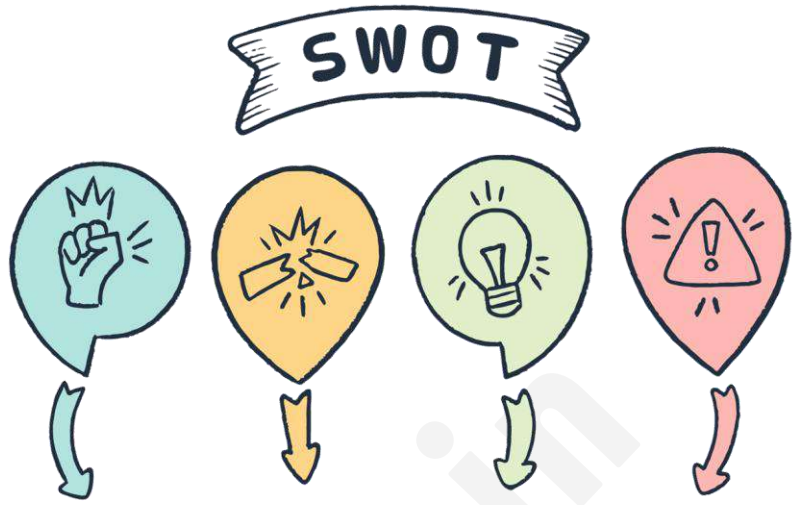

STRENGTH

- **150-Year-old** strong brand.
- Extensive **distribution** network in Deep rural geographies due to Unilever.
- Strong **R&D** facilities capable of reinventing the product.

WEAKNESSES

- Heavy reliance on petroleum jelly portfolio for revenue.
- Preference for a legacy brand like Vaseline may drop compared to a versatile Unilever brand like Dove.
- Increased **reliance on trade promotion** compared to Advertising.

OPPORTUNITIES

- Vaseline brand to leverage the full potential of the entire range.
- Focus on developing geographies **in Africa, Latin America, and Asia.**
- Vaseline loyal base to be farmed for up-selling of Lotions, Skincare & Hand care options.

THREATS

- **People's preference shifting** towards non-petroleum jelly-based products such as creams & lotions.
- As manufacturing petroleum jelly is easy, **Copycat brands** are eating market share.
- Market Saturation in developed geographies.

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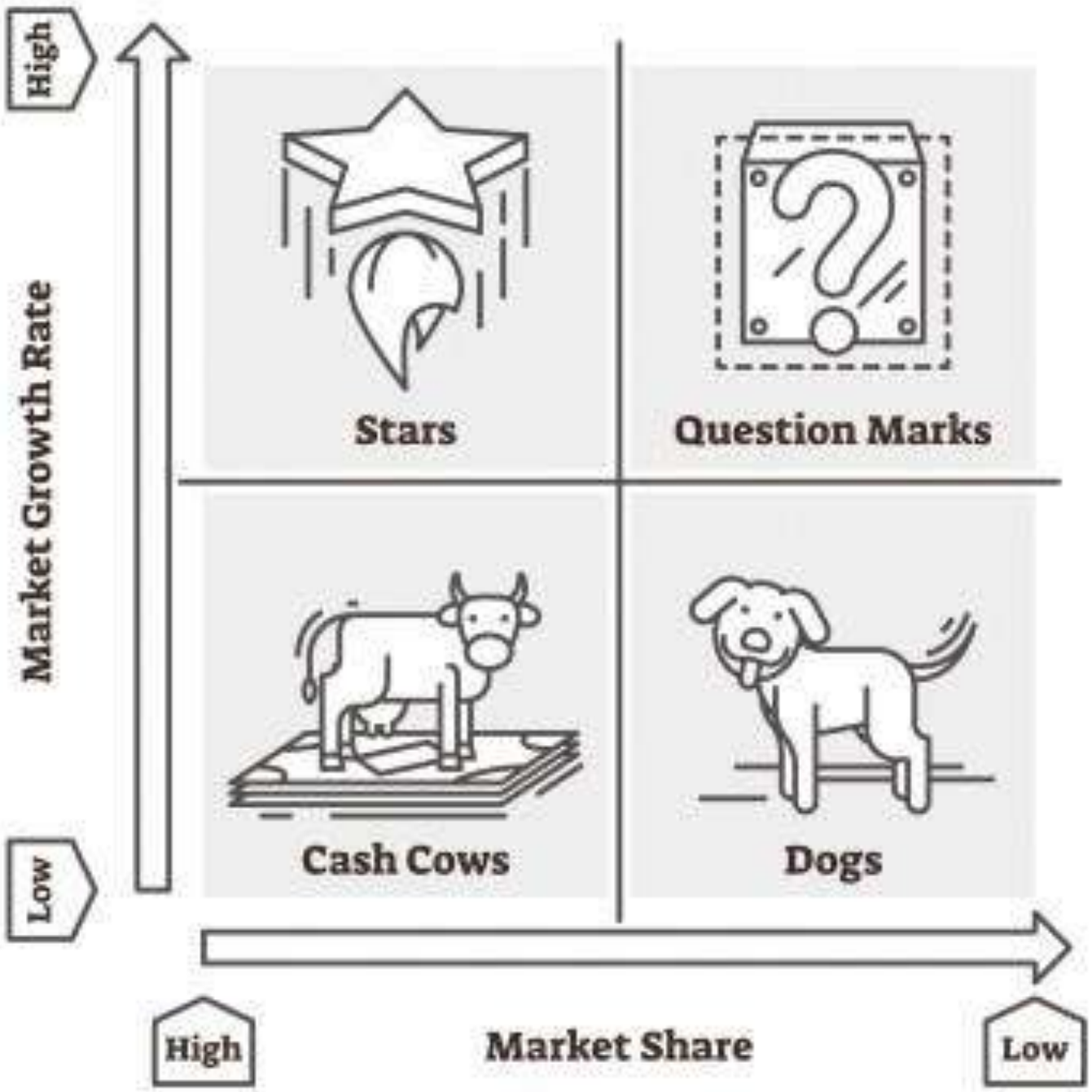
BCG MATRIX

The Growth-Share Matrix



Rapid Growth and Expansion

Ability to Fund The Question Marks and Stars

New Ventures - Risky
Few Become Stars other Divested

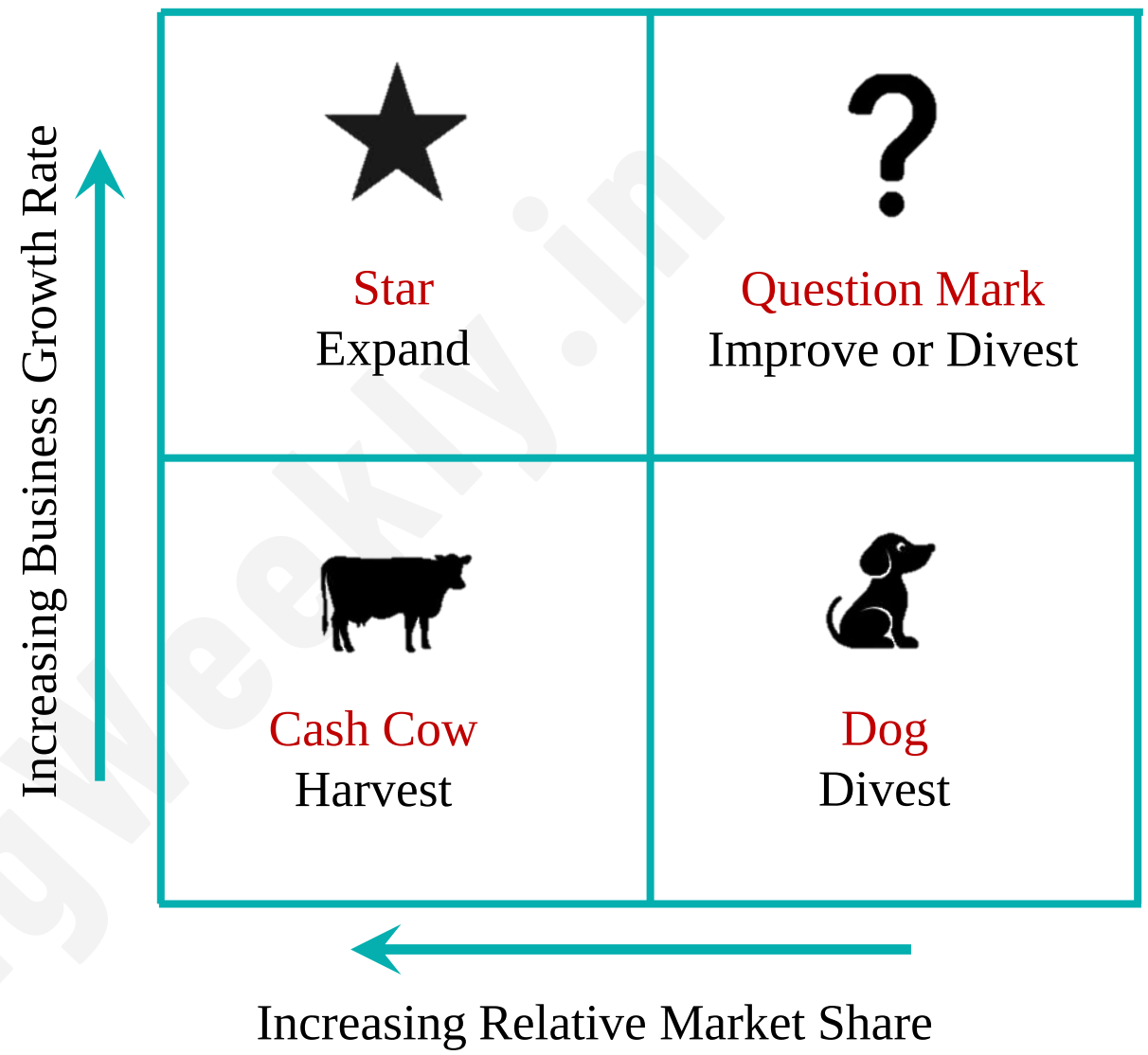
Low Market Share And Growth
Consider Divestment

BCG MATRIX:

The BCG matrix (or **Growth-Share Matrix**), is a planning tool used to evaluate the Strategic position of a brand portfolio & its potential.

It classifies portfolio into four categories on the basis of **industry attractiveness** (growth rate of that industry) & **competitive position** (relative market share).

This helps businesses identify what it should concentrate on and what gives it a competitive advantage over others.



Axis of BCG:

1. **Relative market share:** Represented by the horizontal axis. Higher market share results in higher cash returns.

2. **Market growth rate:** Represented by the vertical axis. Higher market growth rate may lead to higher returns in future, but this requires investment to stimulate growth. So, this would lead to higher cash burn.

4 Categories of the BCG Matrix:

Stars: High Market share, High Growth

- Monopolies and first-to-market products are frequently termed stars.
- Because of their high growth rate, stars also consume large amounts of cash.
- This generally results in the same amount of money coming in that is going out.
- Stars can eventually become cash cows if they sustain their success until a time when the market growth rate declines.
- Companies are advised to invest in stars.

E.g., TCS, Titan of Tata Group, Jio for Reliance, Ultratech Cement for Aditya Birla Group.

Question: Low Market Share, High Growth

- As Question Marks grow rapidly, they burn cash more than what they generate. Hence it is a high Net Cash Negative portfolio.
- They have the potential to gain market share and become a star
- If the question mark fails in becoming the market leader, then after perhaps years of cash consumption it will degenerate into a dog when the market growth declines

E.g., 1mg, Tata Cliq of Tata Group, Ajio for Reliance, ABFRL for Aditya Birla Group.

CashCow: High Market share, Low Growth

- Cash cows are the leaders in the marketplace and generate more cash than they consume.
- The cash generated by Cash cow help company to cover the administrative costs of the company, to fund research and development, to service the corporate debt, and to pay dividends to shareholders.
- Long term sustainability needs cash cows.

E.g., Tata Steel of Tata Group, Oil Refining for Reliance, Ultratech Cement for Aditya Birla Group.

Dogs: Low Market Share, Low Growth

- Dogs have low market share and a low growth rate and thus neither generate nor consume a large amount of cash.
- They are cash traps because of the money tied up in a business that has little potential.

Strategies for Dogs:

- • The company can either divest the product altogether.
- • Product can be revamped through rebranding /innovation/adding features, etc.

E.g., Tata Comm. of Tata Group, Reliance Petrol Pump for Reliance, Vodafone Idea for Aditya Birla Group.

Strategies for BCG Products:

Question Marks:

- Careful analysis to be done whether to **invest or sell-off**.
- Company should invest if there is opportunity & competence for the growth.

Stars:

- Huge investment in **capability building and advertisement** need to be done in order to maintain high Market share and High growth.

Cash Cows:

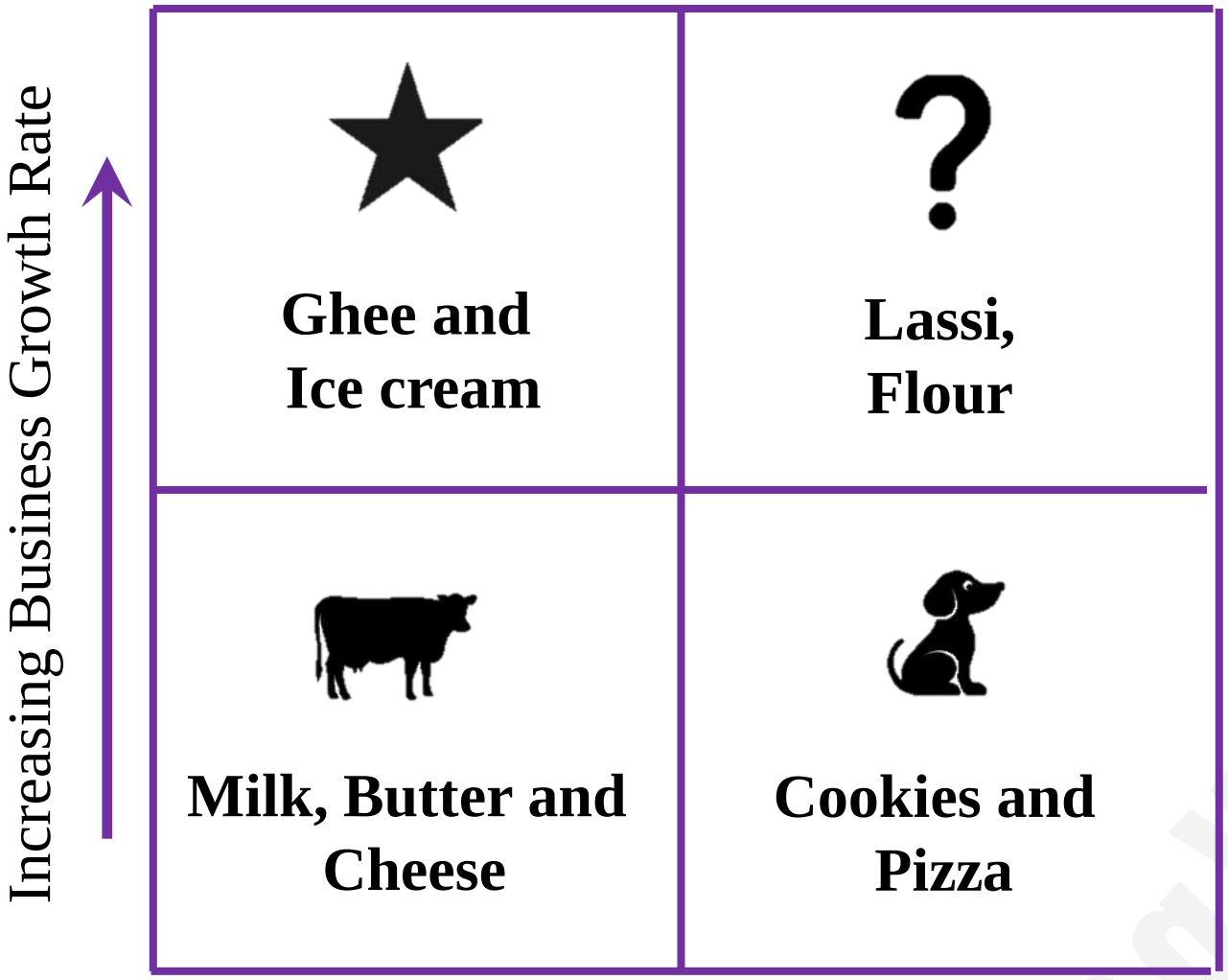
- **Market retention** strategy such as customer satisfaction programs, loyalty programs, competition counteraction, Acquisition are to be employed.

Disadvantages of BCG Matrix:

- The model uses **only two dimensions** (i.e. growth and share) to assess competitive position, hence holistic view cannot be captured.
- More emphasis on **cost leadership** rather than differentiation as a source of competitive advantage.
- A high market share does not necessarily lead to profitability at all times.
- **Inter-relationships** between different portfolio of the same company is not being captured here.

E.g., a portfolio in "Dog" may be providing most raw material to a "Star".

BCG Matrix of Amul:



Amul has diversified their offerings, entering into different milk and milk product markets, let us understand BCG Matrix of Amul.

Cash Cows :

The 3 products mentioned in the figure (milk, butter, cheese) generate steady, high revenue. They are the “flagship” products of the brand.

Stars:

Amul invests a lot of cash coming from cash cow into star-product promotions.
Amul Ice Creams have targeted & appealing ads in order to improve awareness

Question Marks:

Amul Lassi falls under this category.
Considering the increasing demand for healthy products, this category shows a huge potential to grow.

Dogs:

Due to the heavy competition & limited innovation in these products, it’s difficult for Amul to gain market share & generate huge revenue.

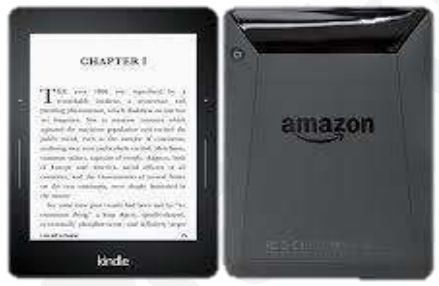
BCG Matrix of Amazon:

Increasing Business Growth Rate

Alexa

Amazon Video

Music

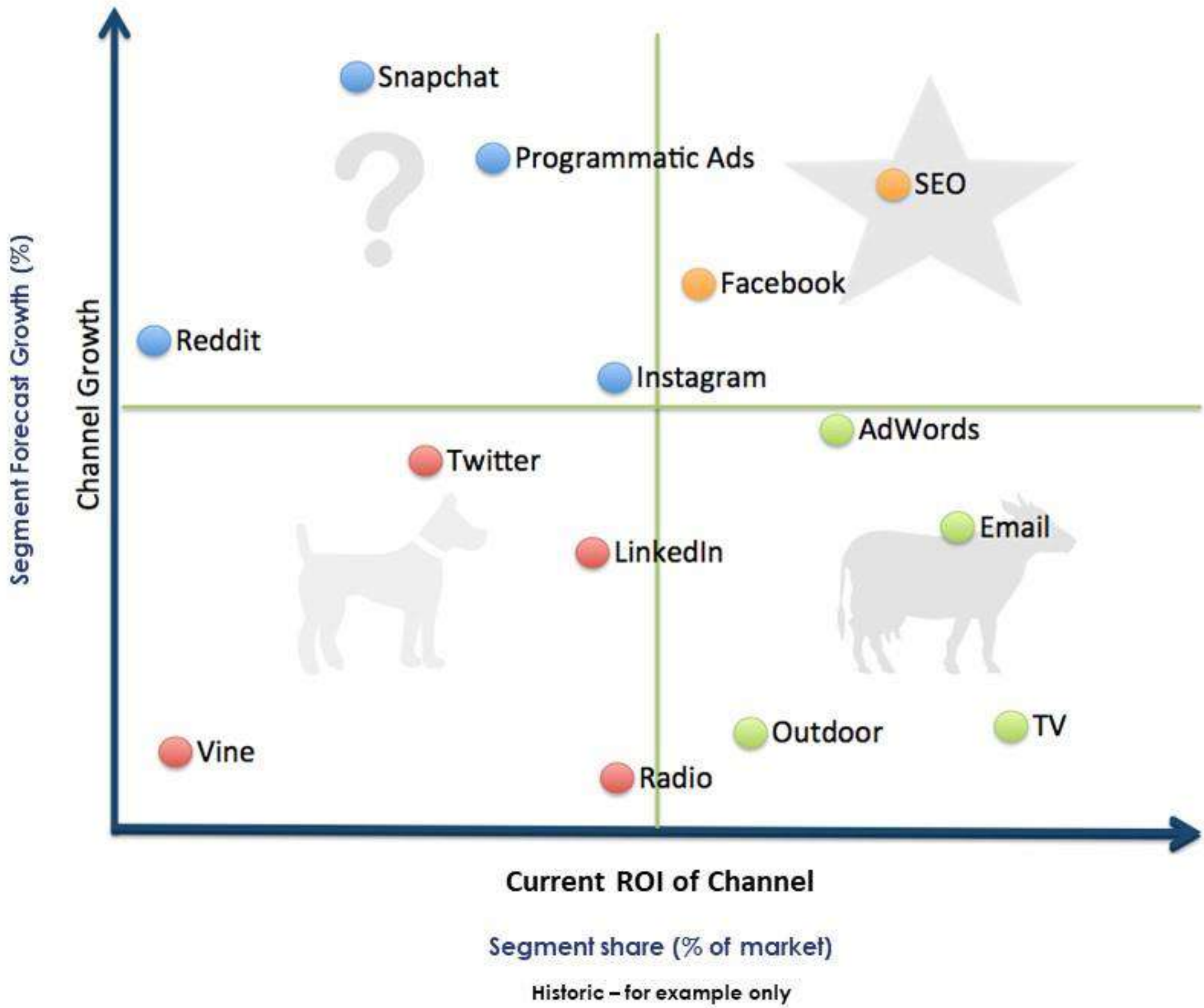


Kindle

Fire TV

Smartphones

Increasing Relative Market Share



Interesting Read: [BCG Matrix on the World of Ice Cream]

THE ANSOFF MATRIX

MARKETS	PRODUCTS: EXISTING	PRODUCTS: NEW
EXISTING	Market Penetration Strategy	Product Development Strategy
NEW	Market Development Strategy	Diversification Strategy

CREATED BY: IGOR ANSOFF, 1960 ESSENTIAL MARKETING MODELS HTTP://BIT.LY/SMARTMODELS

ANSOFF MATRIX:

Ansoff Matrix is vital for strategic planning to find out opportunities that can help grow business by developing new products & services or tapping into new markets.
Also known as **Product-Market Matrix.** It is a tool used by the brands to plan and analyse their growth by putting their product portfolio (existing or new) in different categories.

The Entire product portfolio of a brand can be divided into one of the 4 categories mentioned below:

Market Penetration: Increasing sales of existing products to an existing market.

Market Development: Entering a new market using existing products.

Product Development: Introducing new products to an existing market.

Diversification: Entering a new market with the introduction of new products.

The Ansoff matrix provides four different growth strategies:

1. Market Penetration:

- This involves increasing market share within existing market segments. This can be achieved by selling more products/services to established customers or by finding new customers within existing markets.
- The risk involved in its marketing strategies is usually the least since the products are already familiar to the consumers and so is the established market.
- Companies do launch products with lower price to increase penetration.

E.g.,

- iPhone partnering with banks to provide finance for users who may aspire for an iPhone but not being able to purchase due to high cost.
- Integration of Buy now Pay Later or Zero-cost EMI in eCommerce is one way to reduce barrier to purchase by reducing initial cost to purchase.

2. Product Development:

- Product Development involves developing new products for existing markets. It involves thinking about how new products can meet existing customers' needs more closely and outperform the competition.
- It can also involve the modification of an existing product.
- It is slightly riskier, because you're introducing a new product which need investment in R&D, Marketing & Manufacturing. Sometime companies initially outsource the product manufacturing to reduce capex & risk.

E.g., **Britannia**, a biscuit manufacturer, introducing a hybrid biscuit named Potatoz which is an amalgamation of chips & biscuits. **PayTM's** failed venture in eCommerce via PayTM Mall is another example.

3. Market Development:

- This strategy entails finding **new markets for existing products**. Market research and further segmentation of markets helps to identify new groups of customers.
- This strategy assumes that the **existing markets have been fully exploited** thus the need to venture into new markets.
- There are various approaches to this strategy, which include: **New geographical markets, New distribution channels, New product application**, etc.

Example: OYO Room's venture in China, **Zomato's** venture to UAE, **Xiaomi's** venture to Brick & Mortar stores, etc.

4. Diversification:

- This involves moving new products into new markets at the same time.
- It is the riskiest strategy among the others as it involves two unknowns, new products being created and the discovery of new market variables.

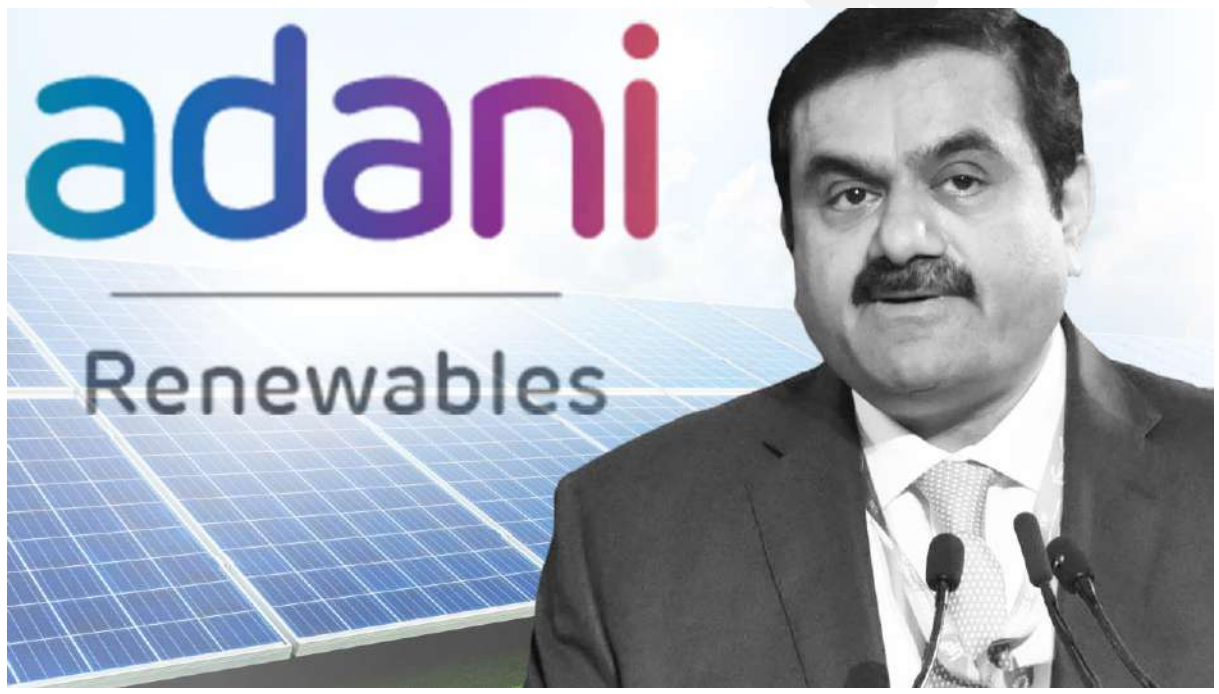
There are two types of diversification:

Related diversification: This means that the business remains in the similar sort of industry of which the company has experience.

E.g., **Adani's** venture for green energy when they have earlier know-how of traditional energy. **Swiggy's** venture in quick commerce is another example.

Unrelated diversification: In this, there are usually no previous industry relations or market experiences. Usually during such expansion, company may form a JV or an alliance to reduce the risk.

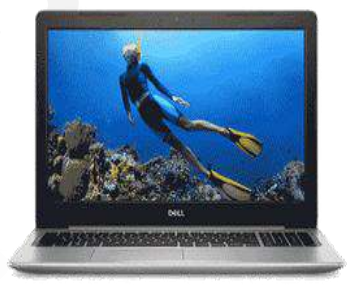
E.g., One of the most successful example is **Bajaj** which has experience in mechanical products venturing in finance via **Bajaj Finserv.**



ANSOFF matrix of XIAOMI:

EXISTING **NEW**

Product

Market	EXISTING	NEW
EXISTING	**MARKET PENETRATION** SMARTPHONES POWER SUPPLIER EARPHONES	**PRODUCT DEVELOPMENT** MI TV  LAPTOP
NEW	**MARKET DEVELOPMENT** 	**DIVERSIFICATION** DRONES ELECTRIC SCOOTER VR HEADSET

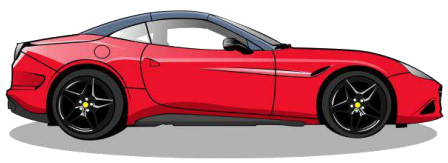
Interesting Read: Where will Apple's next trillion come from?

PRICING STRATEGIES

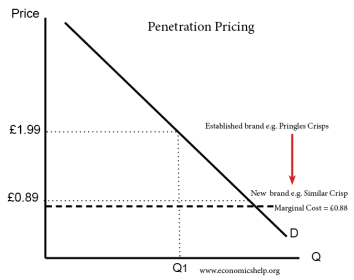
Pricing Strategies:

- Price is the total amount that a consumer pays for a product or a service.
- Companies tend to determine the optimum price for their product/service based on the market share, positioning, competition and the perceived value of the product.
- The Same products can employee different pricing strategies over a period of time as per company's need & shift in consumer preferences.

Premium Pricing



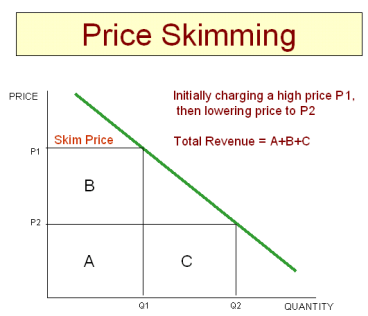
Penetration Pricing



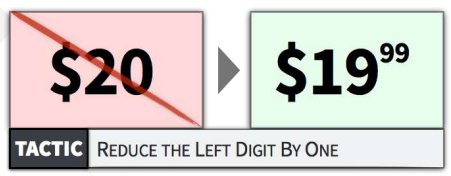
Predatory Pricing

Geographical Pricing

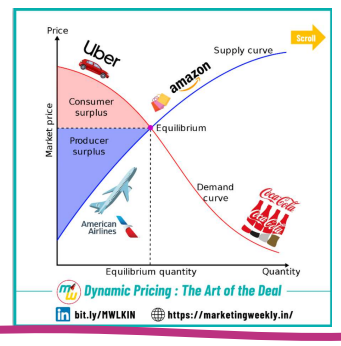
Skimming Pricing



Psychological Pricing



Dynamic Pricing



Bundle Pricing

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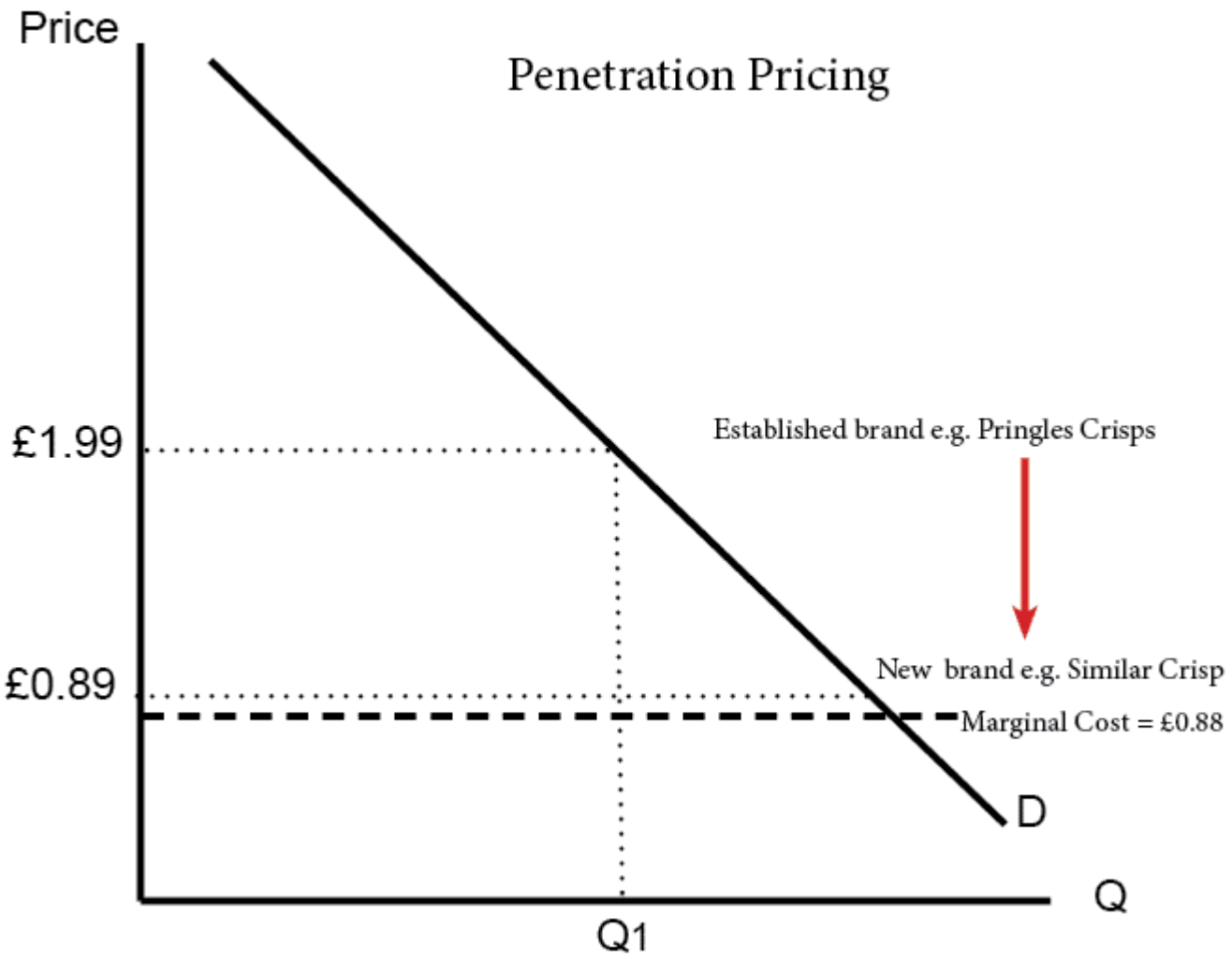
Premium Pricing:

- Product/Service is unique.
- Perceived Benefit of the product is high to astronomical.
- High competitive advantage exist with the marketer.
- E.g. **Ferrari, iPhone, Bloomberg terminal.**

Penetration Pricing:

- Setting the price low with the goal of attracting customers and gaining market share
- Price is raised once market share is gained
- Typical in Indian Aviation Industry.



Predatory Pricing:

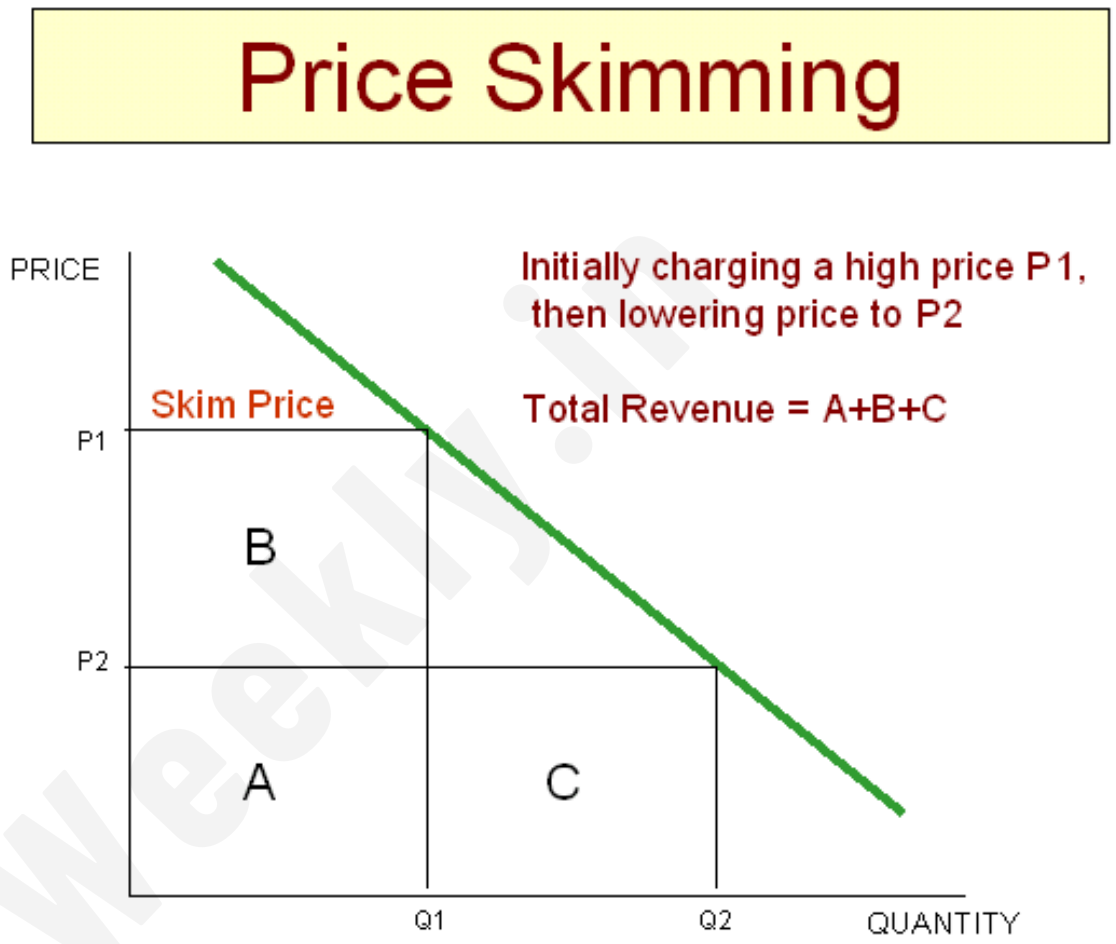
- Selling at extremely cheap rate to quickly increase the market share.
- Works for service based industries like **Telecom, Insurance, Banking, IT etc.**
- Law may curtail & punish if found it anti-competitive.

Geographical Pricing:

- The price variation in different parts of the world can be a business strategy or forced upon by the local market
- It usually occurs due to difference in **PPP, taxes, duties,** etc.
- Example is **Gasoline, Diesel, Cigarettes, & Alcohol.**

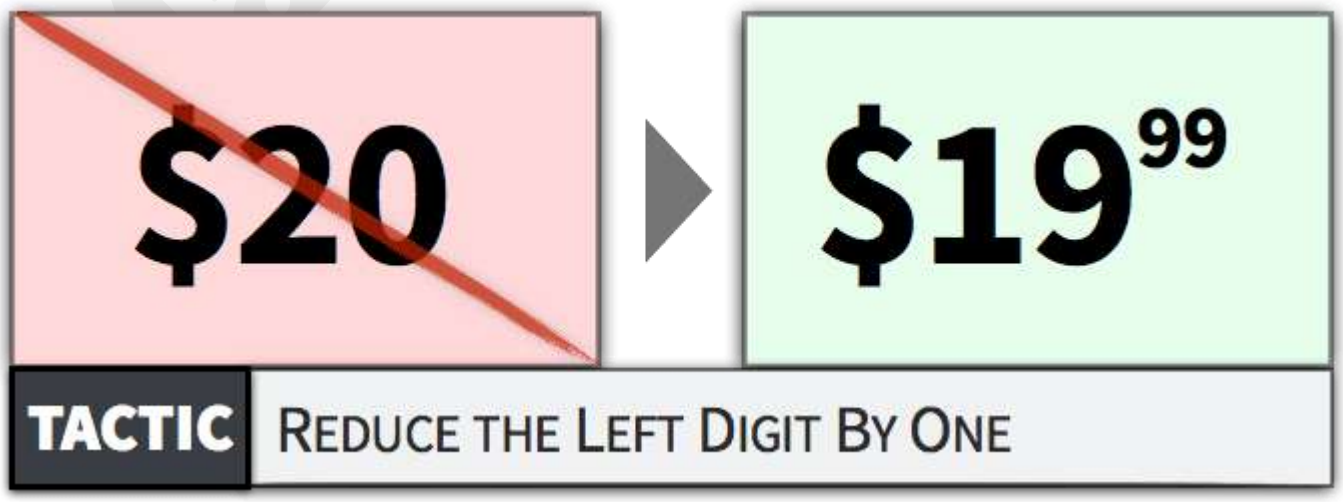
Price Skimming:

- Charge a high price initially because the product is unique and you have a competitive advantage.
- Advantage is not sustainable and eventually price is reduced due to enhanced competition.
- Flagship Smartphones & other electronics.
- Also, gaming consoles and new games enjoy price skimming.



Psychological Pricing:

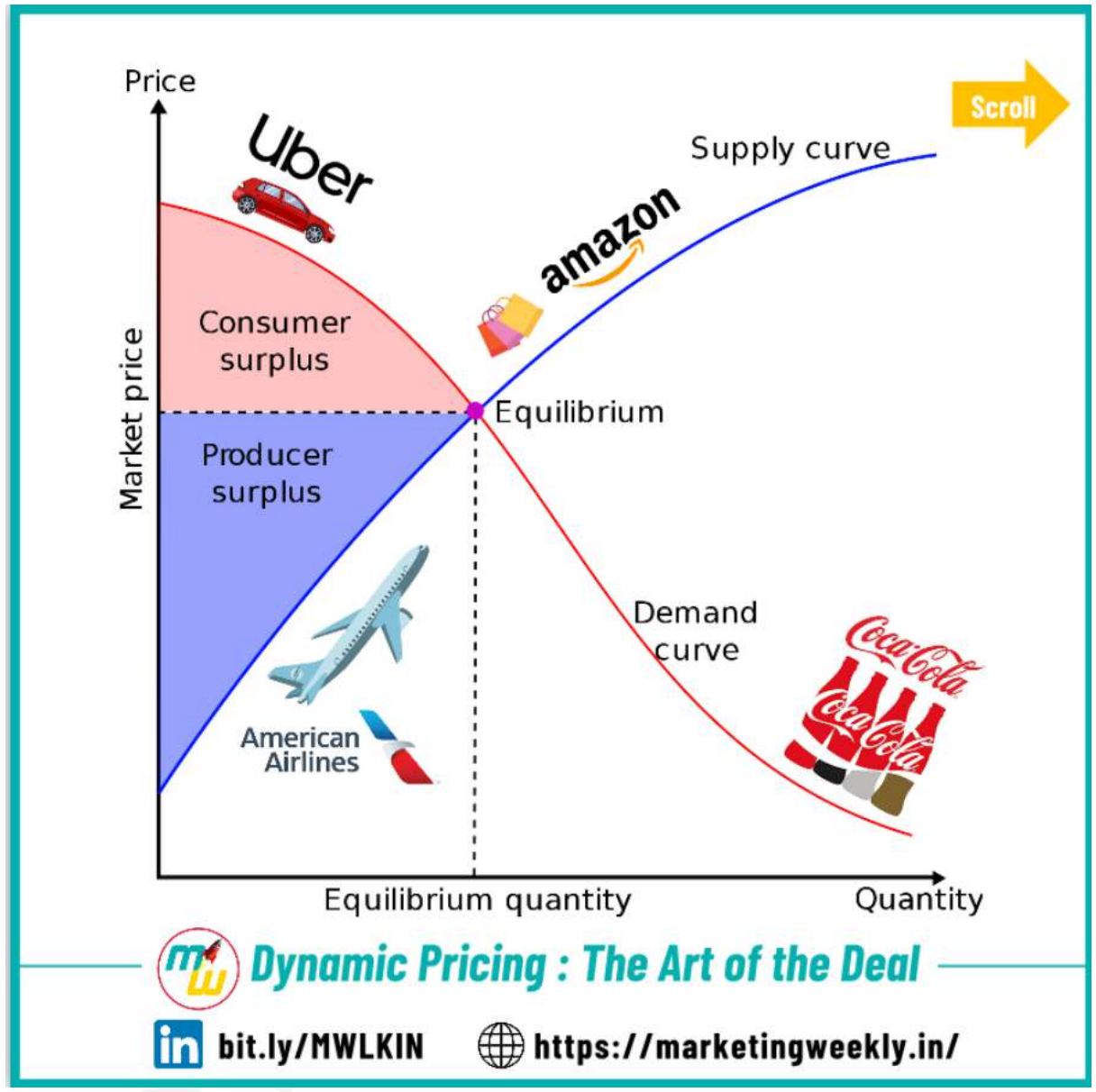
- Marketer wants to entice customers into thinking that the product is cheaper than it is actually.
- Product is available at Rs 199/- instead of Rs 200



Interesting Read: Psychological Pricing

Dynamic Pricing:

- Pricing of Airlines & hotels keeps on changing based on current availability.
- It helps them to optimize revenue at the same time keep demand intact because of low pricing during low days.
- Cabs and Trains also have dynamic pricing.



Captive Product Pricing:

- If products have complements, the core products are generally offered at a lower price while the captive products which are necessary to use the core product are priced highly
- E.g. Razors and Blades, Printers and Cartridges, Credit Cards & Debts, etc.

Bundle Pricing:

- Sellers combine several products in the same package.
- Can be a part of sales promotion.
- Can be used to dispose off inventory.

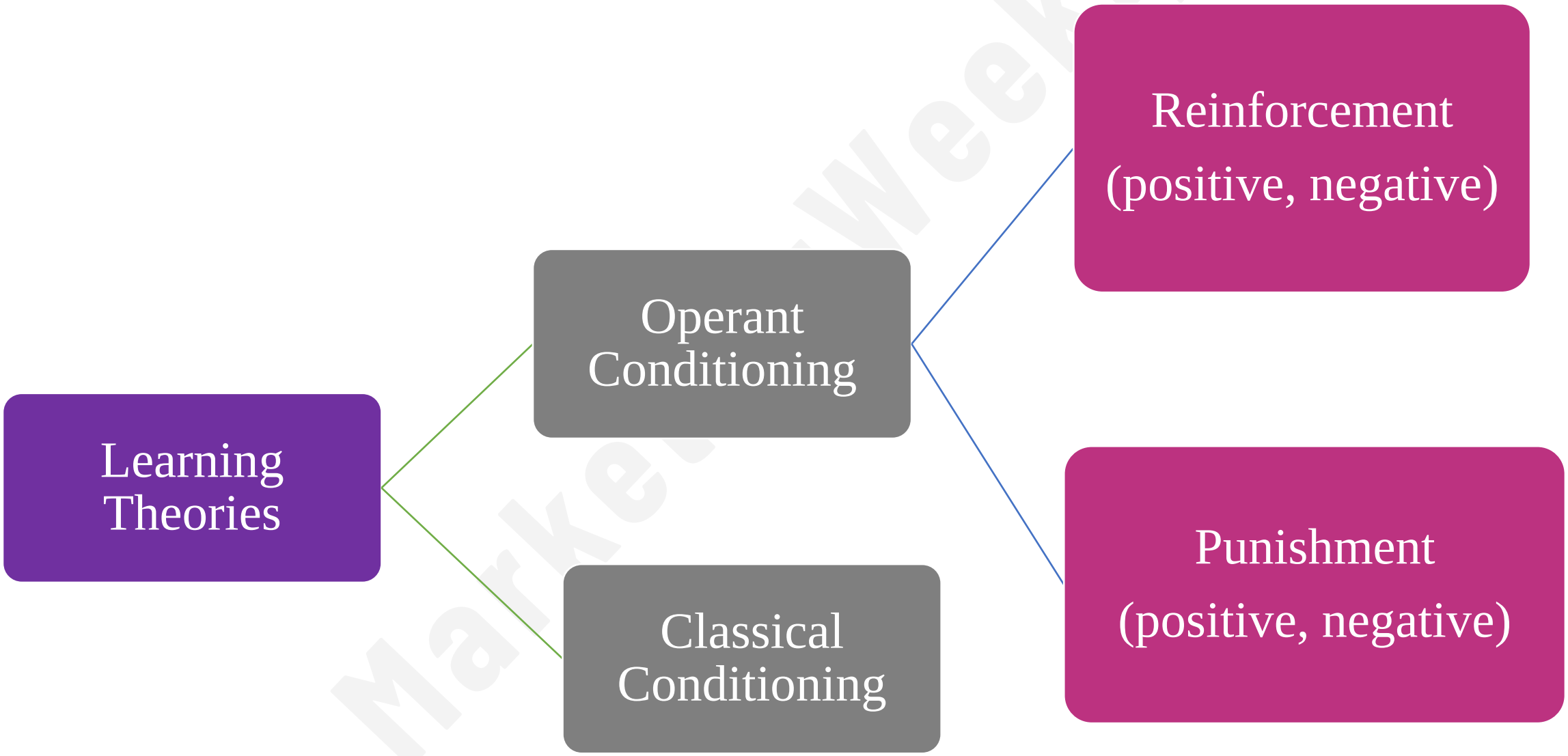
Psychology behind purchasing decision of consumers

Marketing Techniques of

Conditioning

The Learning theories

Marketers use the concept of **learning theories** to influence consumer buying behavior. Learning forms the base of **perception** and of consumer's **motivation** to buy a certain product.



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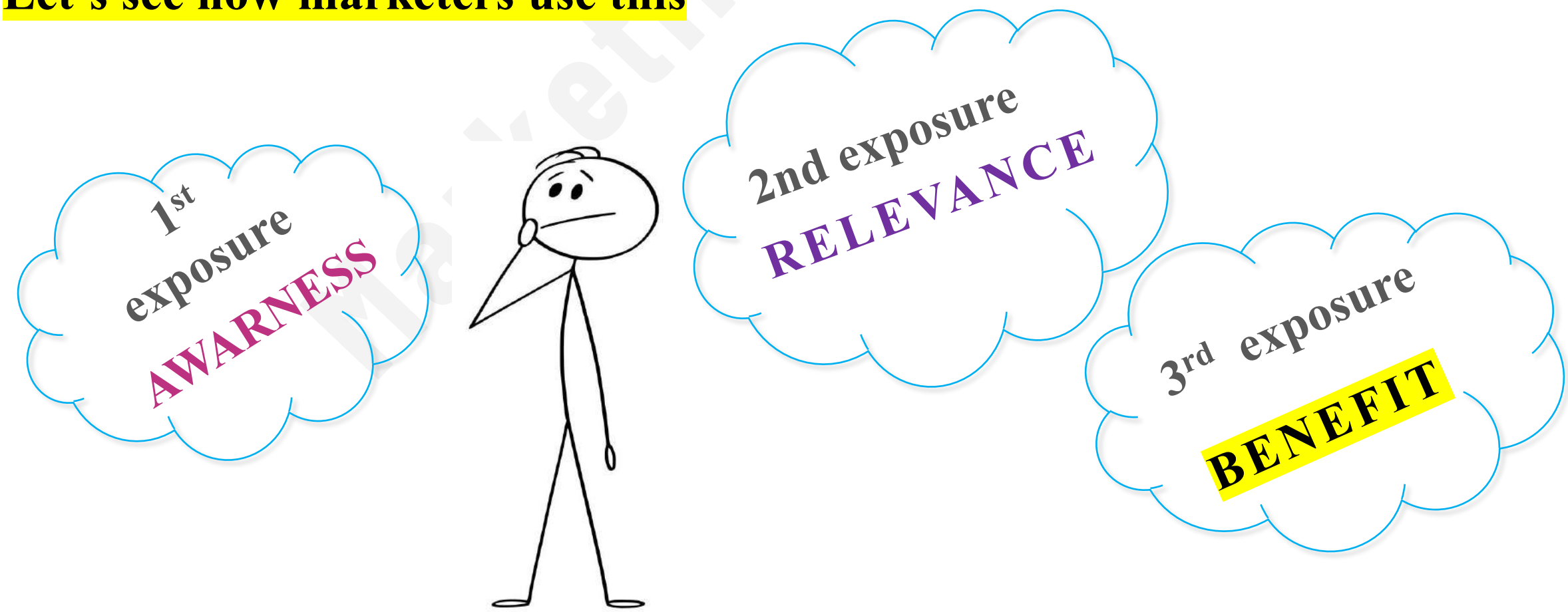
What is classical conditioning?

Do you still feel obnoxious at the sight of the food you once had an unpleasant experience?

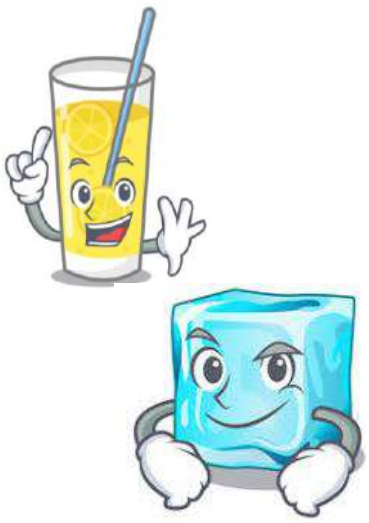
Yes?
Well, this is a perfect example of classical conditioning

The theory is based on repeating principle according to which the involuntary responses can be learnt

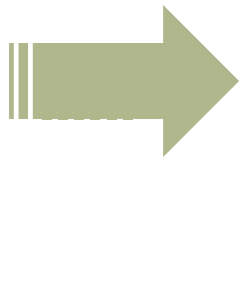
Let's see how marketers use this



Coke and Classical Conditioning



Before Conditioning



Happy

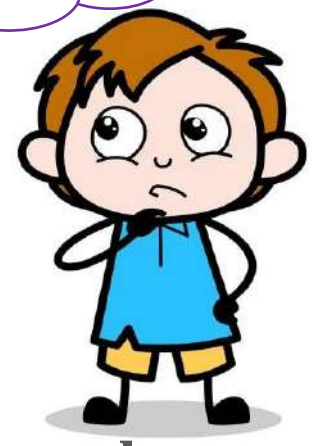
Unconditioned Stimulus

Unconditioned Response

The word "Thanda" is deep-rooted in Indian society.

Before Conditioning

No reaction



Neutral Stimulus

Neutral Response

The ad campaign used the word to link it with Coca-Cola

During Conditioning

Happy

Thanda + Coca Cola

As a result, the campaign succeeded in associating 'Coolness' with Coca-Cola

After Conditioning

Happy

Conditioned Stimulus

Conditioned Response

"Thanda Matlab Coca-Cola"

What is Operant conditioning?

What makes you **order food from the same restaurant every time** you are hungry?

Yes, the taste of the food and the service.
This phenomenon, to choose/reject a product/service after a pleasant/unpleasant experience is known as **operant conditioning**

Operant conditioning can be the result of **reinforcement or punishment.**
Brands mostly use reinforcement as their strategy to motivate consumers

Starbucks: One person. One cup. A lot to offer

Starbucks offers **‘My Starbucks Reward’**, a loyalty program that provides its customers exclusive rewards which acts as positive reinforcement.

Customers can enjoy free drinks, exclusive early access to Starbucks’s newest product, and quick and easy payment with mobile app.

Redbul: Wings for free

Red bull's direct marketing, which included giving **cans for free** on streets ensured they attain an enormous consumer base. This is again an example of positive reinforcement.

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Fair & Lovely: Negative reinforcement in Beauty ads

Beauty ads use the concept of **negative reinforcement** to influence consumers.
They claim to lessen the unpleasant effect like ageing or wrinkled skin and provide pleasant effect of flawless glowing skin

You can train your Dogs too with conditioning!

Before Conditioning

Unconditioned stimulus

Unconditioned response

Neutral stimulus

No response

During Conditioning

Unconditioned response

After Conditioning

Conditioned stimulus

Conditioned response

B2C (Business to consumer)		CATEGORY		B2B (Business to Business)
Selling products to customers (**Individuals**)				Selling products to companies or **firms**
Sale (Bill) amount are usually **small**				Sale (Bill) amount are usually **Large**
Driven by **promotions** & panache				Driven by **efficiency** & cost effectiveness
Customers want to be **entertained** (elated).				Firms want to be **educated** (Informed) about products
Relationships are **short-termed**				Long term **Relationships** are established between firms
Decision making is **simple**				Decision making involves **multi-level** meetings
Centered on desires & **gratifications**				Centered on **Logic** & rationale

Interesting Read: Strategy guide for B2B

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FLAT SALES FUNNEL INFOGRAPHIC

Interesting Read: [Community Marketing – a focus on customer retention]

Purchase Funnel: The purchase/purchasing funnel is a model which describes the theoretical customer journey from the moment of first contact with your brand to the ultimate goal of a purchase.

Digital Marketing Funnel:

1. **Engagement**: Here marketing funnel is concerned with ensuring that customers' interactions with your brand are positive and that they're open to future interactions.
2. **Education**: It is helping potential customers realize that they have a problem that you can solve for them.
3. **Research**: At this point, marketing still isn't focused on selling a product, but rather on helping customers identify how they can benefit.
4. **Evaluation**: Customers may be looking at multiple competing solutions to their problems, so the focus should be on showing why you're the best.
5. **Justification**: The justification stage is about finding ways to overcome objections, obstacles, or inertia. Perhaps the customer isn't the one with the ability to make buying decisions.
6. **Purchase**: The purchase stage is all about the sale.
7. **Adoption**: Adoption, the first post-purchase stage of the digital marketing funnel, necessitates making good on your promises.
8. **Retention**: Satisfied customers become repeat customers. To retain customers, give them help when they need it, and provide them with educational materials on how to get the most out of your product.
9. **Expansion**: This might mean selling customers additional products or services, upgrading their service, or getting them interested in a completely different product that solves a different problem.
10. **Advocacy**: Extremely satisfied customers can help you expand your customer base further. They become brand advocates and do part of the work of selling your product to their peers, colleagues, and friends.

Product Life Cycle:

Product life cycle refers to the length of time from when a product is introduced in the market until its removal from the shops/Stopped production.

PLC is classified into 4 or 5 stages.

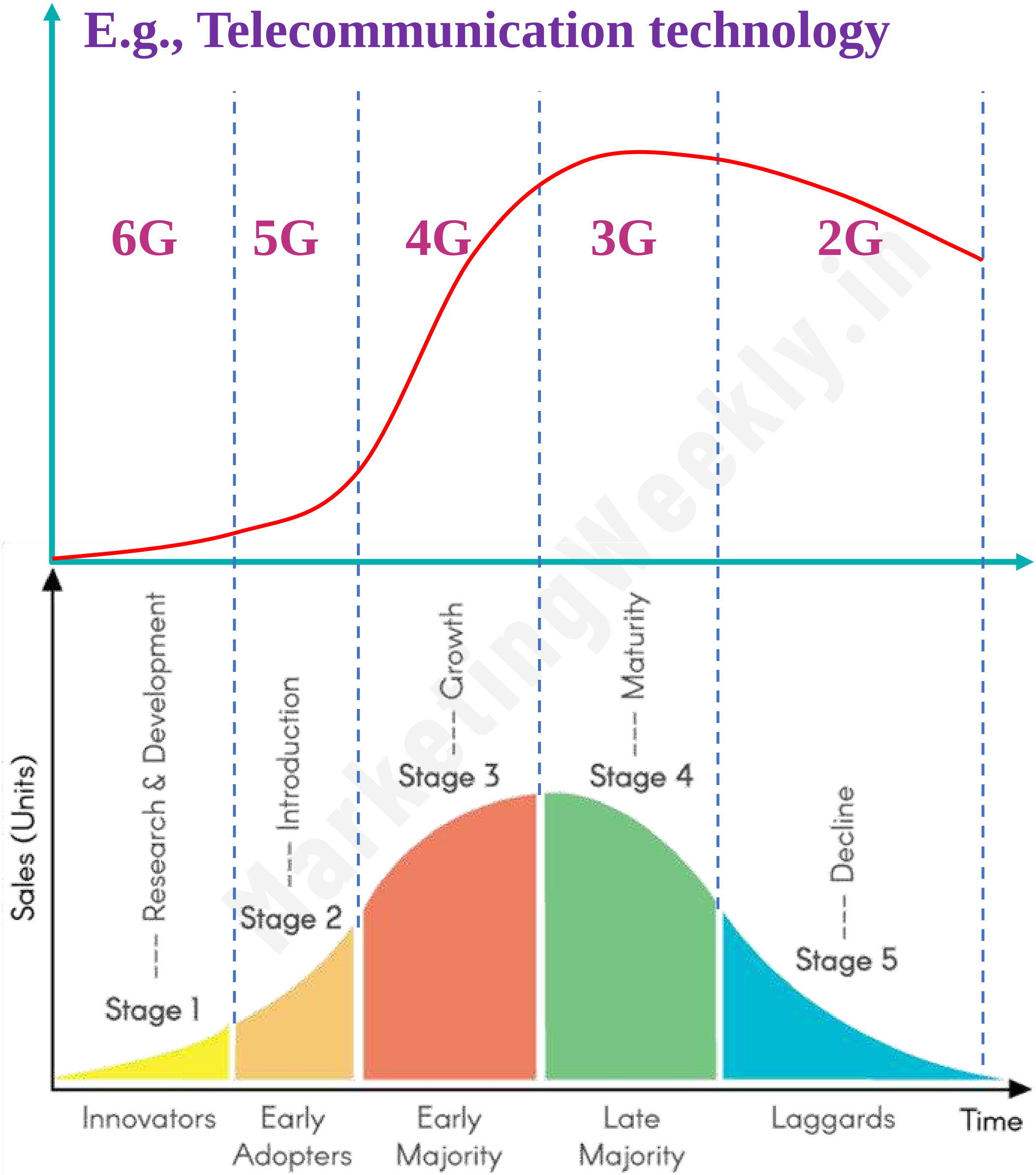
1 & 2: R&D and Introduction
3: Growth Phase
4: Maturity
5: Decline

A few KPIs are stated in the below graph from Kotler.

Characteristics	Introduction	Growth	Maturity	Decline
Sales	Low Sales	Rapidly rising	Peak	Declining
Costs	High cost per customer	Avg cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising	High	Declining
Customers	Innovators	Early adopters	Middle majority	Laggards
Competitors	Few	Growing	Starting to decline	Declining

Adopted from: Kotler, Marketing Management

E.g., Telecommunication technology



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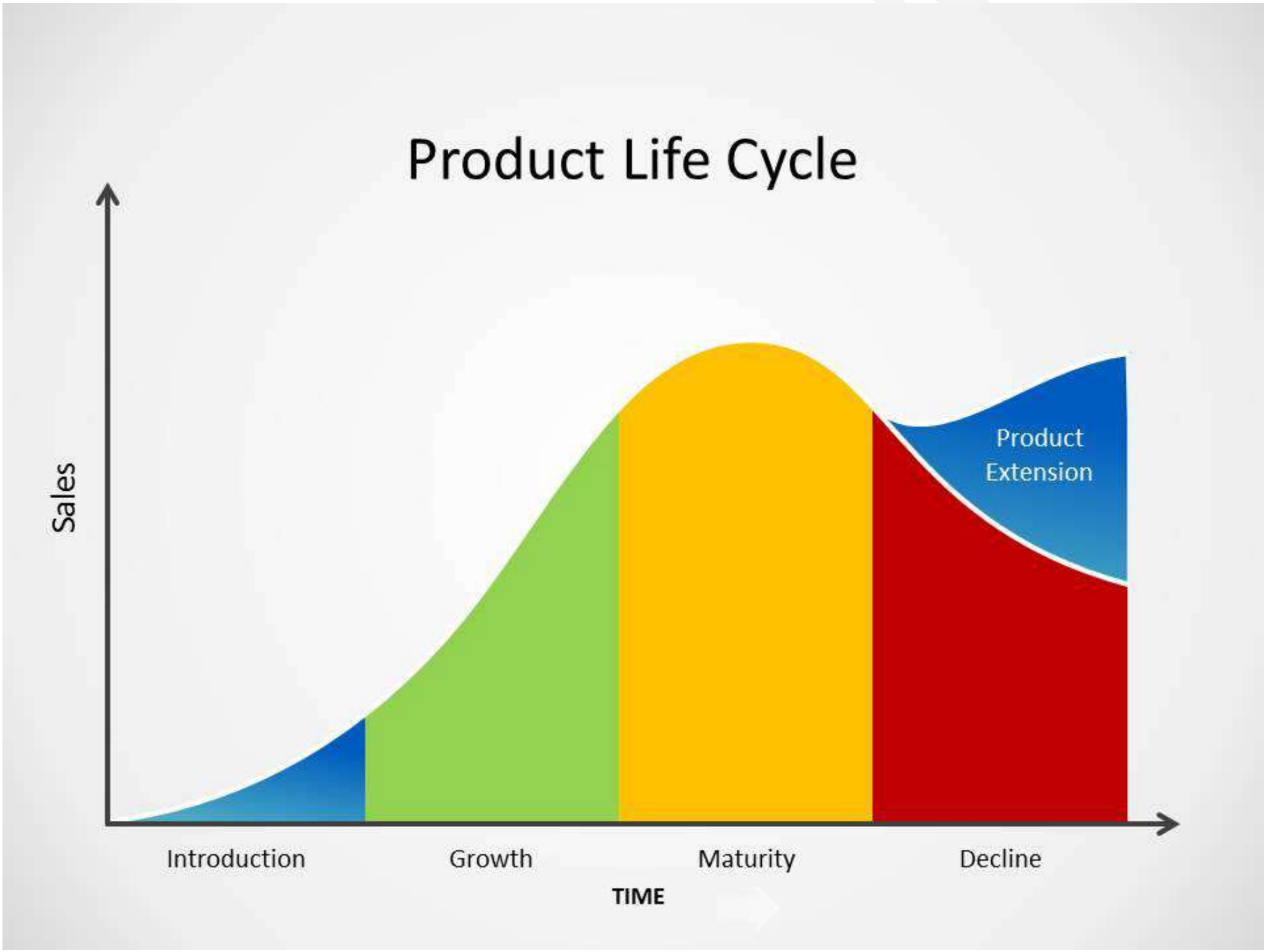
PLC Extension:

When **Hyundai's Creta** started losing against **Kia Seltos**, Creata launched its new Facelift version.
Another example: After the success of **Tata Tiago,** they entered the premium hatchback segment with **Altroz** to fend off **Maruti's Baleno**.
Check out how Microsoft expanded its **Microsoft Office suite**.
You will get the idea ☺



Interesting Read: : Product LifeCycle of Apple's iPod

Hello!
BRAND

What is a BRAND?:

In order to find a Job, the first thing you do is build a CV.

What does the CV represent? It represents an image of you, a perception, **a promise that will be fulfilled once you are hired**.

This is your brand!!

A brand is a **perception that the customers have about** your product or service. It is an emotional and psychological bonding between your customer and your brand.

A trademark is a brand name that is **legally differentiated** from all the other brands.

For Example, **Coca-Cola is a trademark.**

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There are two terms sometimes alternately used to talk about a brand: Brand image and Brand experience. In marketing terms, **they have two distinct meanings**.

Brand Experience is the **sum total of all contact points** with the brand. For example Advertisements, Buying, Using, Longevity, etc.

Brand Image is a virtual construct of a brand inside the minds of the customer; it is the **sum total of all the expectations** that a customer has about the brand.

Different brand elements that make a brand:

- ✓ Name
- ✓ Logo
- ✓ Theme
- ✓ Shape
- ✓ Graphics
- ✓ Colour
- ✓ Sound
- ✓ Movement
- ✓ Smell
- ✓ Taste

Example

Amazon has been one of the most **valuable brands** in recent years because it has maintained its core brand values – **ease of use, speed, agility-** even while diversifying.

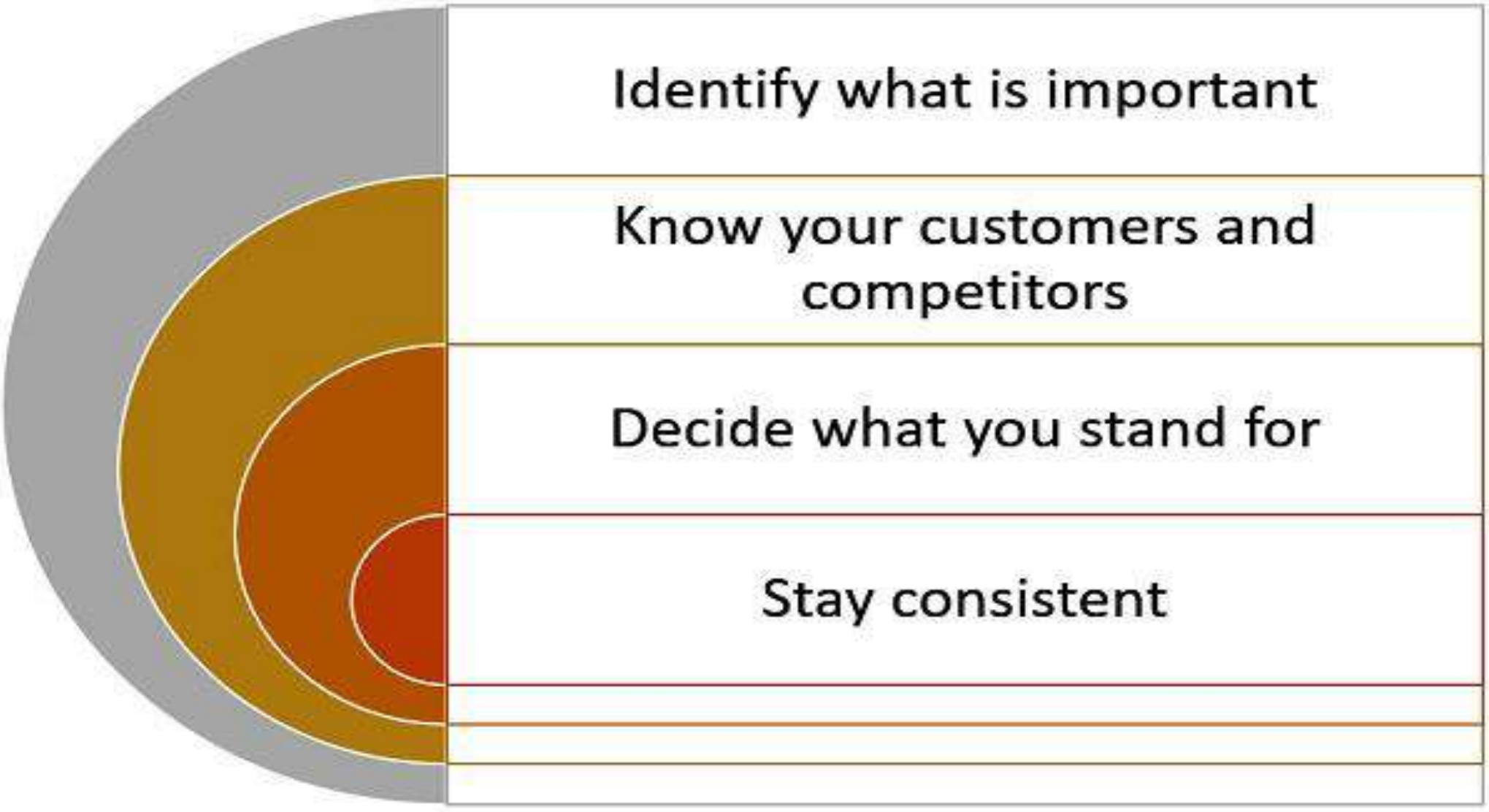
Closer home, **Reliance Jio in just 4 years** has created an enviable brand image that is rooted deeply in **India, celebrating its vibrancy, diversity, and happiness.**

BRAND VALUE

Brand value is the **financial worth** of the brand.
To determine brand value, businesses need to estimate how much the brand is worth in the market – in other words, how much would someone pay for your brand name.

We can also define it as The difference between what a customer pays for getting the branded product, i.e., from the brand point of view, and a similar product without a revered brand name.

The main steps for creating brand value are:



Brand value Vs. Brand Equity:

There is often confusion between both these terms.

The following table explains the difference between both the terms:

Basis for Comparison	Brand Equity	Brand Value
Meaning	Brand Equity is the worth of the brand that a firm earns through consumer consciousness of the brand name of the specific product, instead of the product itself.	Brand Value is the economic worth of the brand, wherein the customers are readily willing to pay more for a brand, to get the product.
What is it?	Attitude and Willingness of the consumer towards the brand.	Net present value of forecasted cash flows
Derived from	Customers	Product and Service Quality, Channel relationships, Availability, Price and Performance, Advertising, etc.
Indicates	Success of the brand	Total financial value of the brand.

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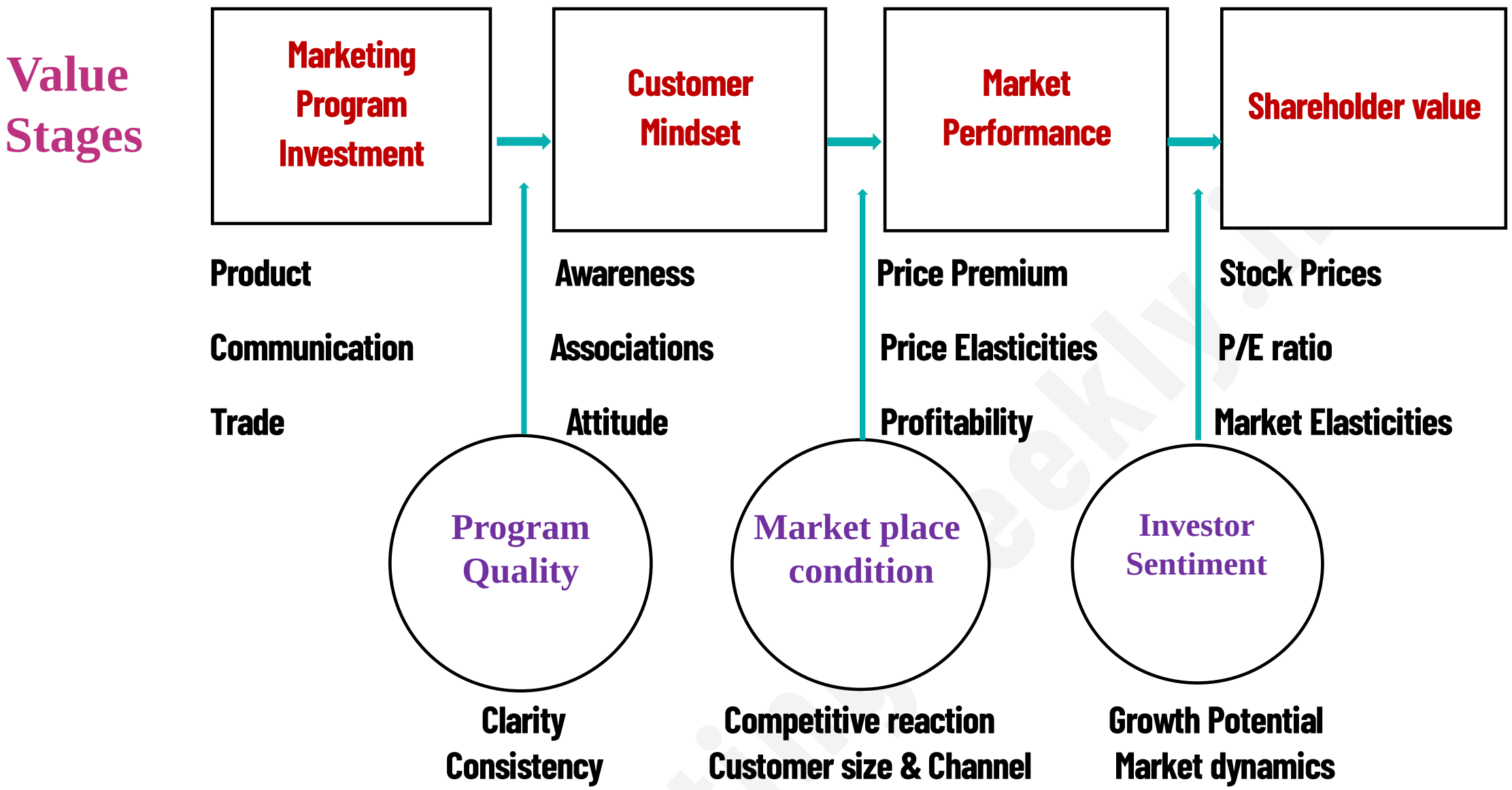
The Brand Value Chain:



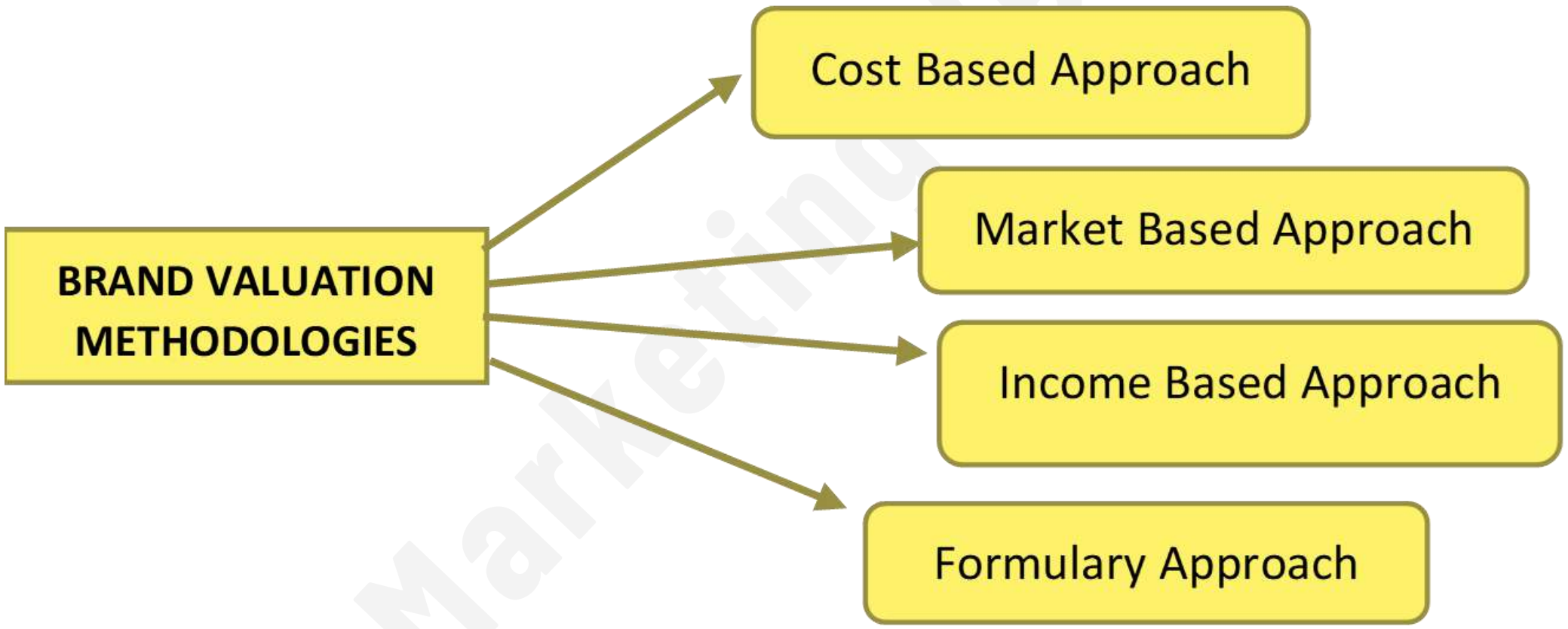
Brand value creation begins when the firm targets actual or potential customers by investing in a marketing program to develop the brand, including product research, development, and design; trade or intermediary support; and marketing communications.

Based on the initial efforts put in, the firm tries to assess- customers' mindsets, buying behaviour, and response to price which is subject to change as a result of the marketing program.

The investment community will then consider market performance, replacement cost, and purchase price in acquisitions (among other factors) to assess shareholder value in general and the value of a brand.

Other important factors which contribute to the brand value are the - Marketing Program Quality, Market place condition, and the general Investor sentiment

Methodologies to calculate brand value:



MOST VALUABLE BRANDS OF THE WORLD:

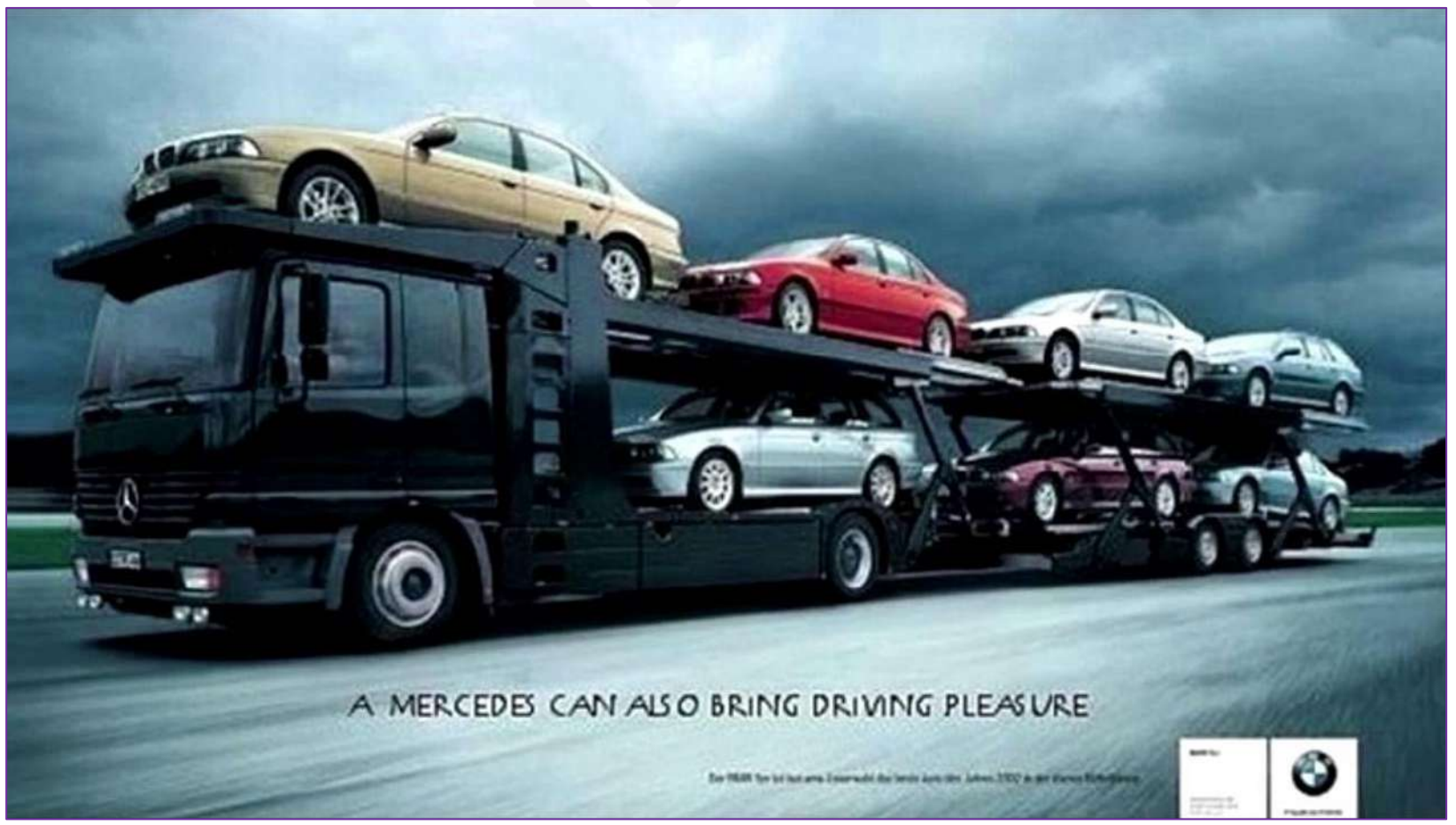
*Learn about 14 Brand health Metric **Here**.*

Brand Rivalry

May the best brand win!

What is Brand Rivalry?

It can be defined as the competition between brands offering similar line of products to the same target audience at similar prices with the goal of increasing market share and overall revenue.



Why does Rivalry exist?

To win potential customers:

- The idea is to win new potential customers who haven't bought your or your competitor's products yet.

To win rival customers?

- The idea is to win the rivals' customers whilst preserving the brand's original customers.

To win sales from shared customers:

- The idea is to win a large share of sales from customers that have subscribed to multiple providers.

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Famous brand rivalries:

VISA vs Master Card:

Ever since plastic money made its way into people's lives, these two financial service providers are in competition with each other head-on.

Marvel vs DC:

These two companies took their rivalry to another level by publishing a comic series named 'Marvel vs DC' to show open rivalry between the superheroes.

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Famous brand rivalries:

McDonald’s vs Burger King:

Serving the same customers atsimilar prices, Burger King and McDonald's have taken a dig at each other time and again, especially over their hamburgers.

Coke vs Pepsi:

With their innovative marketing campaigns, these two famous soft drink giants are able to attract customers even after the customers’ focus shifted towards healthier drinks

Benefits of Brand Rivalry:

Builds Loyalty

Rivalries help brands get customers to take their side and discourage them from using competitors' products.

Gains sympathy

Rivalries help smaller brands or start-ups get sympathy votes from their customers

Attracts attention

If a rivalry becomes controversial, it brings in free publicity and word-of-mouth promotion.

Drawbacks of Brand Rivalry:

Competitor benefits:

Rivalries can also provide visibility to a brand's competitor which can give them attention.

Competitor improvement:

Rivalries increase your competitors' brand awareness even if you're pointing at its flaws.

Awakening sleeping brands:

When brands bite more than they chew, they can even lead to the awakening of the sleeping brands.

Brand. Personality

Brand Personality:

What is personality ?

Combination of characteristics that form an individual's distinctive character, in short, an identity. A brand is also an identity at the end of the day, **something about the brands that we connect with.**

You must have heard people say that they 'love' Coca-Cola, or 'can't live without' Apple's iPhone, won't buy ketchup from anyone, but Heinz

80% of us make decisions before we're rationally aware of them. Instead, our feelings for specific companies are based around one very important concept: our archetype. More precisely, they come from the personality as our '**archetype**'.

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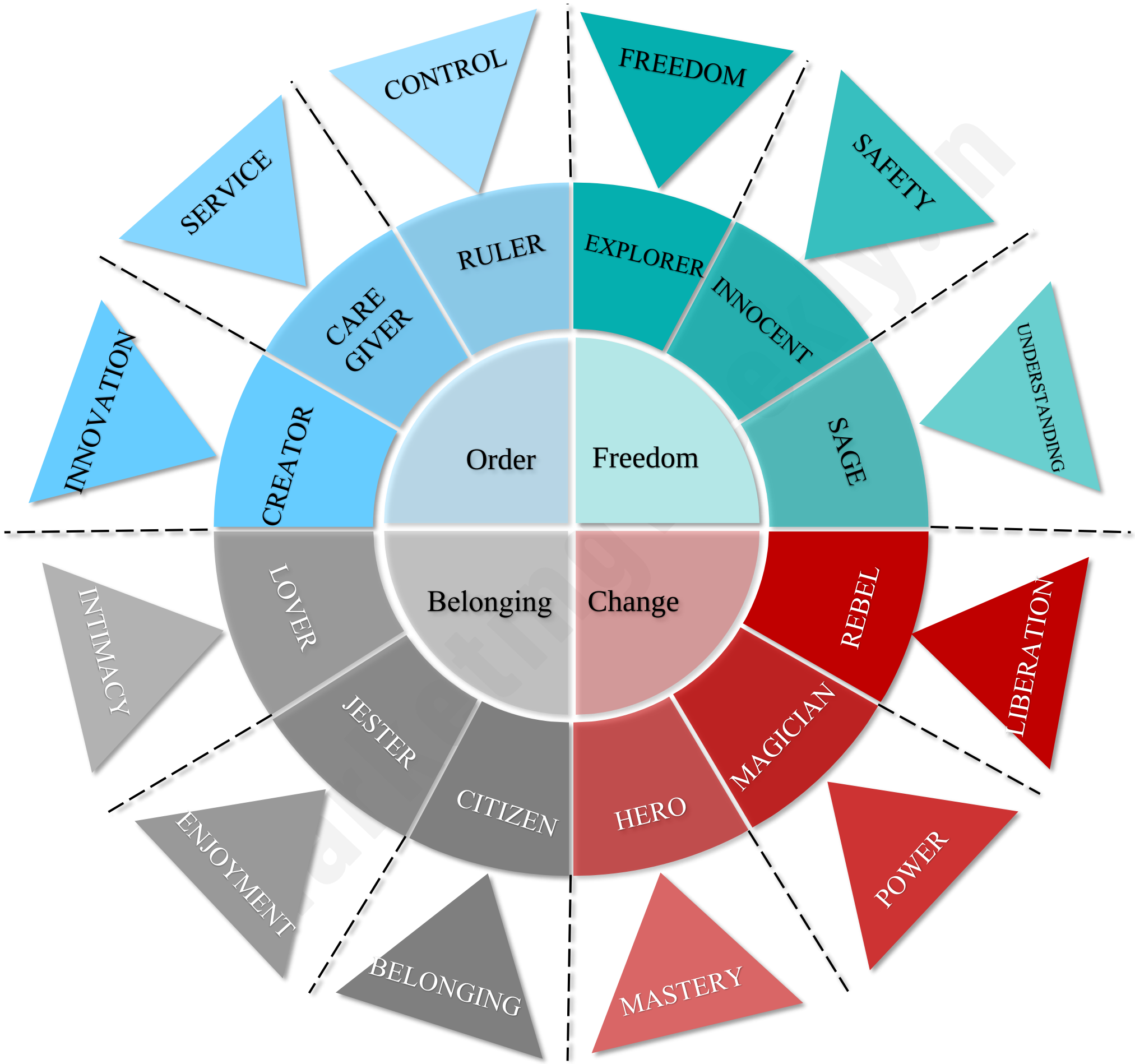
“When properly identified, brand archetypes will reflect the personality of brands and serves to better align personality type with specific Customer Personas”

12 Brand Archetypes



12 Brand Archetypes - Explained

The Explorer

> Recognizes the boundaries around them, they don't let those restrictions stop them

BRAND VOICE

Motivates to walk on your own path

Encourages others to step outside of their comfort zones and follow their heart

WHAT CUSTOMERS FEEL

Motivated to never settle

Encouraged to learn from mistakes

Admires the brand courage

BRANDS

The Innocent

> Loves simplicity and are built around the ideology of spreading joy

BRAND VOICE

Positive and kind vibes through brand experience

Builds trust and connections through honest and nostalgic views

WHAT CUSTOMERS FEEL

Wants to live a beautiful life

Takes life easy, smile

Feels safe and beautiful inside

BRANDS

The Sage

"Celebrates curiosity while sharing knowledge with others

BRAND VOICE

Encourages customers to think in new ways

Message is always factual, without unnecessary emotions

WHAT CUSTOMERS FEEL

Absorbs the knowledge
Digs deeper in the solution finding

Considers the brand as a teacher, a mentor

BRANDS

Forbes Google The New York Times

NATIONAL GEOGRAPHIC BBC MAYO CLINIC

The Rebel

"Goes above and beyond to create something unique for its target audience, and often they inspire an almost cult-like following

BRAND VOICE

Honest, raw and loud

Speaks fearlessly about topics that can be scary, inconvenient or controversial

WHAT CUSTOMERS FEEL

Experiences the uncommon

Thrilled

Feels safe and beautiful inside

BRANDS

HARLEY-DAVIDSON URBAN OUTFITTERS DIESEL

NETFLIX LUSH FRESH HANDMADE COSMETICS Virgin

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Check the remaining 10 Brand Personalities Here

Campaigns example

BRAND IDENTITY PRISM

BRAND IDENTITY PRISM:

Before digging into the details of the Brand Identity Prism, let us understand the brand association. What comes to your mind when you think of

Coca-Cola? Happiness? Refreshing? The iconic coke bottle? Young and socializing? Whatever you think, most of us would associate positively with Coke.

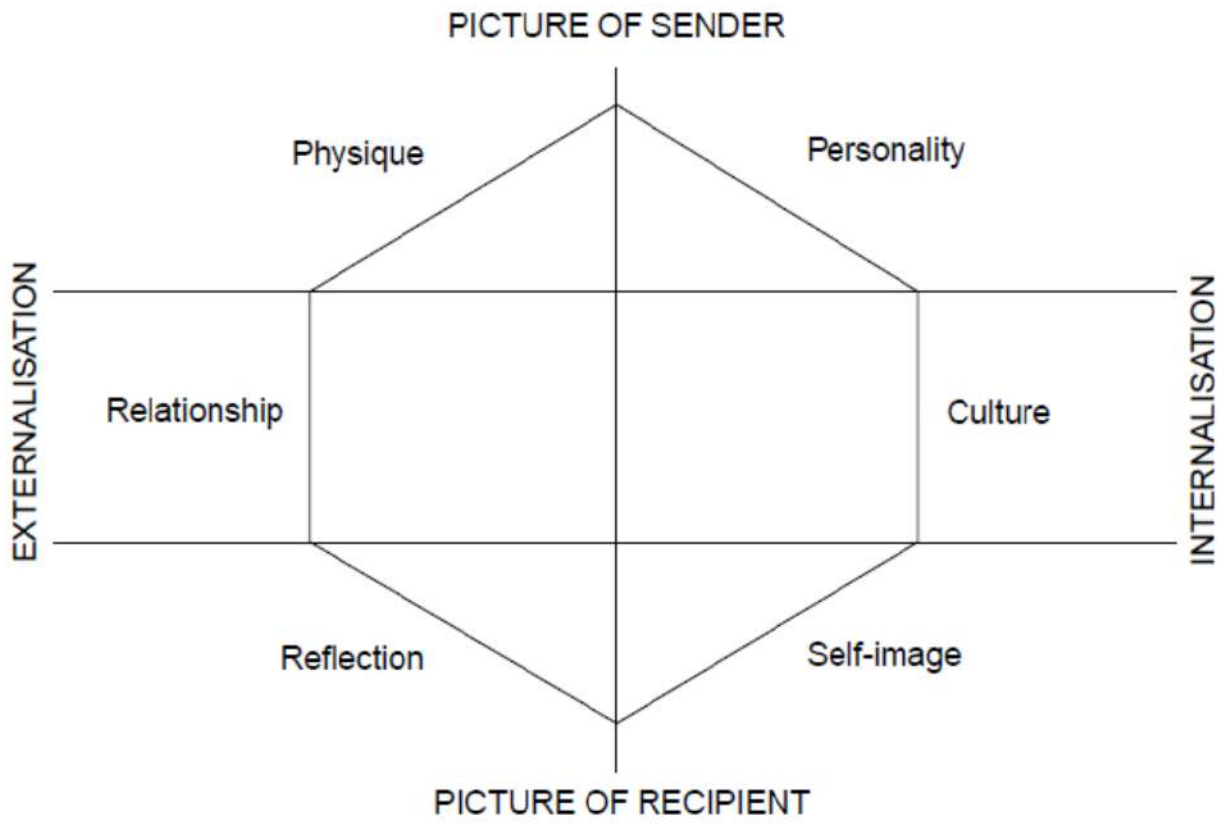
And why so?

The answer is simple: Coca-Cola has done a brilliant job in establishing itself as a positive brand no matter how harmful the drink could be.

The Brand Identity Prism is a hexagonal diagram that helps us understand how the different elements of a brand related to each other.

It was a term coined by **Jean- Noel Kapferer in 1996**. According to Kapferer:

"Strong brands are capable of weaving all aspects [of the prism] into an effective whole in order to create a concise, clear, and appealing brand identity."



Let’s discuss each element of the Brand Identity Prism:

Physique - Physique is the physical characteristics and iconography of the brand. It is the basis of the brand which visually represents the brand’s aspirations and how you wish it to be perceived.

Personality - How a brand communicates with the outside world through its tone of voice, design, and copywriting.

Culture – The principles and the values on which the brand bases its behavior

Relationship - The understanding between the brand and its customers, and what the customer hopes they are getting from the brand beyond the actual product or service.

Reflection - The stereotypical user of the brand. A brand is likely to have several buyer personas, but it will have a go-to subset of its target market that they use in its messaging.

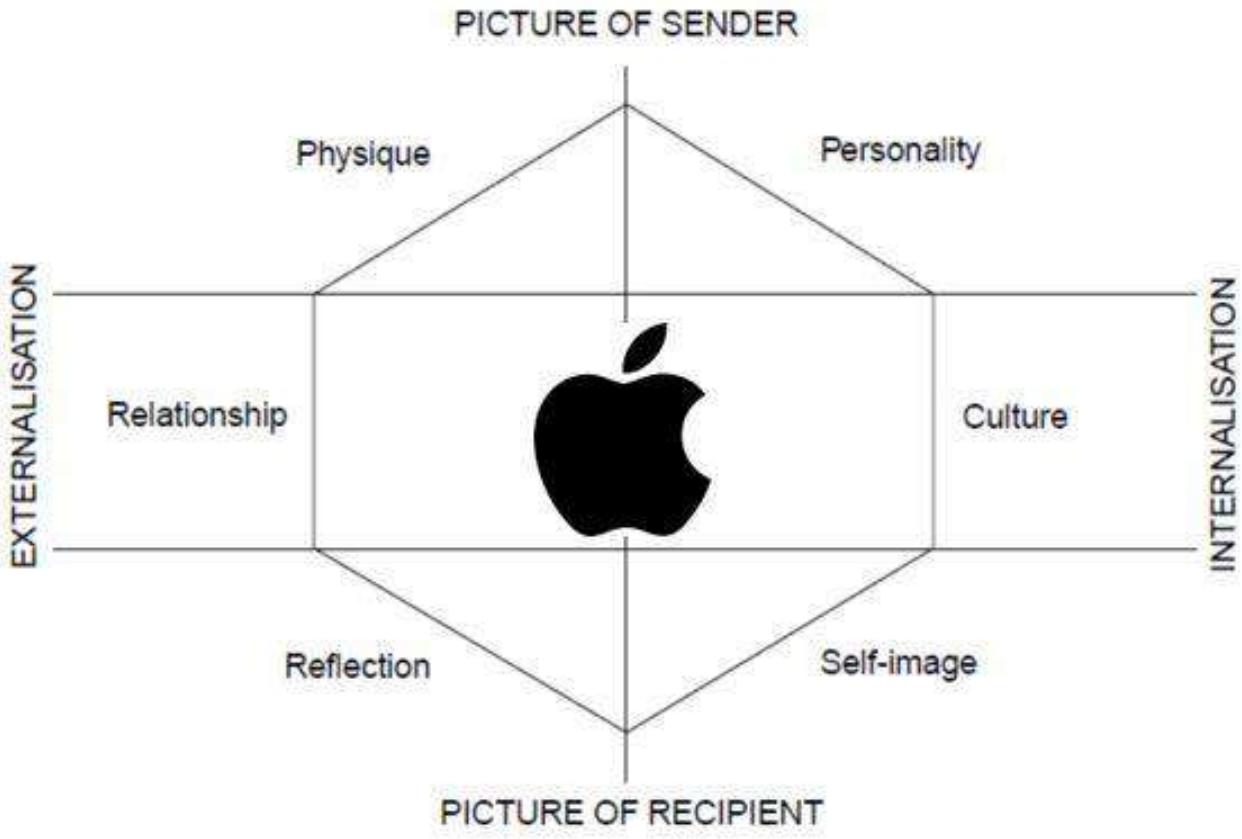
Self-image - How the customer perceives their ideal self. By understanding a customer’s ‘ideal identity’ – what they aspire for and how they tend to look and behave ideally – brands can target their messaging accordingly

Brand Identity Prism for APPLE

Physique:
Micro-computers, All purpose

Relationship:
Liberation, Friendly

Reflection:
Young minded, Autonomous



Personality:
Intelligent, creative, cool

Culture:
Changing the organization, The Valley culture

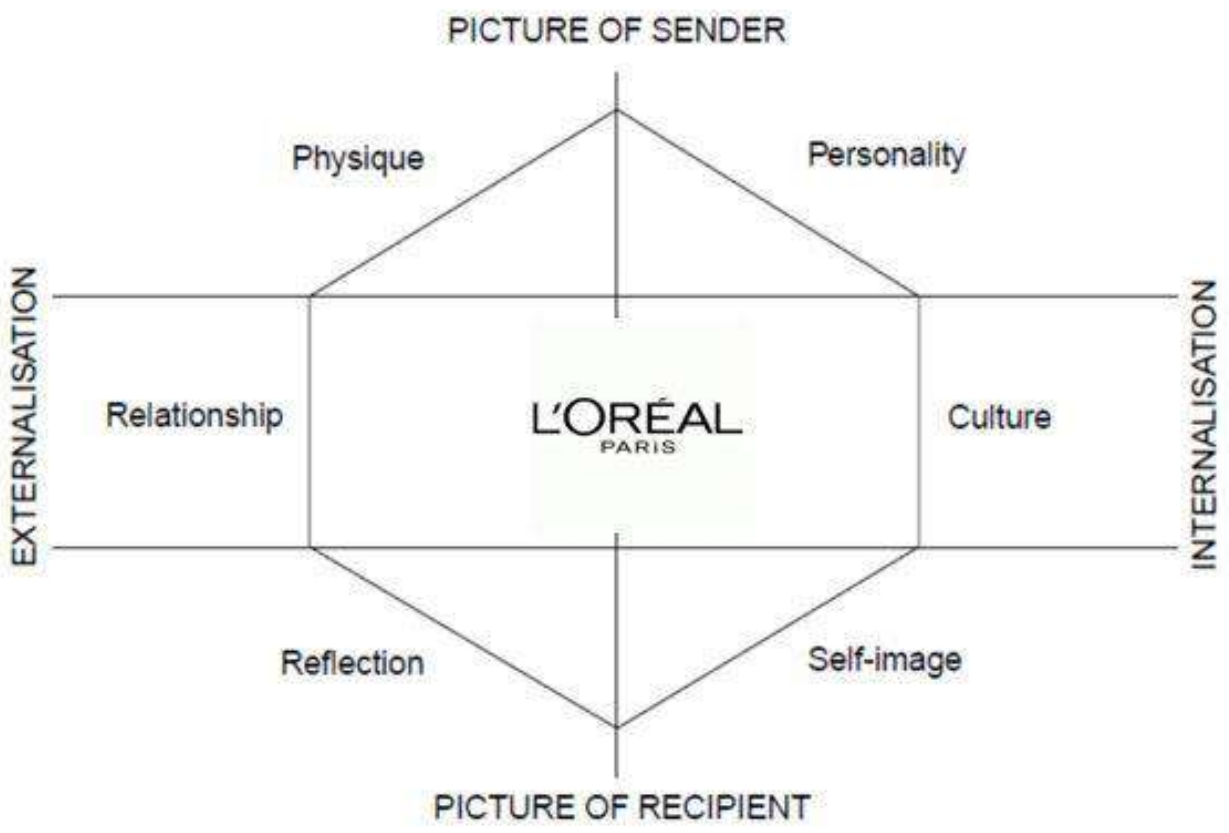
Self-Image:
Self enhancement

Brand Identity Prism for L'Oréal

Physique:
Beauty product for women

Relationship:
Trust and Respect

Reflection:
Beauty Expert



Personality:
Attractive woman, Modern

Culture:
Innovation

Self-Image:
Confident, Independent

Interesting Read: LoveMark in Marketing

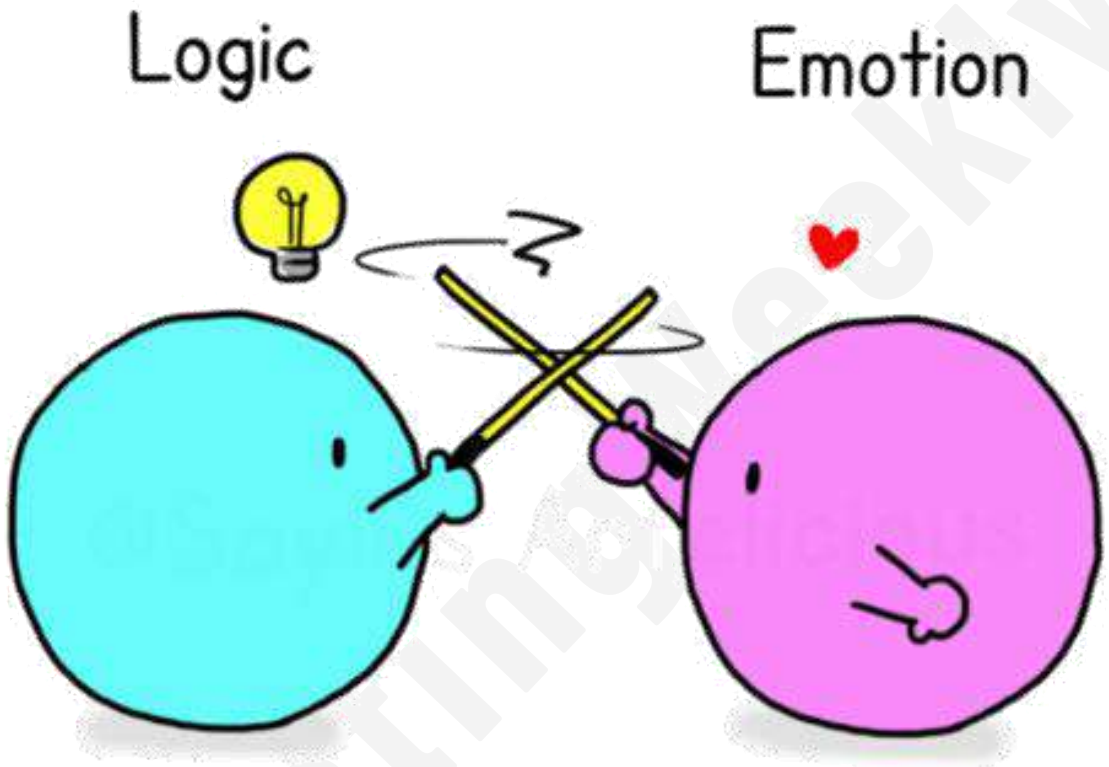
The Psychology of Selling

MarketingWeekly.in

What makes us buy something?

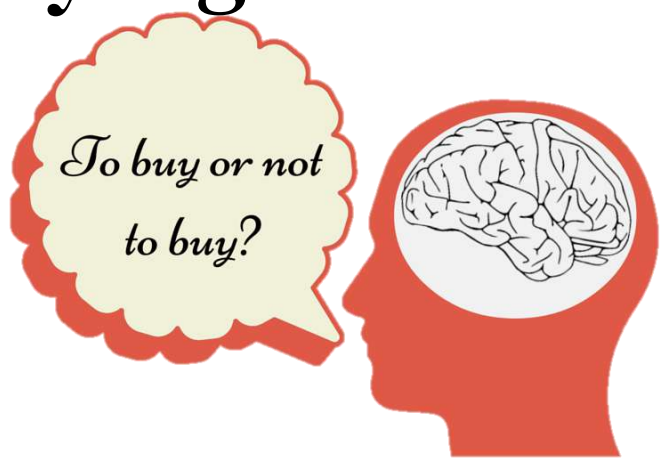
- Simply speaking, Sales psychology is nothing but

  understanding the mind of the consumers



- Most individuals buy a product only because of an

  emotional attachment with it and not any logic



MarketingWeekly.in

A classic Sales Psychology Example

*Starbucks created a **Sense of Reciprocity***

Reciprocity is the act of giving back to someone who has done you a favor.

*Starbucks encouraged people to share the **hashtag #Tweetacoffee** to one of their friends.*

In return, the company offered a free cup of coffee to the friend.

*The campaign resonated with its audience and helped the company generate **$180,000 in sales.***

Understanding the buyer Psyche

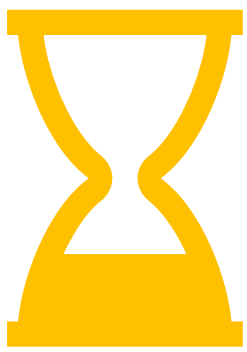
Let's meet Kevin!

When someone tries to sell him something, a new version of Kevin pops up every time

Let us understand Kevin's psyche in more detail:

1. Quick response means you care about me!

- ✓ When any prospect drops an inquiry on your site, it is advisable to ***call within the next 5 minutes.***
- ✓ It creates a solid first impression of your brand



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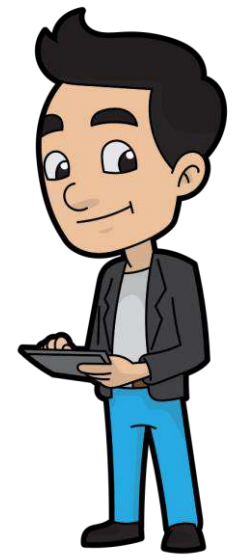
Understanding the buyer Psyche

2. *Respect my time*



- ✓ We all designate our time with different tasks.
- ✓ *Call* prospects at the time when they are *really interested in your product*

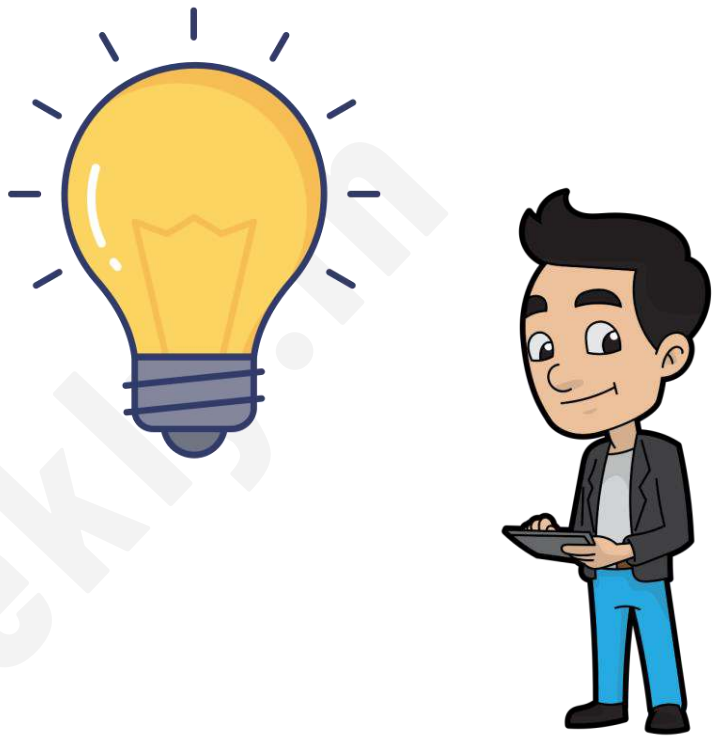
3. *Consistent follow-ups is the key*

- ✓ Multiple research studies say that 72% of calls are never answered.
- ✓ It takes *8 attempts to reach to your prospect.*
- ✓ 50% of all sales happen after 5th attempt.

MarketingWeekly.in

Understanding the buyer Psyche

4. I need solution, not excuses!



- ✓ Prospects care only about whether you can solve their problem or not.
- ✓ Prospects are seeking a solution, and you must offer that!

5. More options lead to more confusion.

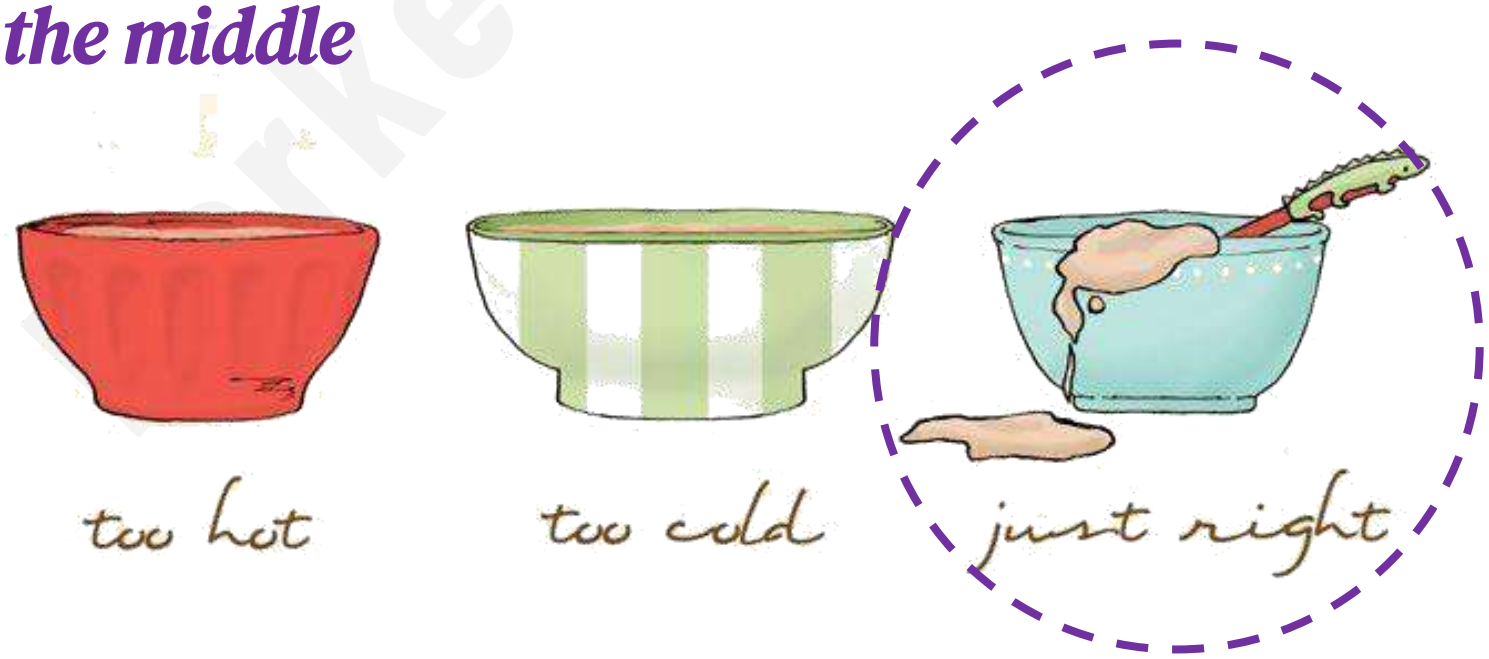
- ✓ People love options, but that does not mean you should *paralyze prospects with a truckload of options.*
- ✓ Don’t create unnecessary confusion.

Goldilocks effect in Sales

When Goldilock discovers three bowls of porridge, she chooses the one that's "not too hot, not too cold, but just right."

Consumer also practice "the Goldilocks effect" all the time while shopping.

They look not for the cheapest or most expensive option but the one that's right in the middle

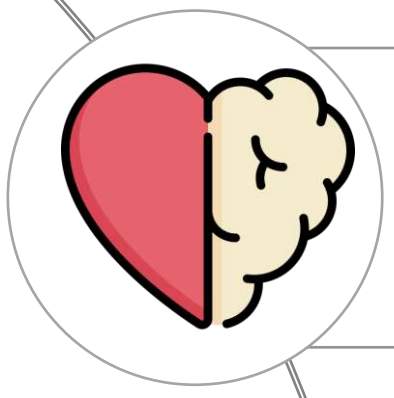


Goldilocks effect in Sales

Let's look at this example from **Dollar Shave Club**

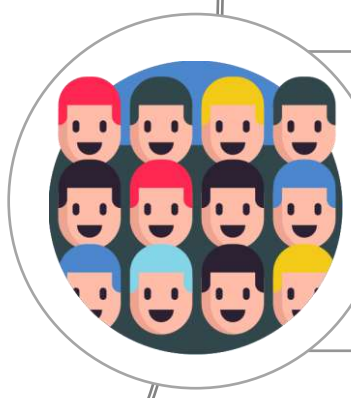
It shows three razors, and the choice in the middle is a "member favorite" at a mid-price range.

Let's Summarize Psychology

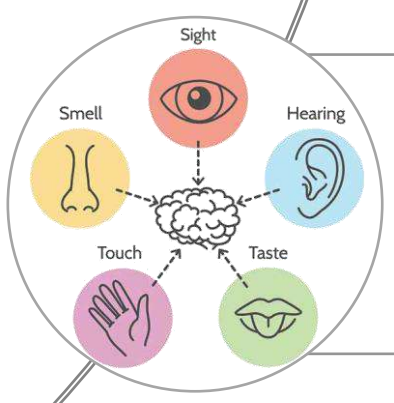


*People make decisions **emotionally***

*People are **egocentric***



*Most people follow the **crowd***



*People like to **see, hear, touch, taste, or smell** before they buy a product*

RURAL MARKETING

What is a Rural Marketing?

Rural Marketing is a high-level understanding of how consumers vary between the developed urban geographies, where disposable income & lifestyle is high, compared to rural geographies which are in a nascent stage of development.

Identification of key behavioral & infrastructure differences in terms of communication touchpoints, price sensitivity, product availability, logistics, and buying frequency comes under rural marketing.

As a brand manager or a sales manager, we need to show a clear intention of unlearning everything urban & write new rules for the rural market.

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What are the major differences between an Urban Market and Rural Market?

The below image shows the stark difference between an Urban and a rural consumer. Although the stats are quite old, you can gauge the difference in infrastructure. ownerships, consumptions, and facilities.
Obviously, many things have improved in the last 15 year, but the difference will remain between urban and rural.

In essence, there are major differences that need complete rethinking while strategizing for a rural market. We will study them in detail in this article along with tangible executable ideas for each difference.

Table 1: Rural Urban Penetration–Rural Index 2005*
(Some Consumer Durables)

Criteria/Products	Rural House Holds (000) Number (%)	Urban House Holds (000) Number (%)	Total House Holds (000) Number (%)
Car/Jeep or van	1603 (1%)	7241 (12%)	8844 (4%)
Two-wheelers	16195 (11%)	25813 (42%)	42008 (20%)
Colour TV sets	18152 (12%)	38572 (63%)	56724 (27%)

Criteria/Products	Rural House Holds (000) Number (%)	Urban House Holds (000) Number (%)	Total House Holds (000) Number (%)
Refrigerators	11014 (8%)	29515 (48%)	40529 (20%)
Washing Machines	1870 (1%)	14447 (24%)	16317 (8%)
Room air-conditioners	76 (0.025%)	2936 (5%)	3012 (1%)
Bicycles	80533 (55%)	36835 (60%)	36835 (60%)
Gas stoves	27390 (19%)	40964 (67%)	68354 (33%)
Pressure cookers	37883 (26%)	45192 (74%)	83075 (40%0
Ectricity Connection	59928 (41%)	46981 (77%)	106909 (52%)
Drinking water In the household	39549 (27%)	35073 (57%)	74622 (36%)
Fuel LPG/electricity/ biogas	8544 (6%)	26090 (43%)	34634 (17%)

1.Literacy

2.Household infrastructure (Water, Electricity, Internet)

3.Public Infrastructure (Banking, Government, Library)

4.Logistics (Private Transport, Railway, Bus, Airport)

5.Place of gatherings (Mall Vs. Mela culture)

6.Taste preference (Both for edible & other products)

7.Income.

8.Space availability.

9.Element of Attachments (Religion, tradition, cattle, etc.)

Understanding today's rural consumer

Open to new experiences with increasing disposable income.

High utility orientation & value-seeking from each purchase.

Open to be connected through digital channels.

Price-sensitive but willing to spend on trusted brand.

Majority shopping is done on special occasions.

Aspires to mirror his urban counterparts.

Strongly attached to local culture & language even on social media.

4 As - The key factors in a rural market

Availability:

A planned trade-off between distribution cost & market penetration to ensure the product reaches remote areas.

Acceptability:

Modifying the product according to the rural conditions and facilitating
ease of usage to make users comfortable with using the product.

Awareness:

Using traditional ATL marketing activities like TV/Radio ads to improve brand recall & connection

Affordability:

Lower SKUs to prompt low-risk trials, along with convinient loans or money-lending facilities for bigger purchases

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Tweaking the marketing mix for the rural market (RM) Product strategies:

- **Modifying product design** to provide the convenience of usage to the RM.
- **Smaller SKUs** to improve trials for first-time users
- **Improving sturdiness & power** to improve attractiveness to RM.
- **Increasing utility** over fancy features to provide maximum ROI
- **Adaptive brand-building** according to the audience's tastes & preferences

LG

LG Electronics introduced Sampoorna TV aimed at the rural audience, India's first TV with a **Devanagari** script on-screen display for vernacular languages.

ISPAT industries branded its corrugated sheets as "ISPAT Kavach" & **Tata Steel** branded their product as Tata Shakti in order to connect strongly to the rural audience & improve top-of-mind recall

Tweaking the marketing mix for the rural market (RM) Pricing strategies:

- **Differential/reduced pricing** as compared to urban areas
- **Low Unit Price (LUP) packing** or "**paise** packs" of even premium brands
- **No-frills** Economy pricing – Coinage pricing, value pricing
- **Discounts** for special events according to local festivals & events
- **Schemes** for retailers like offers & quantity discounts to increase loyalty
- **Credit facilities** & promotional offers according to the agricultural cycle
- **Free gifts** that provide additional utility
- **Bundled pricing** to promote maximum value for money

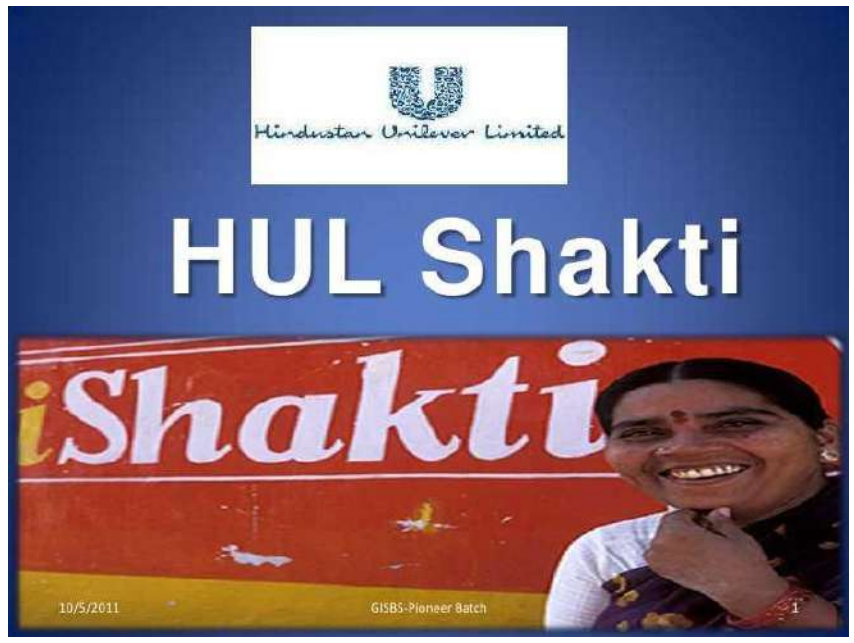
"**Thanda matlab CocaCola**" gave the beverage company a breakthrough in the rural Indian market. They also launched an Accessibility campaign to bring the smallest SKU at Rs.5, competing with other drinks like tea & lemonade

CavinKare introduced **4ml sachets** of Chik shampoo priced at 50 paisa each at a time when other shampoos were sold in Rs.2 packs

Tweaking the marketing mix for the rural market (RM) Distribution strategies:

- **Local Markets/ Haats** to reach out to the maximum consumers.
- **Fairs & festival grounds/melas** to grab high attention.
- **Wholesalers & Kirana** retailers to reach out to all neighborhoods.
- **Vans/ mobile traders** in order to have a deeper penetration into remote areas of rural India.
- **Syndicate Distribution** to sell & distribute non-competitive goods together through a common distribution channel.
- **Hub & Spoke model** of distribution to cover dispersed crowds.
- **Self-help groups** who can be employed for door-to-door selling.
- Exclusive bazaars/ retail outlets like **ITC e-choupal.**

Dabur Pudinhara set up a **22ft tall** Pudinhara bottle along with **Thandak zone** in Nauchandi mela (Mass festival)



HUL's rural sales promoters educate women in villages on the distribution & selling of HUL products through **Project Shakti**

Tweaking the marketing mix for the rural market (RM) Promotion strategies:

- **Mass media** like television, radio, films, newspapers & in local magazines.
- **Rural-specific media** like audio vans, posters, and pamphlets.
- **Door-to-door** selling through trained salesmen/locals.
- **Outdoor campaigns** with billboards, painted walls
- **Entertainment programs** like folk dance, street play, and puppet shows.
- **Mobile publicity** vans with short film screening capacity.
- Utilising the **opinion leader** (**Village head** or any other respected person in the village) as a promoter.
- **Word-of-mouth** promotion facilitated through referral schemes.
- **Product demonstration** & free sample distribution in public gatherings.

HDFC Festive treats where rural and semi-urban consumers will be able to avail offers specially created for them, like **discounted processing fees for loans, reduced EMIs,** and discounts on 1000+ brands.

Asian Paints promoted the **Utsav paint** category by painting the **Mukhiya/post office of a village 6 months before the launch** and organizing painters' meet in the villages.

Cause Marketing

Forms of cause marketing

Volunteerism

Rather than asking for a donation, businesses will ask if customers will volunteer their time to a certain organization

Point of Sale Campaigns

A donation requested at the POS by a corporation but made by the customer

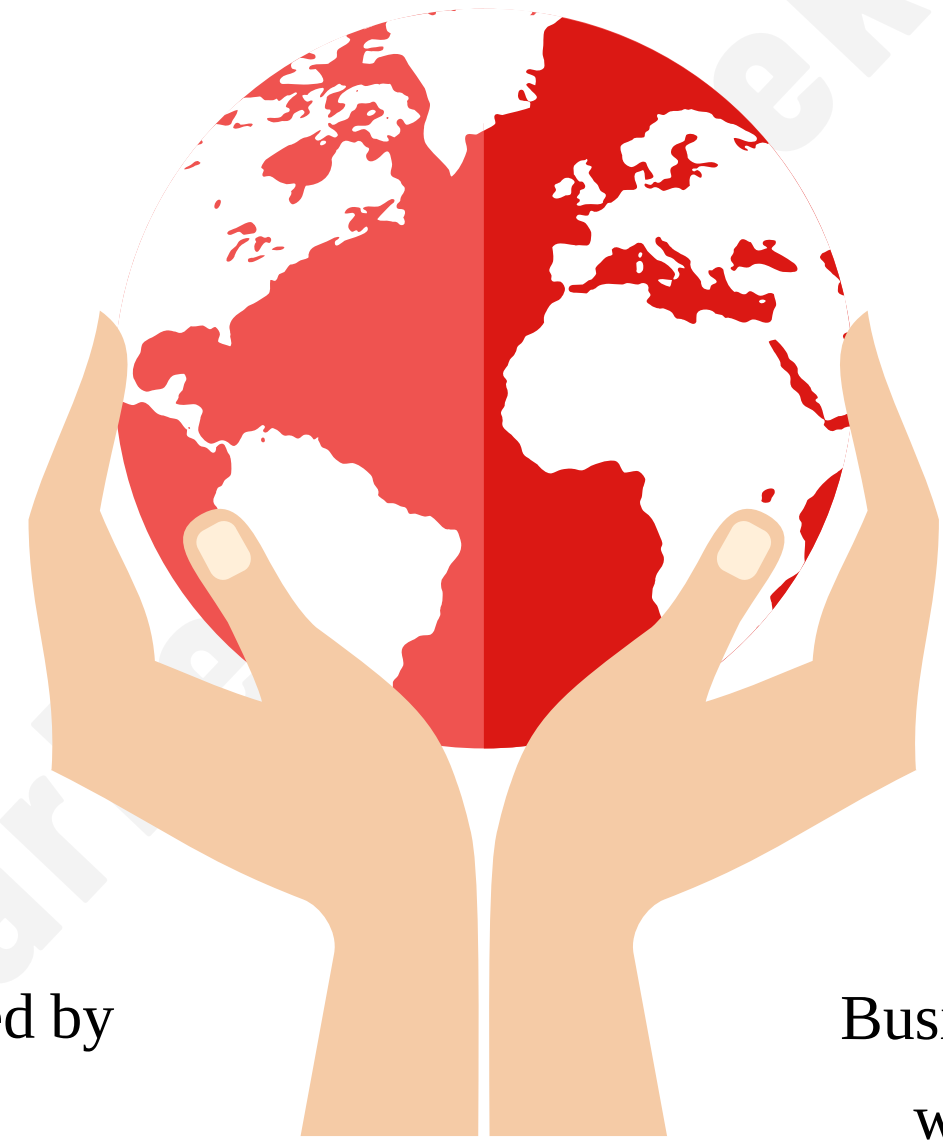
Transactional Campaign

A corporate donation triggered by a consumer action

(e.g. sharing a message social media, making a purchase, etc.)

Portion of Purchase

Businesses donate a portion of their sales to a nonprofit or cause



Pin Ups

Primarily for in-house use. Customers will donate and fill their name on paper icon, which will then be hung up in the store

Digital Engagement

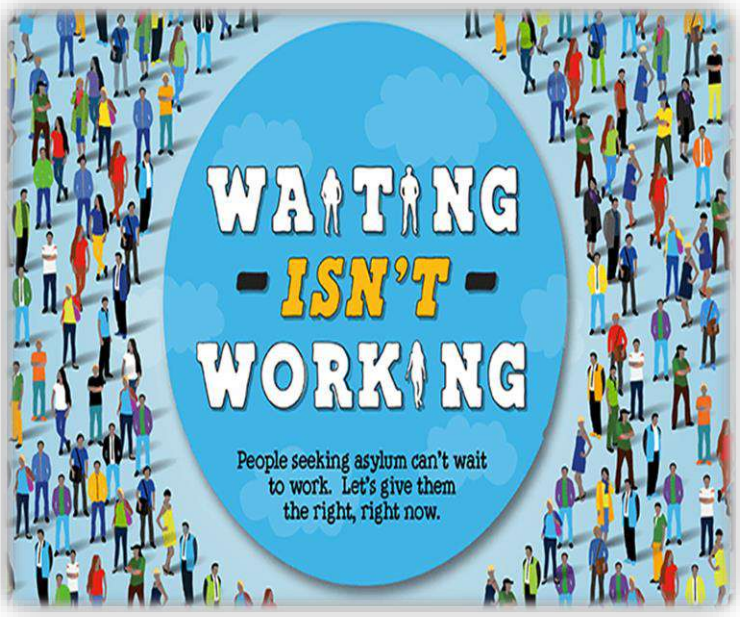
Businesses create a "digital experience" using social media

Buy One Give One

Businesses will donate a product with comparable value to a designated product based on each sale of that product

Cause marketing in the time of COVID 19:

“We’re all in this together.” That is the message many companies are communicating to customers and the general public while the world grapples with the COVID-19 health crisis



Ben & Jerry’s – #LiftTheBan, partnered with Refugee Action as part of the Lift the Ban coalition.

Facebook is offering $100 million cash + $100 million in advertising credits to publishers

Cadbury’s – Donate Your Words, joined with Age UK to fight loneliness, especially in this COVID times.

Burger King offers 2 free kid's meals with any meal purchase during coronavirus crisis.

TATA Tea "JAAGO RE"

- Campaign took up social activism to connect with issues like voter registration, corruption, & women's rights
- Before this campaign **TATA Global accounts for 18.7% of the market share** and ranked number 2 after HUL (21.5%).
- Post this campaign launch they captured the **number #1 position with a 22%** (currently at 19%) market share

Lifebuoy "GONDAPPA"

- Once a week, a volunteer visit homes to make the villagers aware of the need to wash their hands with soap
- Overall diarrhea incidence reduced from 36% to **5%**
- The campaign has reached out to 180 Million people
- **Why? –** Diarrhea alone killed **13%** of children under the age of five and as per UNICEF, **31%** of children have access to basic sanitation

Interesting Read: Brand Activism

Coca Cola “5BY20”

- Program to help 5 million female entrepreneurs —from fruit farmers and artisans to recyclers and retailers —become part of our value chain by 2020
- **3.2 million** women in 92 countries have started businesses as part of our 5by20 program

HORLICKS “AHAR ABHIYAN”

- The campaign will aim to address issues of **malnutrition** among the youth.
- Under the campaign, a contribution of **Re 1 will be done** towards the initiative from the sale of Horlicks in the state
- **14%** lift in sales, because of this campaign (in West Bengal)

P&G

"PROJECT SHIKSHA"

- Provide children from underprivileged backgrounds access to holistic education. Focused efforts in three main areas - improving education infrastructure, empowering marginalized girls through education, and improving learning outcomes.
- Launched in 2005, raised over **Rs 22 Crore** for the cause
- Overall sales increased by **5** times

Gillette

"THE BEST MAN CAN BE"

- Launched on January 13, 2019 with the digital release of a short film entitled We Believe:
- The Best Men Can Be, to address negative behavior among men, including bullying, sexism, sexual misconduct, and toxic masculinity
- Amassed over **11 million** views in just eight months

Vistara

"FLY THE NEW FEELING"

- Partnered with **Salaam Baalak's trust** which is a non-profit, as well as a non-governmental organization, is providing support to street children of Delhi and Mumbai to fly 12 kids on its first flight ever

Mahindra

"SEED THE RISE"

- A digitally-driven crowd-funding campaign to enhance the lives of farmers
- Got donations amounting to INR 1 crore and will be utilized for farmer welfare through five carefully hand-picked projects in collaboration with Four NGOs

Nestle

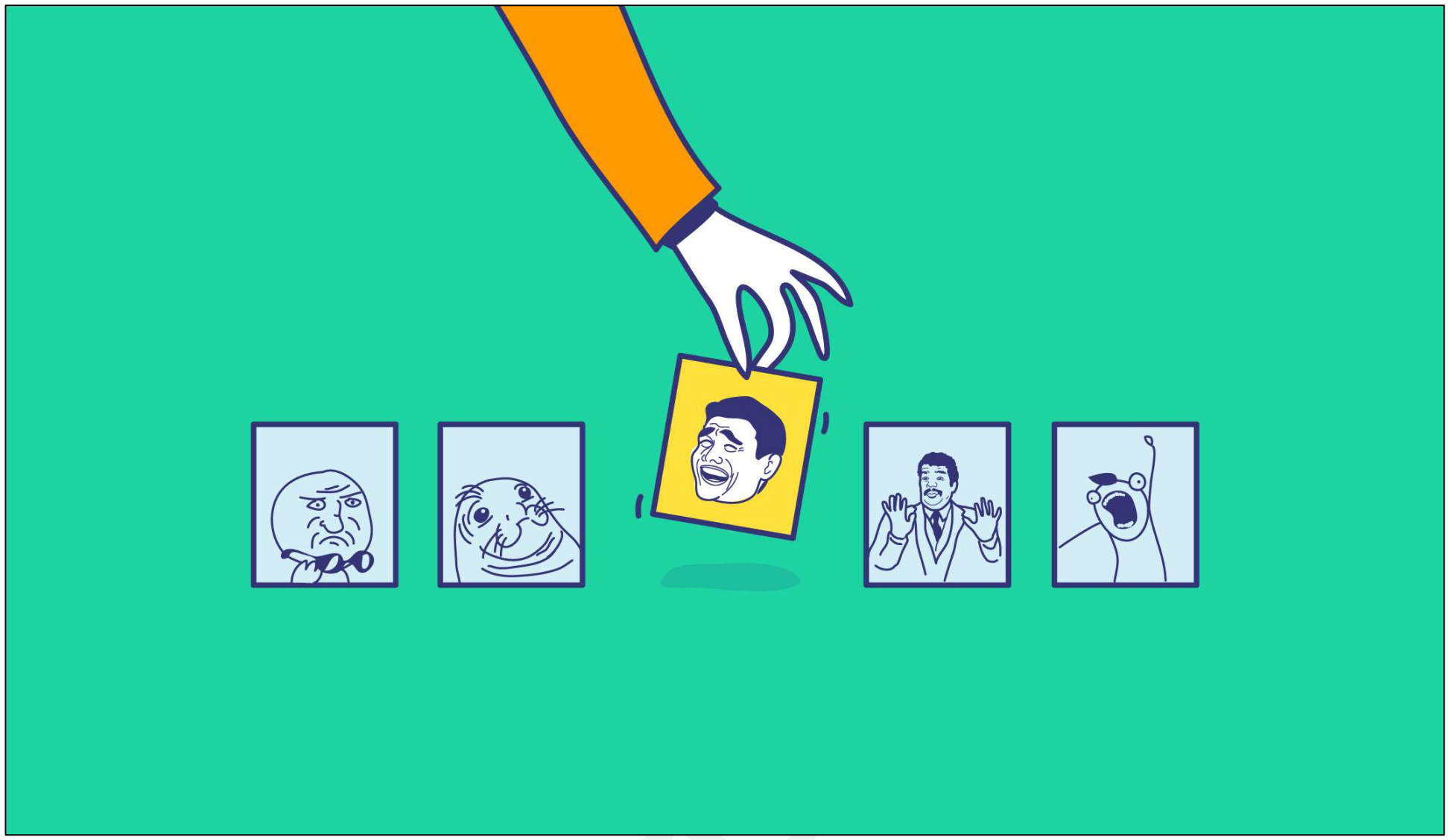
"EDUCATE THE GIRL CHILD"

- In partnership with Mumbai-based education reform non-profit **Nanhi Kali** in late 2016 in order to Educate the Girl Child in a long-term project of the same name

Interesting Read: *Brand Activism*

MEME MARKETING

MEME MARKETING:



The word meme was coined from the Greek word ‘mimeme’ which means **"to imitate".**

It was first used by **Richard Dawkins** in his book **The Selfish Gene** in 1976. He argued that virality didn’t just apply to infectious diseases, but also to anthropological settings.

He defined a meme as any shareable cultural artifact that spreads through like wildfire.

Memes are also considered cultural analogs to genes as they self-replicate, mutate, and respond to selective pressures.

MEMES - the future of social marketing:

Meme marketing is a kind of marketing in which memes from various mediums like word of mouth and social media networks are used to fulfill marketing goals.

It is the practice of using users to promote a brand or product by creating appealing, engaging, and fast-spreading news or content.

Millennials/GenZ spends over 200 minutes online every day.

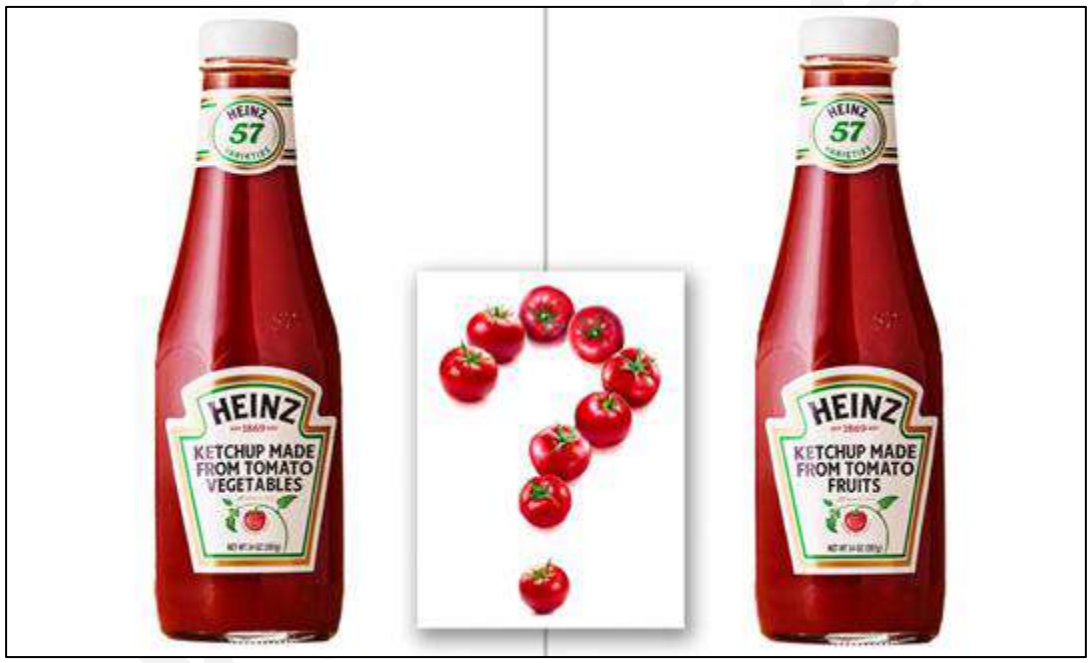
Memes are so prolific that millennials and Gen Z are laughing and sharing thousands of memes every day.

This gives brands plenty of opportunities to engage with their audience.

The drawback of traditional brand marketing on social media is that it often has low interaction. People tend to skip over lame, commercialized content and get to their normal proceedings.

Gen Z is very ad-averse. They can smell promotion from a mile away, and they aren't having any of it. Memes aren't overly promotional -- they make people laugh with a casual reference to your brand.

How Heinz used MEME marketing:

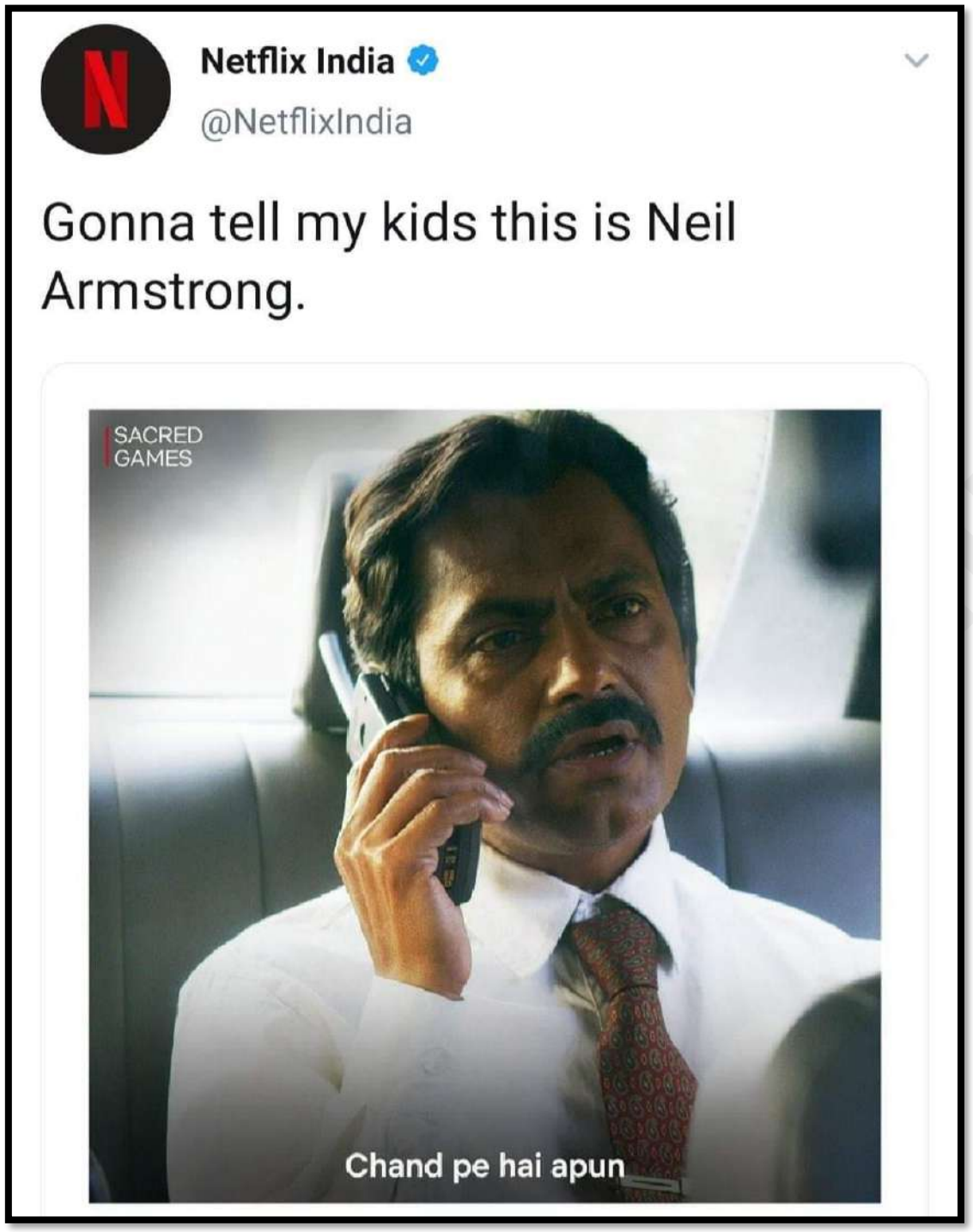


Heinz is a perfect example of meme creation in action. The condiment brand wanted to increase brand awareness and engagement on its social media. It implemented a meme marketing campaign that **earned 4 million impressions with 80k engagements.**

Heinz cleverly fed into the timeless debate on tomatoes being a fruit or a vegetable. They asked people to take sides with hashtags and posted graphics saying, "If you had to decide right now if a tomato is a fruit or a vegetable?"

Netflix has majored in meme marketing

FOMO TRIGGERED



MEME-JACKING

When Zomato started a meme trend and others followed it:

ixigo @ixigo · 18h
Guys, kabhi kabhi ghar par bhi baithna chahiye!

> **Zomato India** @ZomatoIN · Jul 3
> Guys, kabhi kabhi ghar ka khana bhi kha lena chahiye

2 32

DaburHajmola @DaburHajmola · 18h
Guys, kabhi kabhi kuch baatein na hajam kar leni chahiye

> **Zomato India** @ZomatoIN · Jul 3
> Guys, kabhi kabhi ghar ka khana bhi kha lena chahiye

2 3 5

YouTube India @YouTubeIndia · 21h
Guys, kabhi kabhi raat ke 3 baje, phone side pe rakh ke 😴 jaana chahiye

> **Zomato India** @ZomatoIN · Jul 3
> Guys, kabhi kabhi ghar ka khana bhi kha lena chahiye

35 56 519

MobiKwik @MobiKwik · 23h
Guys, kabhi kabhi queue me lag ke bhi Electricity bill pay kar dena chahiye

> **Zomato India** @ZomatoIN · Jul 3
> Guys, kabhi kabhi ghar ka khana bhi kha lena chahiye

2 1 12

The Viral Fever @TheViralFever · Jul 4
Guys, kabhi kabhi ghar pe TV bhi dekh lena chahiye

> **Zomato India** @ZomatoIN · Jul 3
> Guys, kabhi kabhi ghar ka khana bhi kha lena chahiye

18 28 515

amazon prime video IN @PrimeVideoIN · Jul 4
guys, kabhi kabhi cable pe bhi kuch dekh lena chahiye

> **Zomato India** @ZomatoIN · Jul 3
> Guys, kabhi kabhi ghar ka khana bhi kha lena chahiye

233 713 4K

Important elements of Meme Marketing:

Be native. It is very important that a digital native is writing and sharing memes from the brand so the lingo is on point. Otherwise, the audience will immediately pick up that the brand is trying too hard to be cool which will ultimately hurt the brand.

Be relatable. It's guaranteed that only a sliver of the population will understand a meme and it is not going to appeal to everyone. So, a meme should be directed toward the target audience and should cater to their interests.

Watch the timing. An existing meme should only be used if it is still trendy and if a new meme is created, the cultural climate should be right. Otherwise, it could come off as tone-deaf and out of touch.

Conclusion:

Meme marketing not only helps brands increase their brand exposure but also drives their marketing goals, be it familiarizing the target group with the product or bringing traction on-site.

Meme marketing is against traditional as is relatively inexpensive, which is why brands are including meme marketing in their core marketing strategy.

But it is not everyone’s cup of tea!

- Though Meme Marketing appears to be an easy affair, agencies often struggle with it.
- The key to it is being relatable, and funny and at the same time the brand shouldn’t come off as trying too hard otherwise it can lead to a bad reputation.

Find a video of Meme-Marketing by Marketing Weekly Here.

Emotional Marketing

Emotional Marketing:

Most customers' buying decisions are driven by emotions rather than logic, which makes emotional marketing important.

Emotional Marketing is a marketing strategy that uses basic emotions to elicit customer response. **It tells a story that connects with the customers in a humane way.** All the emotions are aligned with the brand's objective, vision, and mission.
They reach more audiences through shares on social media which results in brand loyalty.

First impressions (which last only a few seconds) make the best impressions. Emotional marketing can make great first impressions.
If marketed wisely, the brand tends to stand out in the consumer's mind.
Studies show that emotional marketing campaigns work twice as better as other marketing campaigns. **Emotions are primarily divided into four broader groups, namely anger, sorrow, happiness, and surprise/fear.**

Examples:

Happiness: Positive emotions like Happiness increase engagement.
Android's "Friends Furever" shows pairs of different animals together in Harmony. This ad automatically brings a smile.

Sorrow: *Sad news spreads faster and creates awareness among people.*
WWF created an awareness campaign on how human actions lead to animal cruelty. How animals have been mistreated, and human interferences are affecting their habitat.

Anger: *Negative sentiments like anger can have an immediate impact and can change the audience's perspective.*
Earlier, the phrase "Like a Girl" was mostly used in a belittling way. **P&G's** Always brand launched the "LikeAGirl" Campaign. Through this campaign, the positive sentiment of Women's empowerment was portrayed which attracted women all over the world.

Fear: *Through fear, there will be a sense of urgency, and the audience will start acting immediately.*
Ads like Smoking is injurious to health and can cause lung cancer, elicit fear.

Here are a few things that work well with Emotional marketing.

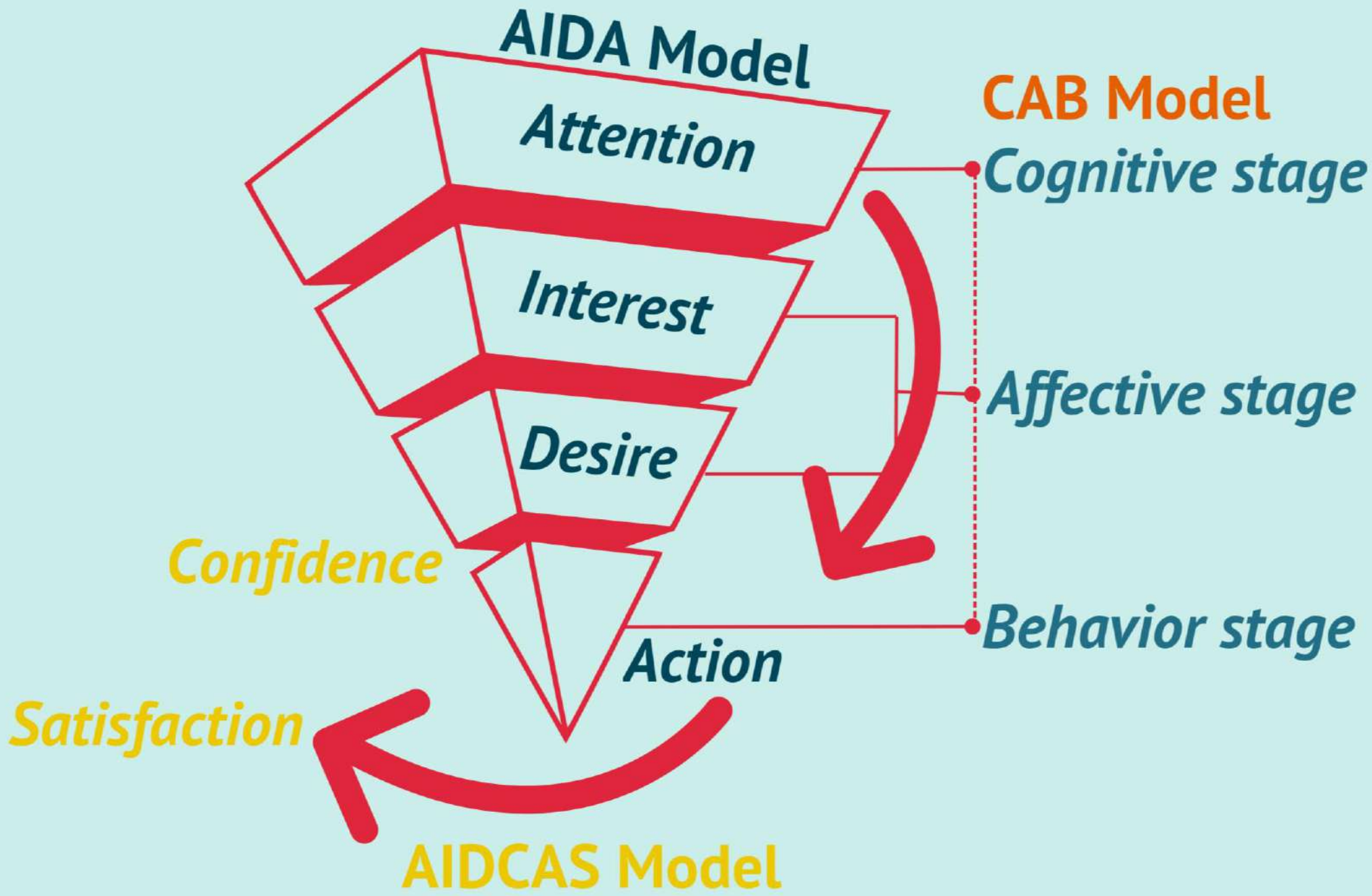
Color psychology plays a huge role. A movement towards a good cause – One example is the "One day without shoes" campaign started by TOMS.

Creating Viral campaigns – **Dollar Shave club** took an everyday problem and the advertisement (our blades are f*cking great) became viral overnight
Building a community through word of mouth

Interest Read: Science behind emotional Marketing Article

AIDA Model In A Nutshell

AIDA stands for attention, interest, desire, and action. This is a model which is used in marketing to describe the potential journey a customer might go through, before purchasing a product or service. Variation of the AIDA model are the CAB model, and the AIDCAS model.



Credits:
HubSpot

AIDA Model:

AIDA is the acronym for **Attention - Interest - Desire - Action.** AIDA was developed by E. St. Elmo Lewis in 1898.
AIDA Model is a linear series of cognitive thinking stages a prospective customer experiences while purchasing a product or a service.
It describes the journey of the customer from awareness of the product until the purchase.

Attention - The first stage is for **creating brand awareness** about the product or service for the consumer. Customers' attention should be drawn through various marketing and advertising efforts.

Interest - Once the customer is aware of the product, the brand must work towards increasing the **customer's interest level**. The customer learns about the product's benefits and if the brand fits their lifestyle. If interested, they want to research further. Detailed product information will be communicated through the website, video, brochure, etc.

Desire - The customer builds an **emotional connection** with a particular brand and becomes a loyal customer. There will be a transition from "liking" to "wanting" the product. It is the desire to buy the product addressing the customer's needs

Action - It is the final stage in the AIDA model where the customer **initiates action** such as buying the product, purchase intention, shopping around, engaging in the trial, etc.

Example: Suppose there is an offline store.

1. Attention is running brand awareness campaigns months before the launch.
2. Interest is offering a discount on first-time purchases of the product and gauging how many customers were excited about it.
3. Desire is that customers want to buy your products.
4. Action is the customer comes to the store and purchases the product.

Criticism:

The post-purchase behavior such as customer satisfaction and repeat purchase is not taken into consideration. Many external factors (excluding marketing efforts) affecting customer purchasing behavior are not taken into account.

MarketingWeekly.in

Interesting Read: **How Horlicks became a Market Leader?**

World of

Co-branding

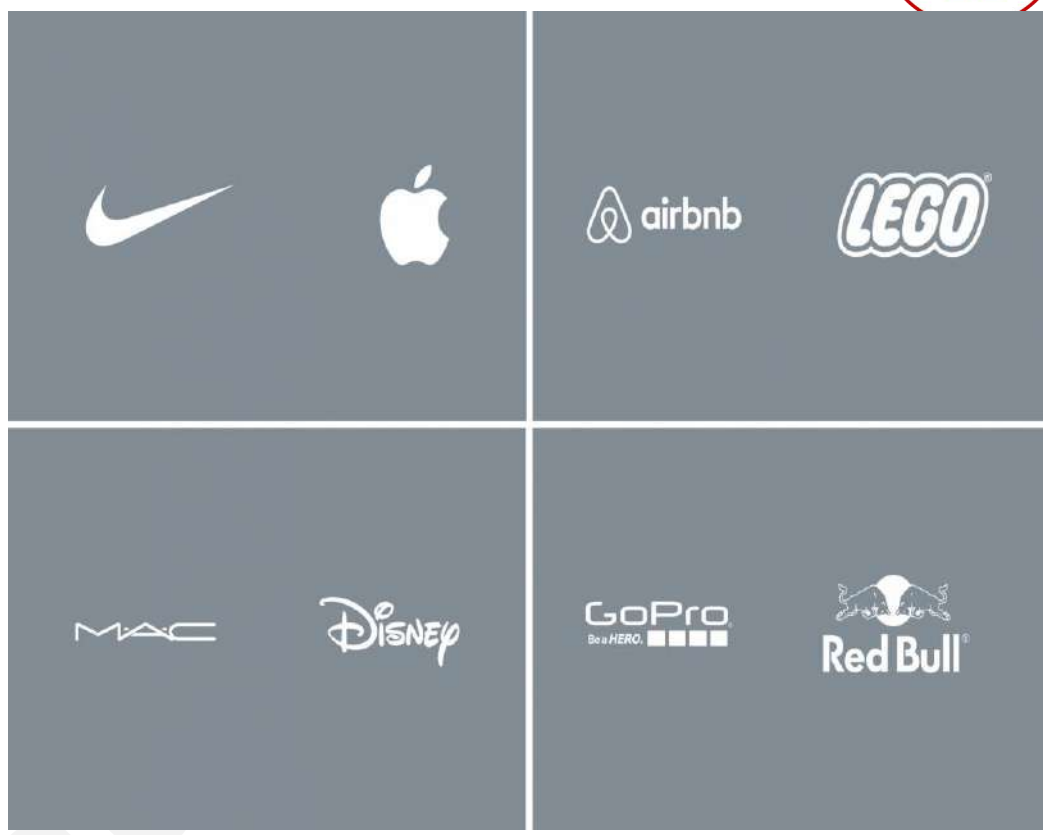
COBRANDING

In late **1990s and early 2000s**, many of us had this thought of a cricket team with **Indian batsmen and Pakistani pacers**. The thought of how brilliant a team would it be if it had Sachin, Sourav, Sehwag and Wasim, Waqar & Shoaib Akhtar.

So what we were hoping for was a "**new product** " – the Indo-Pak cricket team which was created by "**two different brands**" – the Indian Cricket Team and the Pakistan Cricket team thus creating a strategic alliance which benefits both. This is exactly what "**Co-Branding**" is!

Cobranding is the coming together of 2 or more brands in a **partnership** to create a product or to have a common promotional event.

E.g. Oyo Hotels partnering with Unilever for hygiene post Covid19



Some co-branding examples you see around

MarketingWeekly

As the *Brand Matters puts it* – **the main purpose is to create the value equivalent to 1+1=3,** that is to **increase** the cumulative market strength , profitability, cost savings and perceived value.

Advantages

- Increasing Customer Bases
- Creating New Audiences
- Creating Unique Experiences. For Example: **Nike+Ipod Sports Kit.**
- Increased brand awareness and **TOMA – Top-of-the-mind-awareness.**
- Sharing Risk or Losses.

Disadvantages

- Cross Contamination; Association of **Nike with Lance Armstrong's Livestrong brand** suddenly jeopardized **due to doping allegations .**
- Too many co-branding alliances can result in brand dilution

Examples:

PepsiCo-owned Lay's has partnered with brands like **Cadbury, KFC, Urban Company, Zomato, and Spotify** for special co-branded packs with a custom gratitude message thanking the brand and the unsung heroes. The name of the campaign is **"HeartWork".**

Swiggy/Zomato offering discounts on payment of orders with **Amazon Pay or Phone Pe.**

Interesting Read: Cobranding in Marketing

Planogram

The art of Shelf-planning

PLANOGRAM: The art of shelf planning

What is planogramming?

Planogram is arranging products on the shelves in a way that maximizes sales. The presentation of products in the store is as pivotal as the availability of a product.

Why planogramming is important?

A customer when unable to find the product will leave the shop without making a purchase. Therefore, proper product placement is of utmost importance for a retail shop.

How planogramming is done? (Techniques)

Product Sequencing:

The way products are sequenced on a shelf can influence customers' decision-making. Research has proven that shoppers see from left to right most of the time therefore Highlighted products are kept on the left.

Joint Family'Anokha Parivaar':

Children(products) of parent(brand) stay together. Relatives(SKUs) though don't like each other and wish to remain close.

MarketingWeekly.in

PLANOGRAM: The art of shelf planning

Belt-to-Eye level:

- Eye level is buying level. High-profit items are kept in this region which catches shopper's attention quickly
- Toys & candies are kept at a lower level i.e. (Belt-to-eye level of kids) so that kids can see them & prod to buy.
- New arrivals always kept at eye-level

Vertical planogram:

Related products of different brands are placed at different shelf levels Packs are kept according to their size: bigger at a higher level to smaller at lower

Horizontal planogram:

Products are placed horizontally on side-by-side shelves at the same eye level. Customers can know about similar products from different brands.

Shop Layout:

IKEA's store is designed like a maze to maximize average customer time in the store.

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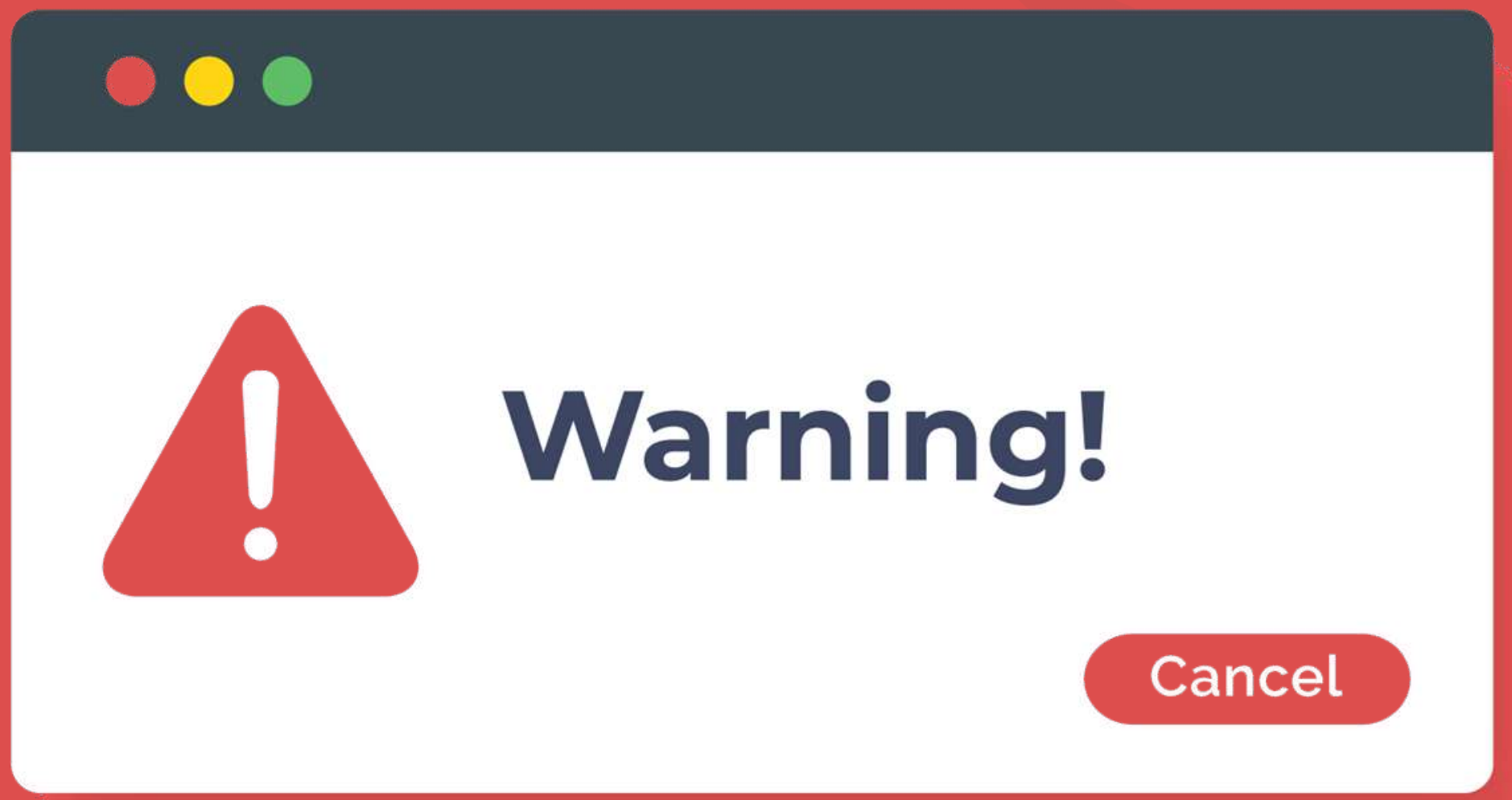
Impulsive buying example

Candies near cash-counter

Interesting Read: Examples of Planogram

Framing Effect

Things brands don't want you to know!



What is a Framing Effect?

Framing effect is a **cognitive bias** in which the brain makes decisions based on the way of information is presented to it. Marketers make use of this effect to influence the purchase decisions of their audience.

Ever entered a store looking for a sugary snack and ended up buying chocolate that claimed to have ‘30% less sugar’ ? **Congratulations!**
You have been preyed to the Framing Effect!

Frame 1: Gain

The ***Gain frame*** highlights all the potential benefits that a customer can get while using a particular product.

Frame 2: Loss

The *Loss frame* such as scarcity or Fear of Missing Out prompts the customers to purchase a brand's products.

www.MarketingWeekly.in

Frame 3: Statistics

A *statistical frame* can support your brand's argument in the most convincing manner and builds customer trust.

Frame 4: Emotions

An *emotional frame* is used by the brands to stress the importance of how their product can make its customers feel differently.

Interesting Read: The white lie of packaging

Concept of Surrogate Ads

Surrogate Marketing

Brands using Surrogate Marketing

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Surrogate Marketing

Why don't we have ads that say "**Desh ka No.1 Whiskey**" or "**Have a break, have a Marlboro**"?

It is because they are prohibited to promote their products directly.

The ***Advertising Standards Council of India (ASCI)*** has banned direct liquor and tobacco ad in the media and hoardings.

Thus, came surrogate advertising- **an escape route for these brands to promote their products.**

Surrogate means "substitute" and surrogate advertising just do that. Advertisements that duplicate the brand image of one product to promote another product of the same brand.

These companies go out of their way to create innovative strategies to attract as much attention from consumers and communicate effectively to sell a product, service, or idea that they could not do otherwise.

MarketingWeekly.in

Surrogate Marketing

How do they Promote these products?

Brand Extension: **Bagpiper's** Communicating Product is Soda, Music CDs, whereas the main product is Whiskey.
These brands also extend their product line to improve brand recall.

E.g. Recently **Budweiser** forayed into the clothing industry by **Budweiser Streetwear Co.** to make apparel and face masks in partnership with **Myntra**.

Proxy commercials: "Men Will Be Men" Ad always evokes the brand recall of **Imperial Blue.**

Promotion through movies: Products are promoted by Actors e.g. Vodka Martini "Shaken, Not Stirred" in James Bond movies

Social Media: Twitter, Facebook; Instagram- getting max engagements (2019). **Philip Morris** suspended its social media campaign upon criticism of the company's use of young online personalities to sell its new "heated tobacco" IQOS device #IQOSambassador

- **Campaigns**: Whassup bud by Budweiser- which reminds people to check on friends and family during the lockdown period, **Heineken's** "Connectioff" -pitfalls of social distancing during CoViD-19 pandemic

- **Organizing events & Sponsorship**: **Teachers** Bravery Award, **Manikchand** Filmfare Awards, #BacardiHouseParty are sponsored to keep the brand etched in their customer's minds.

MarketingWeekly.in

Interesting Read: Greenwashing: Selling the Green facade

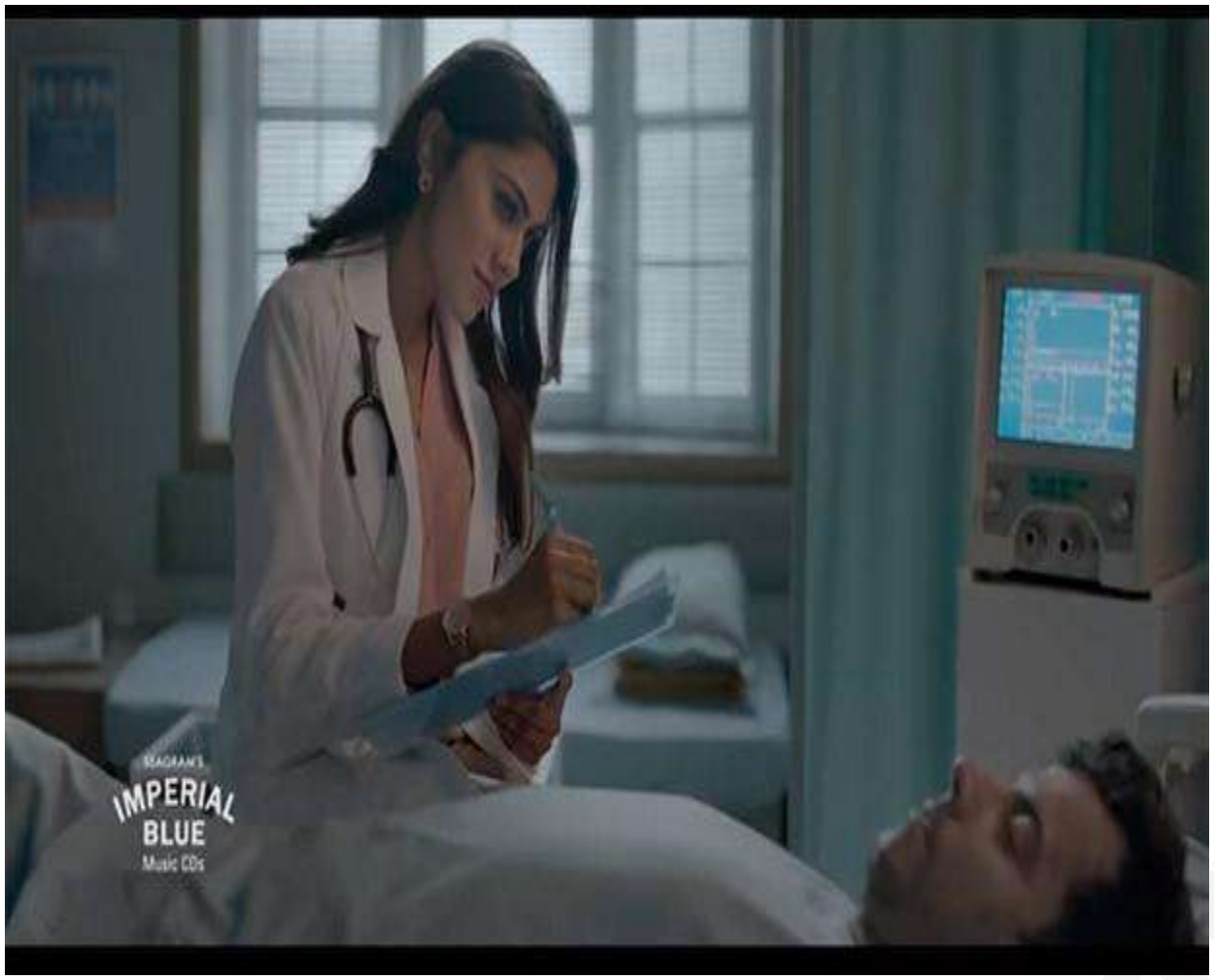
Brand Extension with examples

Main Product

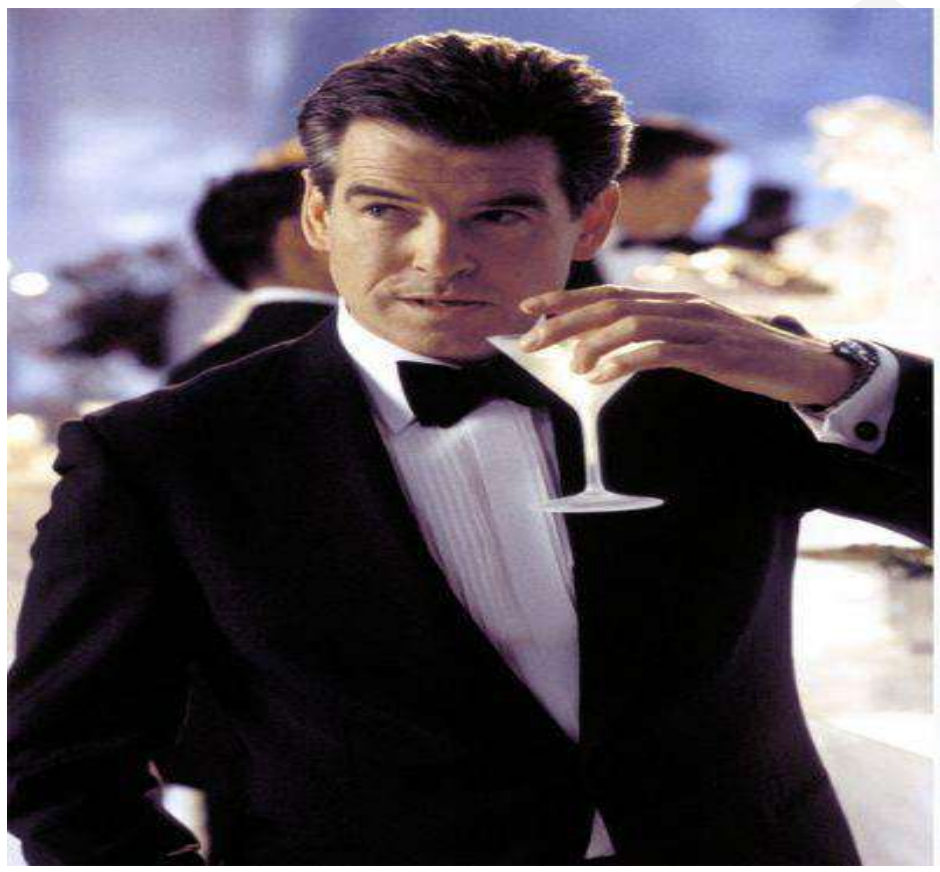
Communicating Product

Marketing Weekly

Proxy Commercials



Promotion through movies



Social Media Promotions

The Dalamore

IQOS Device promotion (2019)

Campaign & Sponsorship

Vimal Filmfare Awards

Heineken's "Connectioff"(2020)

Whassup Bud – Budweiser(2020)

Guerrilla Marketing

Guerrilla Marketing:

Colgate delivers message right into the user's tooth

Guerrilla marketing is all about **unconventional communications**. These tactics need a heightened imagination put into the campaign, and a lot of investment of time & energy.

This often happens in unexpected places but makes a high-impact impression.

But,

Executing a memorable guerrilla marketing campaign isn't as easy as we speak. ~ - - Interruption

----Surprise etc

And if you don't just get the right mix of creative, shocking & so cool elements together, it has higher chance of backfire.

We'll start with some basics around where it came from and how it works, followed by an examination of how it can be carried out successfully.

Before that,

Roots of Warfare

The term was inspired by guerrilla warfare which is a form of irregular warfare and relates to the small tactic strategies like ambushes, sabotage, raids, and elements of surprise used by armed civilians.

Guerrilla marketing is often best understood when it's observed, hence you understand without much context, the whole idea of guerrilla marketing can be a little confusing, so let’s see it along with some examples.

Types of Guerrilla Marketing

Outdoor Guerrilla Marketing

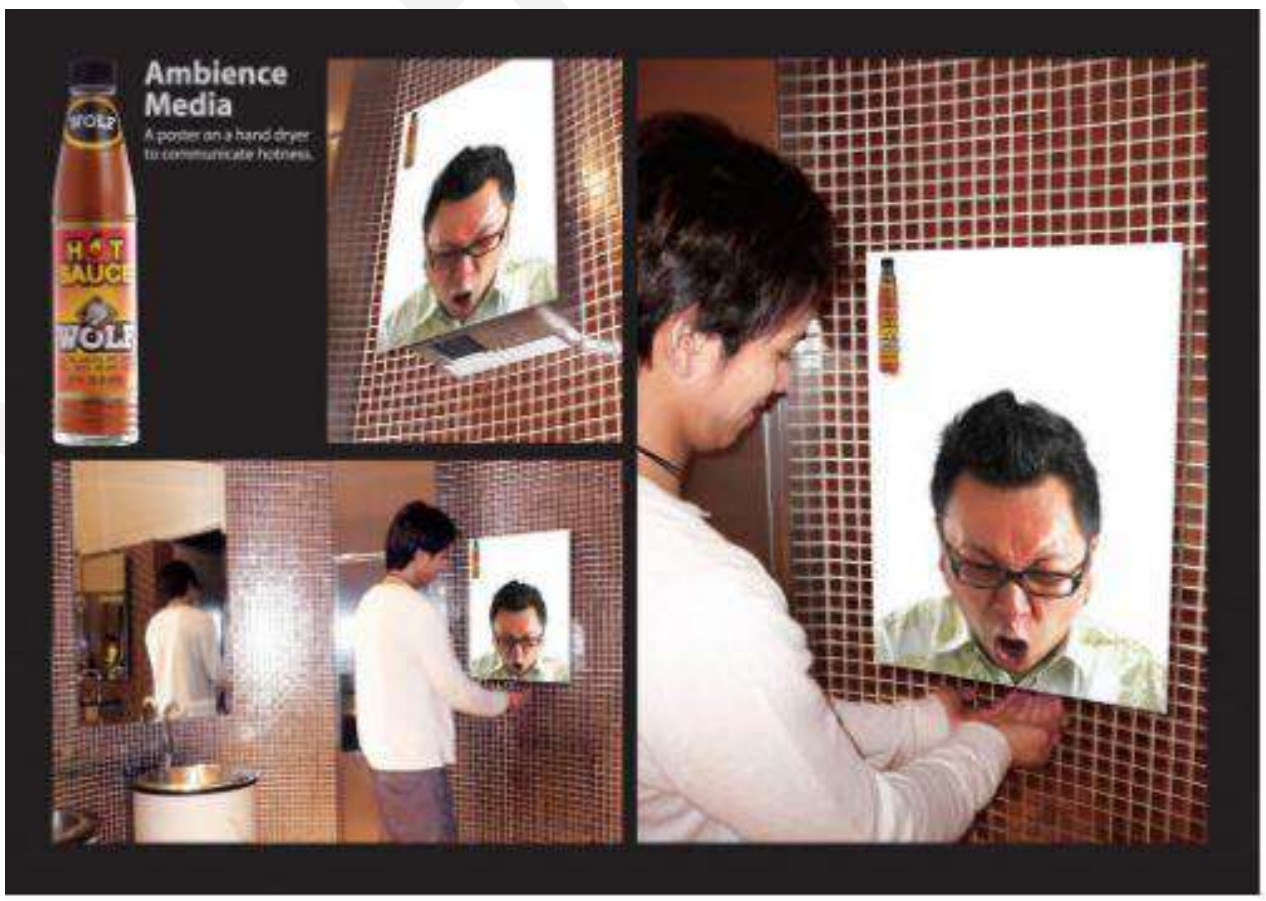
This adds something to pre-existing urban environments, like temporary artwork on sidewalks and streets, etc

Viral marketing is a highly visible form of guerrilla marketing these days. A successful viral campaign basically spreads like wildfire. Like you tell two friends, they each tell two friends, and so on. Hence doesn’t require much in terms of resources and has the potential to be unstoppable.

Outdoors Guerrilla Marketing

Indoor Guerrilla Marketing:

Similar to outdoor guerrilla marketing, only it takes place in indoor locations like train stations, shops, and university campus buildings.



Experiential Guerrilla Marketing

A mixture of everything said until now, but probably executed in a way that requires the public to interact with the brand.

Budget-Friendly

What marketers can really cherish about implementing guerrilla marketing is its fairly low-cost in nature.

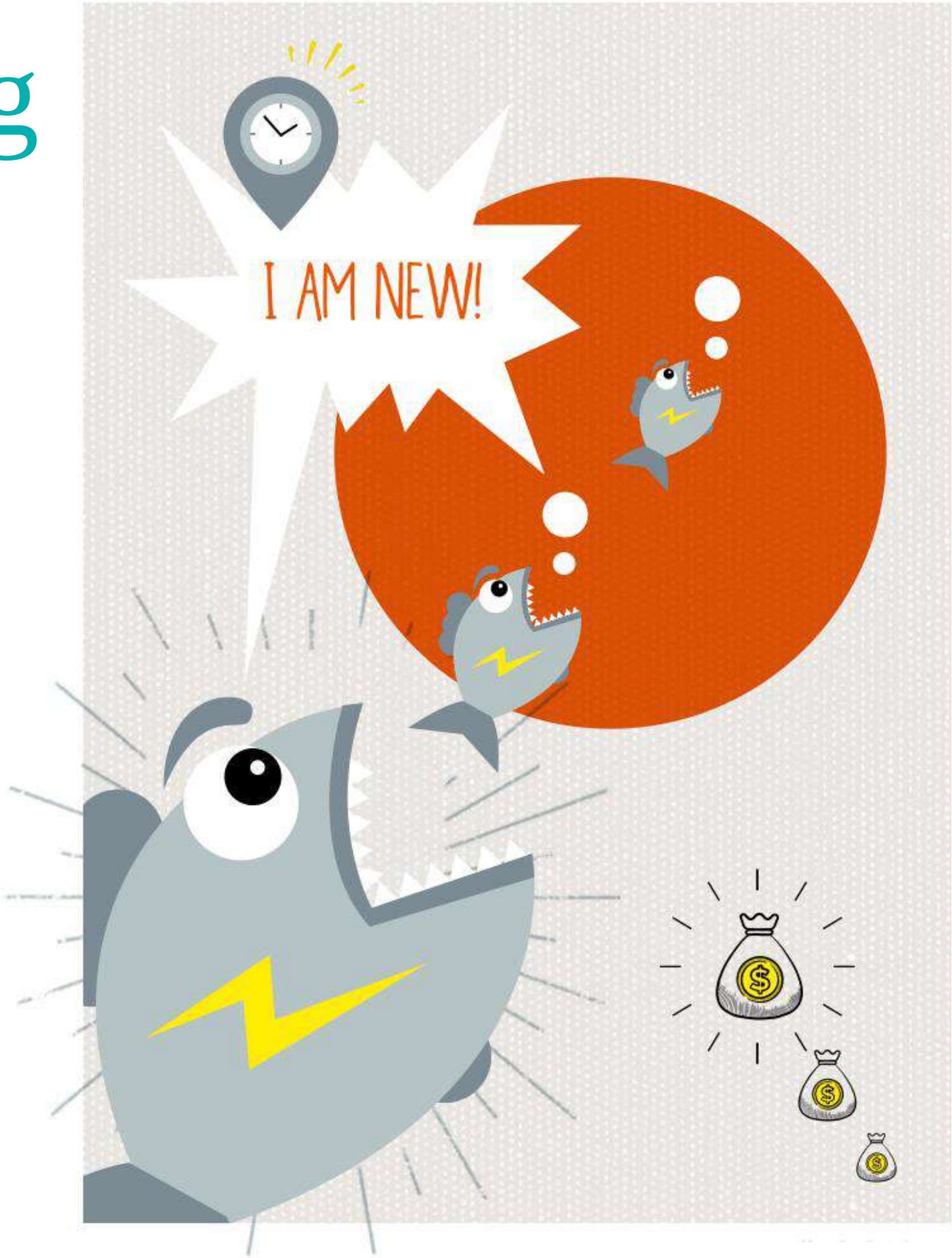
But this is in terms of monetary value.

The real investment here is a creative & intellectual brain that is needed for its implementation.

Few Examples:

Cannibalization

Among brands



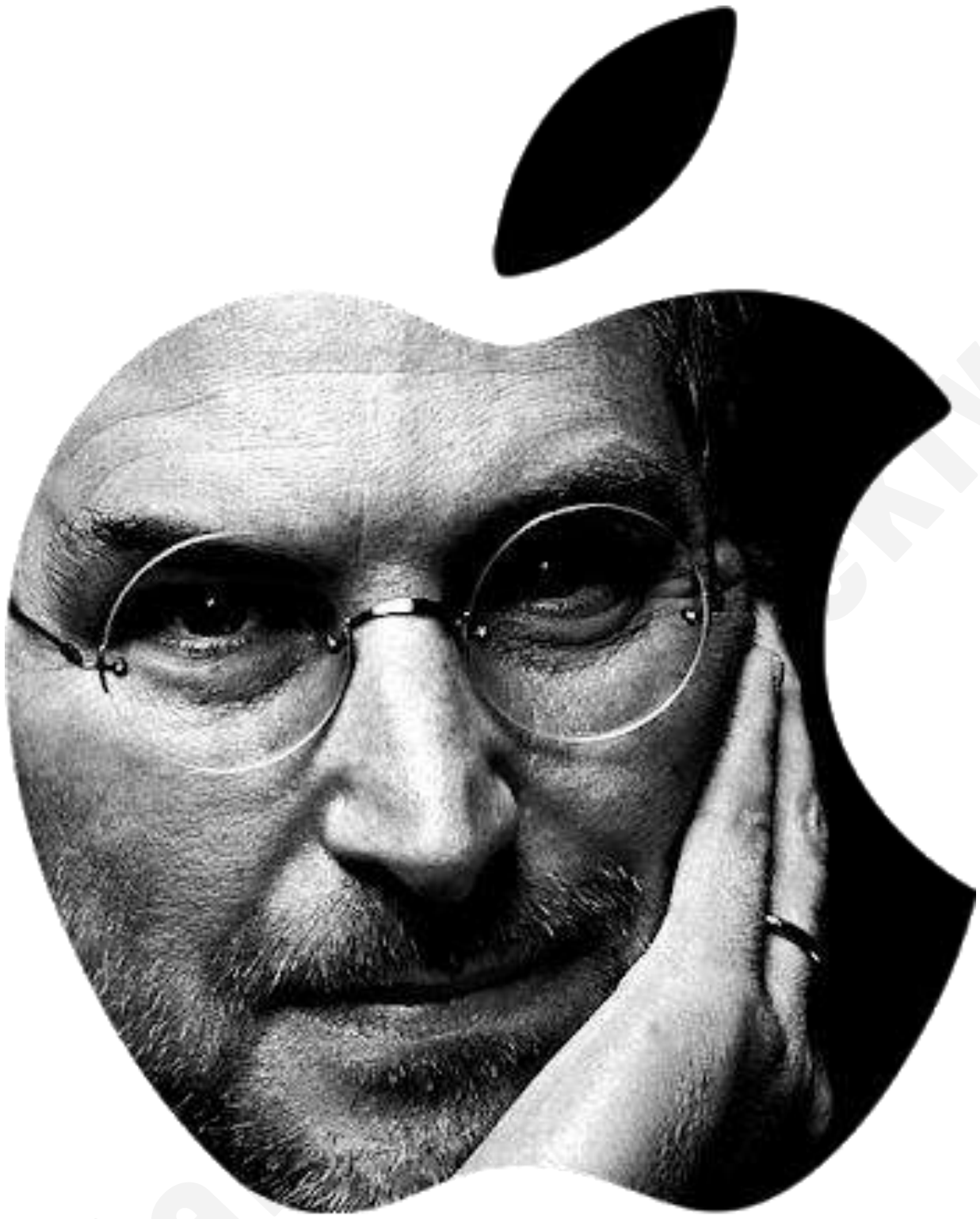
Abhi toh thode time pehle ek iPhone launch hua tha, ab firse ? Chalo, will wait and then buy the latest one !

Since 2007, Apple has launched a new iPhone every year. What happens to the sales of the existing models? They reduce. But why do the companies do this then?

Cannibalization:

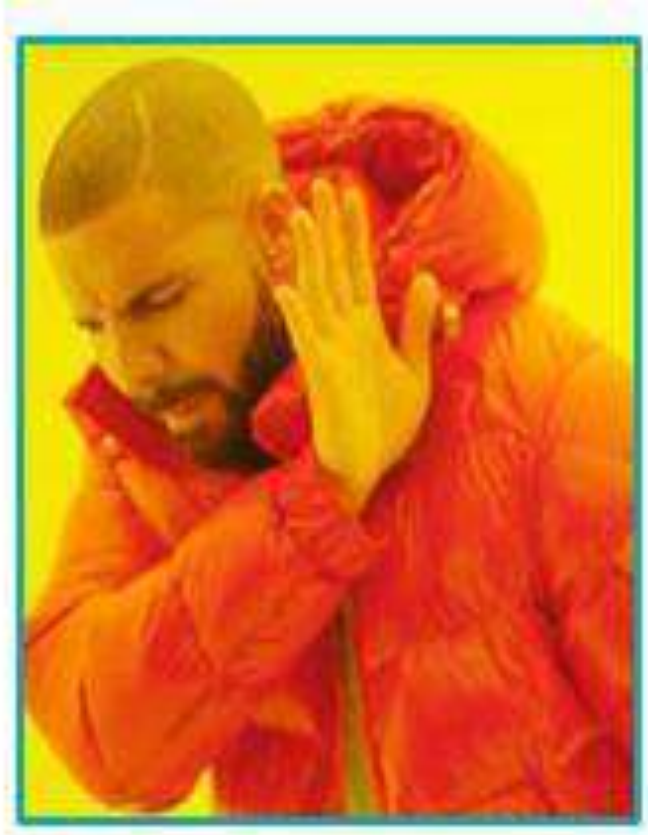
Market cannibalization is a loss in sales caused by a **company's introduction of a new product** that displaces one of its own older products. The cannibalization of existing products leads **to no increase in the company's market share despite sales growth** for the new product.

“If you don't cannibalize yourself, someone else will”



When the tech giant invents a new iPhone, it doesn’t shy away from releasing it into the market. It ensures that their newer version is available in all their chain stores. It causes the sales of their older iPhones to drop significantly. However, Apple makes up for this loss by capturing its competitors’ current customers, hence increasing its customer base.

Digestive introduced a low-fat version of its brand. It knows some of its sales will be cannibalized from the original brand, but it hopes to expand its market share by appealing to health-conscious consumers who otherwise would buy a different brand.



Coca-Cola launched different flavors in the hope of acquiring a bigger market share not caring about the initial cannibalization. Over time, Coca-Cola realized that loyal customers still preferred the original formula, which prompted them to react by revising their strategy to marketing the original formula as the “Classic Coke” and the rest of the flavors as either seasonal or festive beverages

The "Starbucks on every corner" is suffering of cannibalization of sales through overexpansion. It had become difficult for Starbucks to maintain its status as a premium brand because it was "everywhere".

MARKETING OF SERVICE

Service Marketing:

Service marketing is marketing based on relationship and value.

It refers to the application of a special set of **tactics or strategies to predict the consumer's need for an intangible product.**

And hence, meet their requirements accordingly, to provide maximum value for them from their purchase.

Urban Company's Saloon at Home is a great example of Service Marketing

Service Marketing Triangle:

It depicts the relationship between three essential elements of a service industry, i.e., company, employees, and consumers.

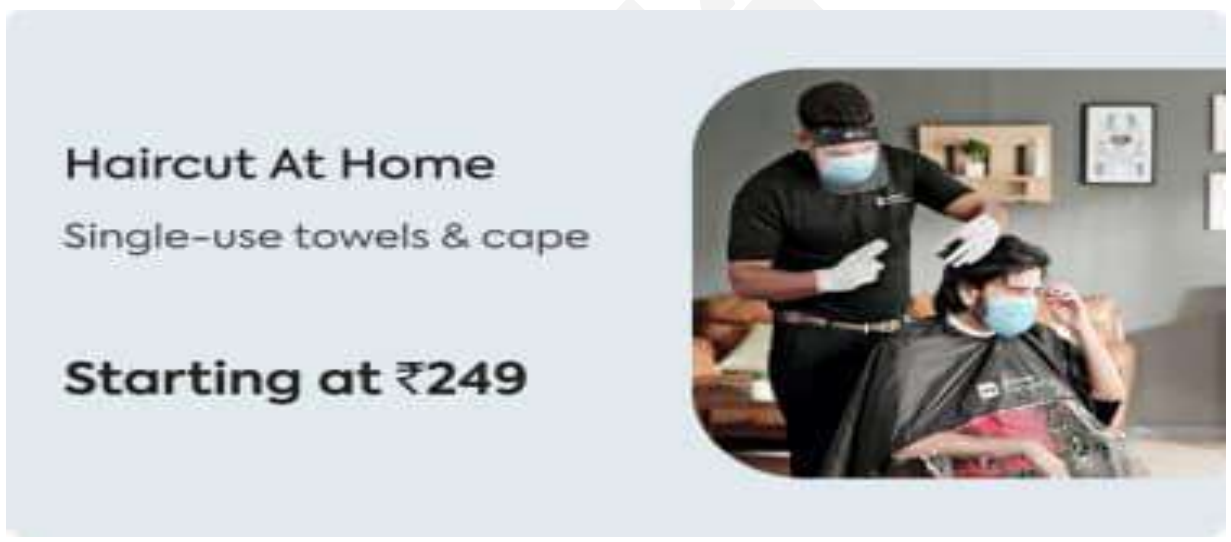
	Tangible	Tangible	
People	**People Processing Services** Example: Salon, Bike servicing	**Product Processing /Processing services** Example: Packers and Movers services	Objects/ Products
People	**Mental Stimulus Processing Services:** Example: Educational institutes and Professional training	**Information Processing Services:** Example: Information technology like SAP	Objects/ Products
	Intangible	Intangible	

Examples of Service Marketing

Urban Company Home Salon

Urban Company started with Home Salon booking after the LockDown 3.0 was over and 120000 people were waitlisted for the service

Extensive use of PPEs to safeguard customer's wellbeing & communicate safety



Filling the Gap for male grooming space amidst lockdown

DIGITAL MARKETING

DIGITAL MARKETING 101

Digital Marketing, in simple terms, is Marketing on Digital channels. In order, to be a good Digital Marketer, you need to be a good Marketer first.

On top of all the basic marketing principles, a Digital Marketer needs to **understand when and what Digital Marketing tools to use**.

In this section, we will talk about what these digital channels and tools are and how measurement and optimization is the centerpiece of the Digital Marketing Ecosystem.

The basic principle of Marketing communication is to find **where your prospects are and then communicate with them on that platform.**

For Instance, **Adidas** will advertise on a Sports TV channel because that's where its prospects are. Well, this TV channel is a traditional communication channel.

If adidas want to sell its football shoes, maybe **Goal.com** is the right platform digitally to find prospects.

The major digital channels and by extension digital marketing avenues are,

1. Email\SMS\Push Notification Marketing
2. Search Engine Marketing
3. Search Engine Optimization
4. Display Advertisement
5. Social Media Marketing
6. Content Marketing
7. Affiliate Marketing

Don’t worry!
Let’s untangle each channel nice & slow.

1. Email\SMS\Push Notification Marketing

Email\SMS\Push Notification Marketing as the name suggests is sending Email, SMS, or Push notification to your prospects and customers.

These channels are used not only to sell products and services or announce new products but also to build a one-on-one relationship with the customer. These are the channels where you can directly communicate with the customer.

Types of Campaigns:

a. **Batch Email campaigns** (Sending one email to a large audience at a time e.g., new product announcement or a Newsletter)
b. **Personalized Email campaigns** (e.g., Birthday Mails)
c. **Trigger-based campaigns** (Automated campaigns that trigger when a user performs a particular set of actions e.g., an automated email can be sent to users who visit your products page twice in one day)

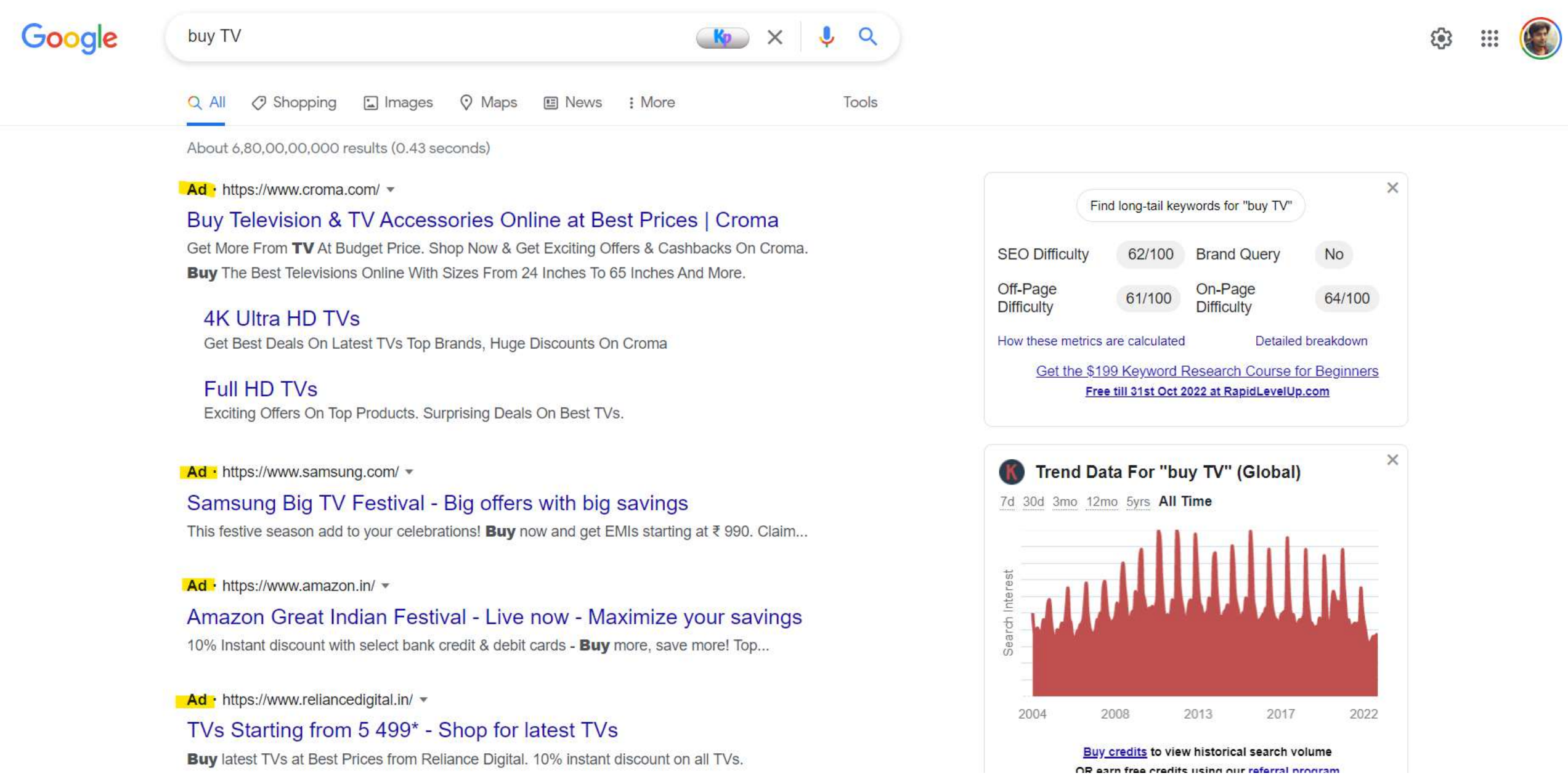
- **Important Metrics:** Open Rate, Click Rate, Hard Bounce, Soft Bounce, Delivery rate, Unsubscribe
- **Popular Tools:** *Hubspot, Marketo, MailerLite, MailChimp*

Interesting Read: What to learn from successful email frauds

2. Search Engine Marketing (SEM)

3.5 billion searches are made on **Google** every day. Chances are, a lot of these people are searching for things related to your products and services.
Search Engine Marketing is Marketing on that Search Engine result page.

As you can see above, The first result on the result page is labeled an Ad.
Also, on the right side, those cards are labeled as 'Sponsored'.
These are in fact advertisements run by the keyword "By TV".
You can see **Croma, Samsung, Amazon & Reliance** wrestling for the clicks.



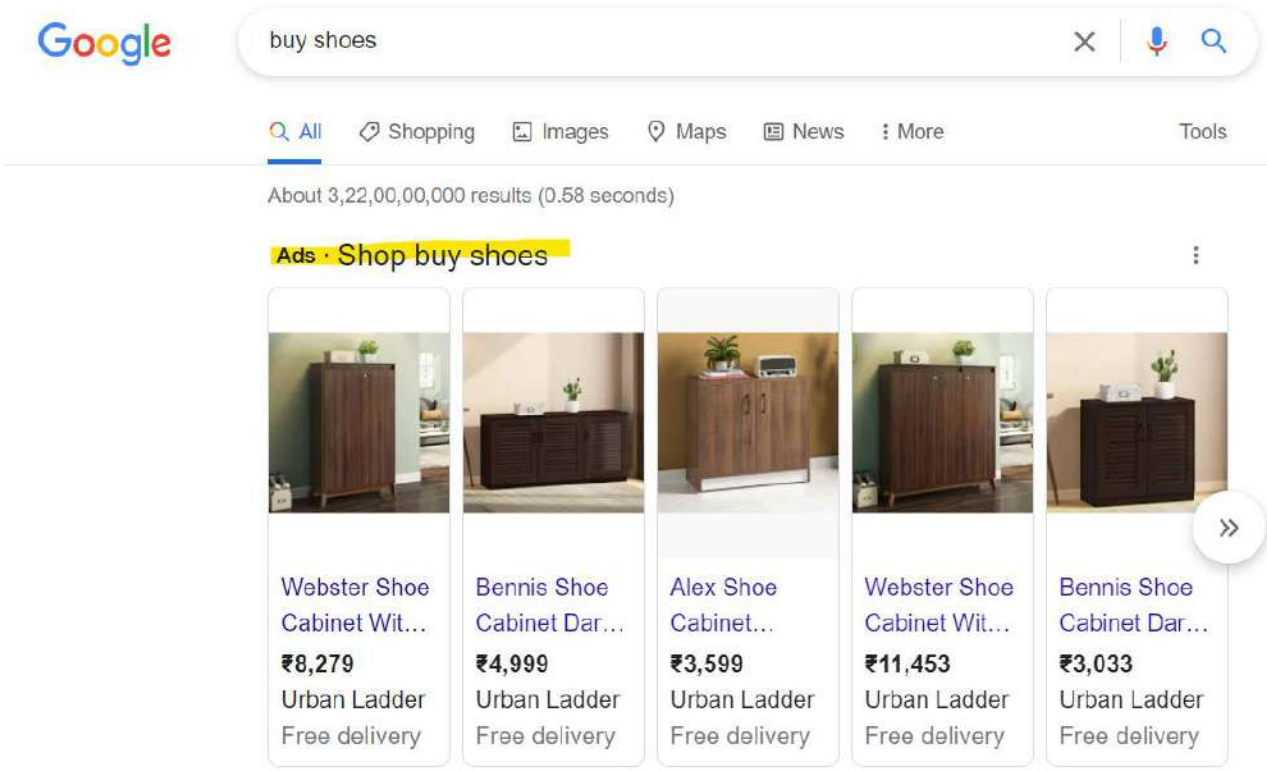
3. Search Engine Marketing (SEM) Campaign types:

1.Text Ads (Seen in previous page)
The first ad that you see above is a text ad. These ads contain a Headline field, description field and ad extensions.

2.Shopping Ads (Seen below)
These ads as you can see in the example above appear as cards with an image and price of the product giving better visibility to users on what the product is.

Important Metrics: Ad Impressions, Ad Impressions share, Reach, Click Through Rate, Cost per click

Popular Tools: *Google Ads, Bing Ads*



4. Search Engine Optimization (SEO)

93% of all online experiences begin with a Search engine and 75% of the users never reach the second page of search engines.
This makes it essential for brands to feature on the first search engine result (SERP) page for their keywords.

SEO is a science and art of getting your website to this first page. SEO is also one of the most dynamic areas of Digital Marketing as SERP is governed by Search engine algorithms that keep changing.

The general idea to follow is that search engines want users to find exactly what they are looking for when they search for something.

That means, as an SEO expert, you need to make sure you are ranking for the right keywords and your website and landing page experience is flawless.

SEO is largely divided into two parts;

1. On-site SEO

2. Off-site SEO

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On-Site SEO is optimizing elements on your website. These elements are *User Interface and User experience on your site, page loading of your website, mobile-friendliness, Sitemap, Keyword planting on your Headings, content, etc.,*

Off-Site SEO is governing how the *rest of the internet is talking about you* (if at all). If links to your website (also called backlinks) are found on numerous other websites (i.e., other people are referring to your content), Search engine see this as sign of authority. If many related websites are linking to you, you become the centerpiece of that field.

But SEO is not limited to getting on the first page. Once you get there, you need to maintain the space as hundreds of other websites are continuously trying to take your place.

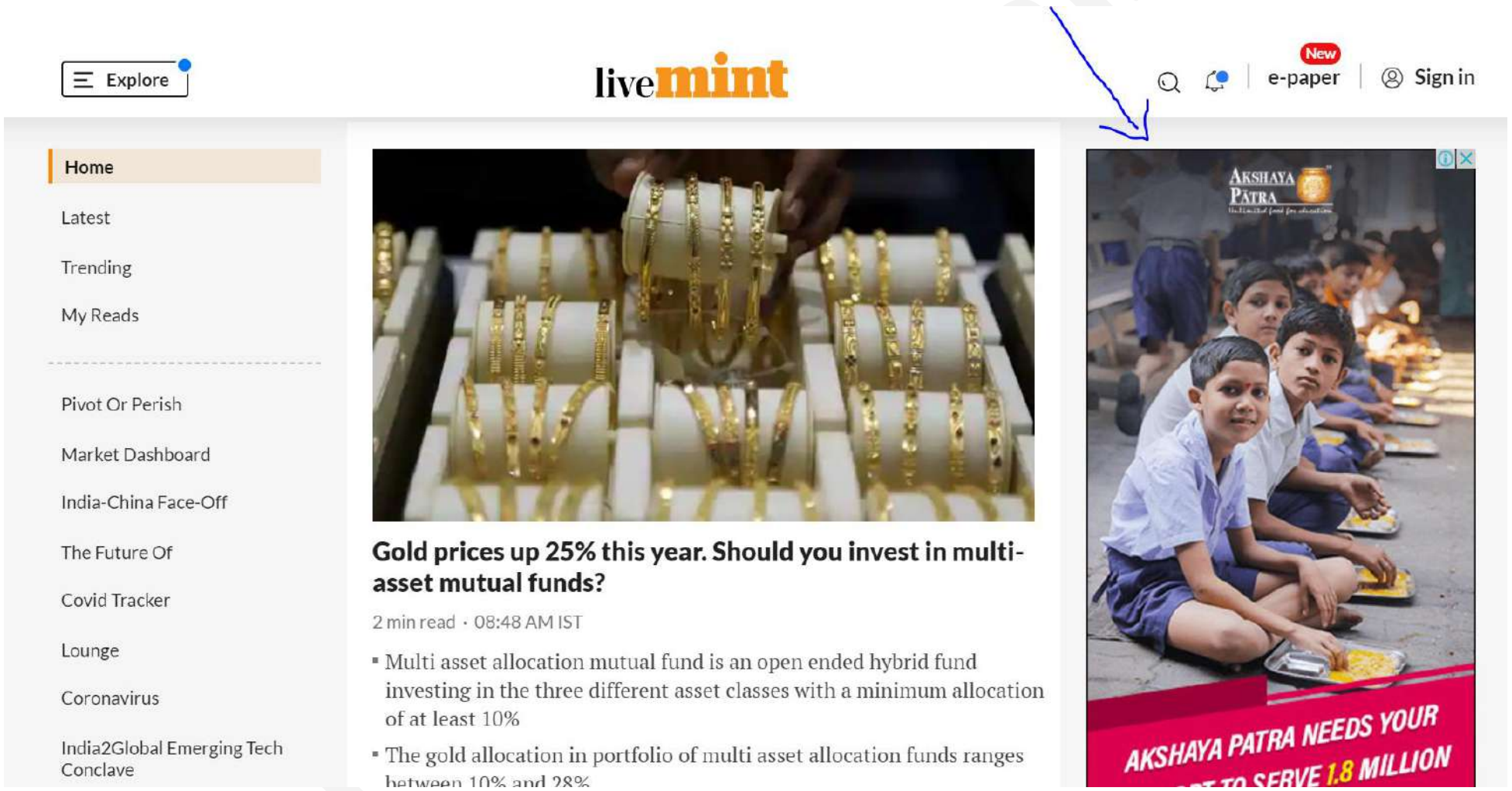
If your website appears first in the SERP and yet most users ignore you and click on the second or the third result (i.e., your Click-Through rate(CTR) is bad), Search engines will realize that when users enter this particular "search query", they are not looking to get to you. This will result in the degradation of your position on the SERP.

- **Important Metrics:** Organic Traffic, Page Rank, Bounce Rate, Page load speed, Exit Pages, Keywords ranked for, Indexed pages, crawl errors.
- **Popular Tools:** *Ahrefs, Moz, SEMrush, Search console, backlinko, etc.*

5. Display Advertisement:

Display advertisements are text, image, or video ads you see on various websites. *This is similar to an ad in newspapers.* Newspapers publish content you want to read, and they earn from the Ad revenue.

Similarly, Websites also publish content and earn from the Ad revenue by allocating certain spaces of their websites for Ads.



- **Important Metrics:** Impressions, Reach, Cost per Impressions/click (CPM or CPC), Engagement rate, Click Through Rate, Ad visibility
- **Popular Tools:** Google Ads, AdRoll

6. Social Media Marketing

>50% of the world's population is on Social media and Millennials on average spend about 158 minutes on Social media.

Social media marketing is creating content and advertisements on Social Media Platforms. Social Media platforms go beyond your basic Targeting options like Demography and Geography. They leverage the data, knowingly or unknowingly provided by you to create distinct behavior and event-based targeting options like “People who are likely to click on an ad for a Book” to “People who just got married or had a baby”.

These advanced targeting options in the hands of good Marketer results in massive optimization of Marketing budgets.

- **Types of Ads:** Link click, Video, Post boost, Multiproduct (carousel) ads, Dynamic product ads, etc

- **Important Metrics:** Engagement Rate, Impressions, Cost per lead, Reach, etc.

Popular Tools: *Facebook Ads, LinkedIn Ads, Twitter Ads, Buffer, Hootsuite*

7. Content Marketing:

Content Marketing is an **indirect form** of marketing your products and services. Marketers create and **publish blogs, videos, podcasts, and social media posts.**

*Content marketing serves **two** major purposes.*
First, it leverages owned media to inform prospects about your products and services. Second, it improves the overall SEO health of your web properties thereby increasing traffic and helps you achieve your Website goals.

50:30:20 is a general rule followed in the industry for Content Marketing. This rule states that 50% of your content should be only for the users (i.e., not at all promotion).

These could be helpful information and guides. 30% content should be soft sell (this could be explaining your product features) and 20% content should be a hard sell with a clear call to action (CTA).

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8. Affiliate Marketing:

Affiliate Marketing is when a brand leverages **Content creators' audiences** to sell their products.

These Content creators (e.g., YouTuber or a Blogger) get a commission when someone buys a product or a service using their referral.

Affiliate Marketing works on a fixed margin basis and in many ways is a no-loss strategy for Marketers (as you only incur a cost when a customer is acquired).

The challenge, however, is to maintain the brand safety.

Content creators who work as your affiliates are independent creators. *What they say on these public platforms is not in your control.* If these Content creators make an inappropriate statement (or a video/blog), it may have ripple effects on your brand.

Interesting Read: How Marketing Automation works

Key Principles of Digital Marketing

Now that you are versed in Digital channels, let's talk about some key principles of Digital Marketing.

Setting up SMART Marketing Goals

It is important to set up Goals for your Digital Marketing efforts as a whole and also at the individual platform and campaign level.

S: Specific
M: Measurable
A: Attainable
R: Relevant
T: Time-bound

An example of SMART goal for a Content creator would be,

Increase daily Website traffic by 20% within the next 30 days.

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2. Nail down the Targeting

Digital Marketing provides a varied range of Targeting options like Device targeting, Geofencing, Interest, Digital Behaviour, Language, Life events, etc.

Targeting impacts both your marketing budget and your conversion rates. Too broad and your Conversion rate decreases and spending increases. Too narrow and you miss out potential customers.

3. A/B Testing

Digital marketing takes a lot of guesswork out of Marketing.

If there isn’t enough data on what type of Communication strategy will work on what type of customer, you can run an A/B test on 10% of the audience and make data-driven decisions.

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4. Measure and Optimize

As soon as you push a Digital campaign live, you start seeing its performance data. This is helpful in two different ways.

First, it helps you optimize all your future campaigns. Second, it guides you on how to tweak the live campaign to get better results.

For instance, if you're running a campaign ahead of valentine's day for Women's bags and you've targeted both men and women and you see that Conversion rate amongst men is way lower than women, you can choose to target only women.

That way your budget is optimized and overall conversion rate increases.

5. Personalization

Many people prefer going to their local grocery store as they get personal treatment in that shop. The shopkeeper knows them and knows what they want. Personalization principles extend in the digital world as well.

This could be Demography, Geography, behavior-based personalization or can also be even granular, User-based personalization.

A snapshot of an Amazon Home page. It shows products based on our browsing behavior.

Market Planning
Analytics
CLOSED LOOP MARKETING CYCLE
Execution
Feedback

CLOSED-LOOP MARKETING:

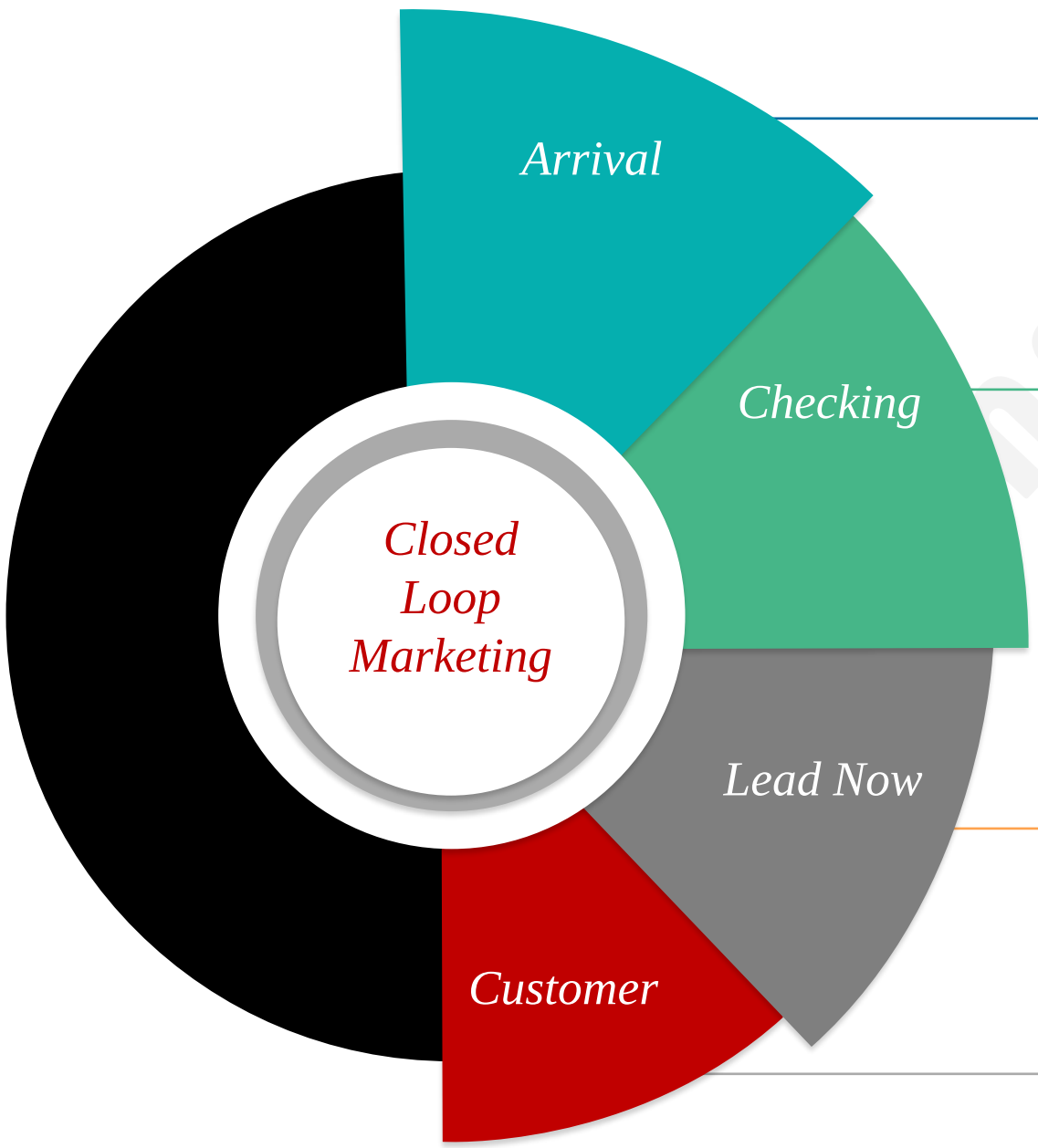
An effective technique of collecting and analyzing customer data from multiple channels.

Tracks a customer's entire lifecycle, thus closing the loop between sales, marketing and customer service efforts.

For instance, a potential customer visits a website that *installs a cookie.*

The *cookie registers the actions* that the customer performs.

Now the behavior of the user can be tracked to send them tailor-made offers.



Visitor arrives on your website & a Cookie is set

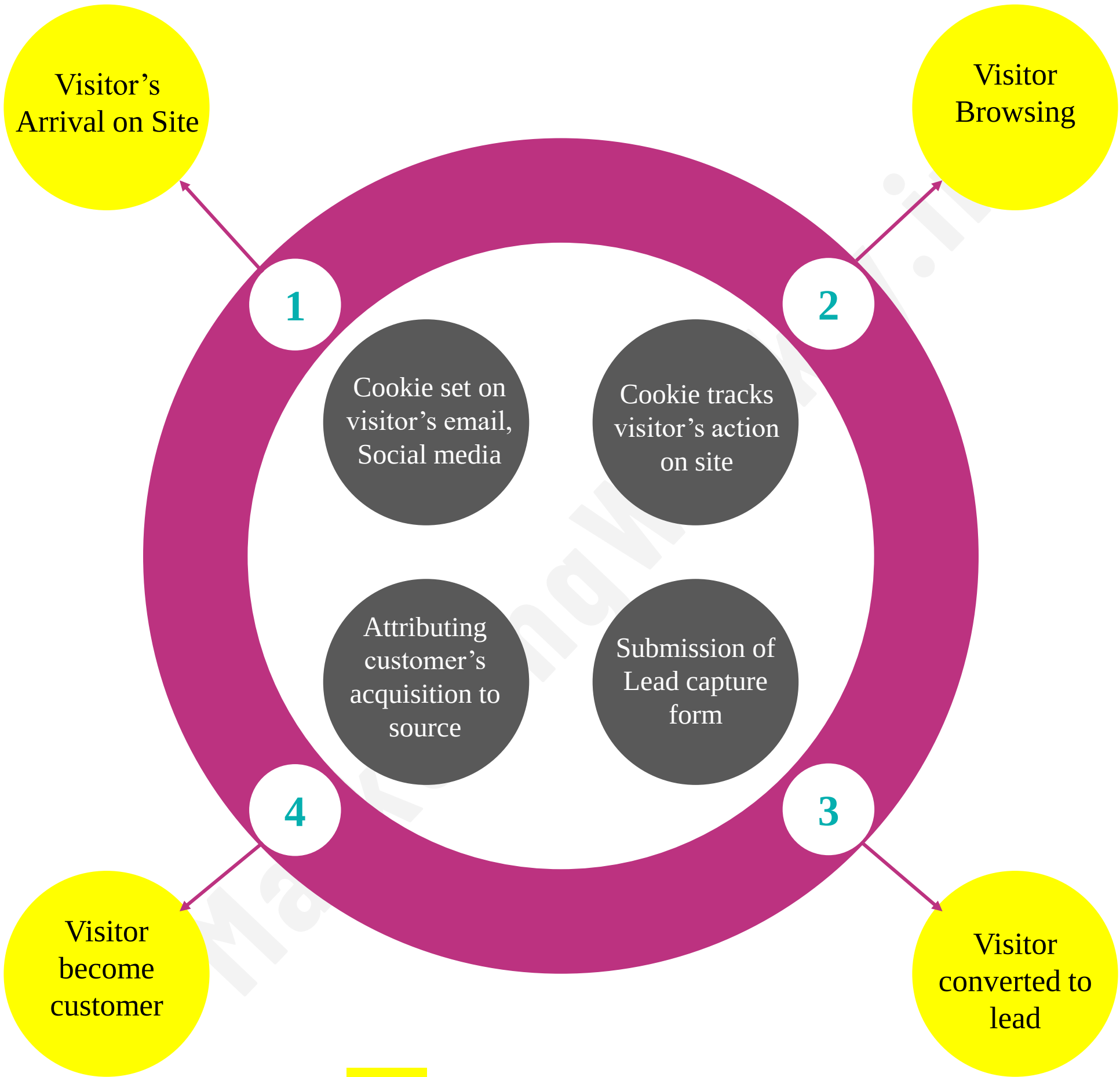
Visitor browses your website & Cookie Tracks the Visitor's actions

Visitor converts into a Lead

Lead becomes a Customer

To sum up, you drop a cookie on a visitor, follow them around on their journey, and get a pretty picture of the process of becoming a customer.

Visualizing Closed-Loop Marketing:

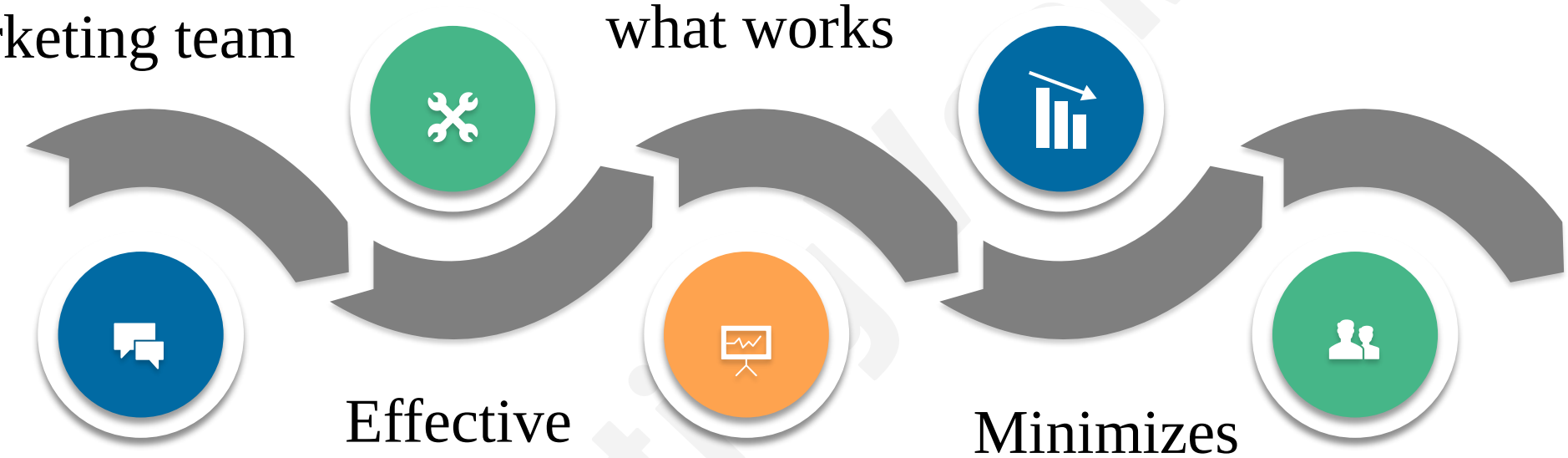


Why to do closed-loop marketing?

Effective connection between sales and marketing team

Focus marketing budget on what works

Learn more about target audience.



Effective lead management

Minimizes the cost

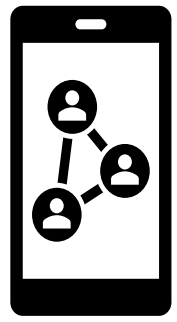
MarketingWeekly.in

E-commerce

BUY
ONLINE SHOPPING
CARD RECEIPT
ORANGE JUICE
FISH
WHITE POTATO
TOMATO
APPLES
TOTAL
THANK YOU!
0000 0000 0000 0000
YOUR NAME

What is E-commerce?

E-commerce, also known as electronic commerce or internet commerce, refers to the buying and selling of goods or services using the internet, and the transfer of money and data to execute these transactions.



E-commerce has now become so ubiquitous that one can say that almost everyone on the planet with an internet connection has derived some benefit from an e-commerce service. Amazon, Flipkart, Swiggy and Zomato are household names now.

E-commerce sales are poised to reach $10 trillion globally. Nasdaq has predicted that by 2040, as much as 95% of shopping will be facilitated by E-commerce. We got a glimpse of this during the lockdown, when e-commerce helped the population buy essential things when traditional market shut down. Given this explosive growth and approaching dominance of the electronic mode of commerce, it becomes essential for businesses to leverage the offerings at hand and drive growth.

Interesting Read: Helping Brick and Mortar store set up online shop

E-commerce Vs. E-Business

To leverage E-commerce, we must first understand it. *E-commerce is different from E-business. While E-business refers to all the aspects of operating a business online, while e-commerce refers to the transaction of goods and service.* The first thought for any business wanting to embrace the digital must be whether to become an e-business or leverage e-commerce to grow.

Once that decision is made, we must look at all the e-commerce offerings available. *It is a common misconception to think of e-commerce as nothing but what Amazon and Flipkart does.*

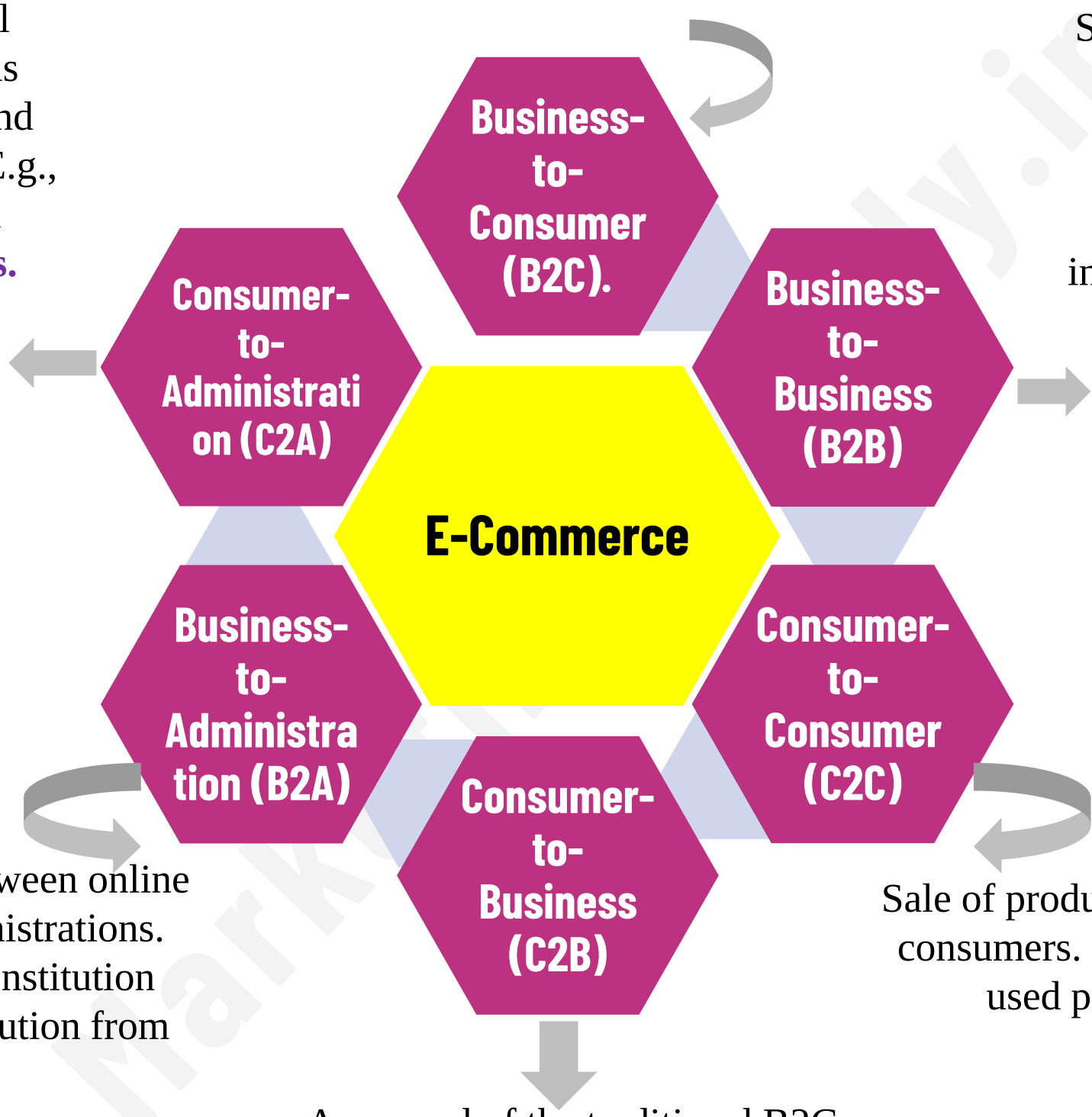
But there is a multiple offerings of offerings apart from these online marketplaces. Zomato, UrbanCompany, 1MG, Razorpay, Shopify, OLX, Policy Bazaar, MakeMyTrip and MyJio are all e-commerce offerings.

Whenever we are transacting digitally, we are utilizing e-commerce, and this digital transaction makes a host of functions and customer bases available to businesses.

MODELS OF E-COMMERCE

Transactions that happen between a business and a consumer. E.g., Buying shoes for personal use from a retailer on **Amazon**.

C2A encompasses all electronic transactions between individuals and public administration. E.g., Filing tax returns on **Government portals.**



Sales made between two businesses, such as a manufacturer and a wholesaler. E.g., A shopkeeper buying his inventory of smartphones in bulk from **Udaan**

Transactions made between online businesses and administrations. E.g., A government Institution buying a software solution from **Accela.**

Sale of products or services between consumers. E.g., Buying or selling used products on **OLX**.

A reversal of the traditional B2C model, here businesses buy goods and services from individual consumers. E.g., **iStockPhoto**, where photographers make their work available for sale.

E-COMMERCE TIMELINE

1969- The first major ecommerce company, CompuServe, is founded.

1979-Michael Aldrich invents electronic shopping.

1982-Boston Computer Exchange launches as one of the first ecommerce platforms.

1992-Book Stacks Unlimited launches as one of the first online marketplaces for books.

1994-Netscape launches Netscape Navigator, an early web browser, making it easier for users to browse online.

1995- Amazon and eBay launch.

1998- PayPal launches as an online payment system.

1999- Alibaba.com launches.

2000- Google launches AdWords as an online search advertising tool.

2005- Amazon launches Amazon Prime with expedited, flat-fee shipping for members.

2005- Esty, an online marketplace for handmade and vintage goods launches.

2009- BigCommerce launches as an online storefront platform.

2009- Square, Inc. is founded.

2011-Google Wallet launches as an online payment system.

2011-Facebook launches sponsored stories as a form of early advertising.

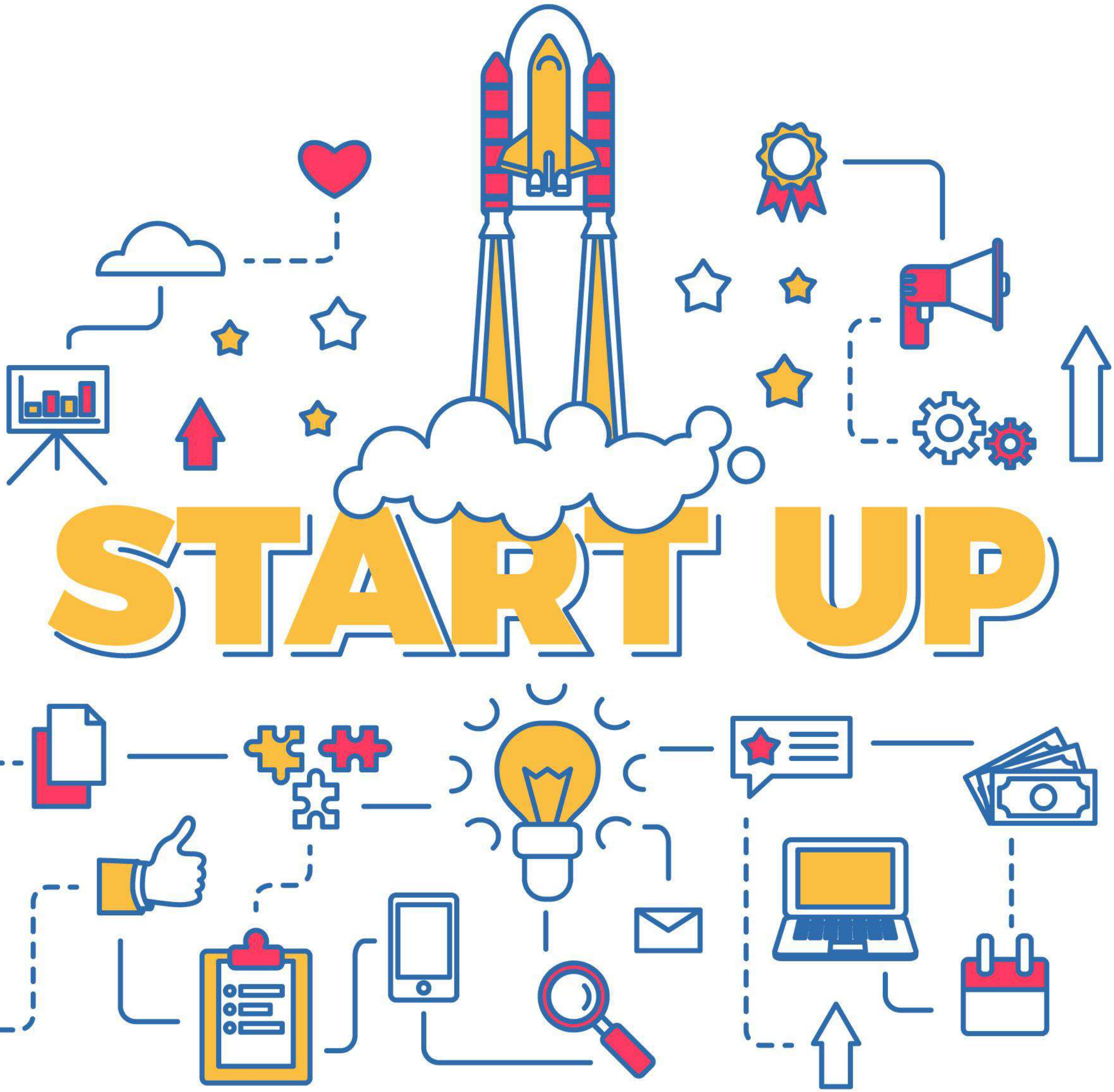
2011-Stripe launches.

2014-Apple Pay launches as a form of mobile payment.

2017 - Instagram shoppable posts are introduced.

2020- Coronavirus Pandemic made e-commerce indispensable

MarketingWeekly.in


START UP

What is a startup?

A startup is a business idea converted into a prototype on generally a small scale by one or more entrepreneurs in order to provide an innovative product, service, or a better solution to an existing problem.

These business entities are generally motivated by the problems of the end-users or in order to ease a task for the customers.

Funding for such startups can be gathered from personal investments, or angel investors, seed capital, etc. As it is taking its baby steps, it is in constant requirement of funding, new marketing campaigns, and strategies in order to increase its brand identity.

One of the biggest challenges faced by startups is making the services and/or products offered the familiar in the marketplace and build trust among customers.

Usually, people perceive startups to be a risky investment as they have a higher probability of failure as compared to a grown business unit. But this is not true from the perspective of an angel investor, and these are the people who stand with such young entrepreneurs to promote their startups.

It is also evident that the founders in the startup ecosystem generally tend to do a lot of stuff themselves in order to reduce the human resource expenditure.

The people engaged in a startup have to cater to different areas like ideation, product development, business value proposition, marketing business strategies, campaign management, social media marketing, analytics for the response on the campaigns, and other interactive mediums so as to connect with potential investors or customers.

Generally, the core team involved in a startup are closely related or connected to each other either through the place of study, stay, or work.

Interesting Read: [The Story of TikTok]

HOW TO
START A START-UP

live in the future,
ahead of your time

what is missing
in the world?

write it down
and bounce
ideas around

make a
prototype

show the prototype
to 100 people

launch - let
everyone know you
have made something

look for **funding**
and build version
one at the same time

register your C-corp,
split **equity**

find a **co-founder**

iterate on the prototype
until it makes sense

follow up with
users. Are they
coming back?

yes, they are
coming back

no, they came
and left

1,000

get to 1,000 **users**

launch again (after iterating)
launch until users
stay (AirBnB launched 3 times)

grow 5% a week
(hard, but proven
possible)

2018

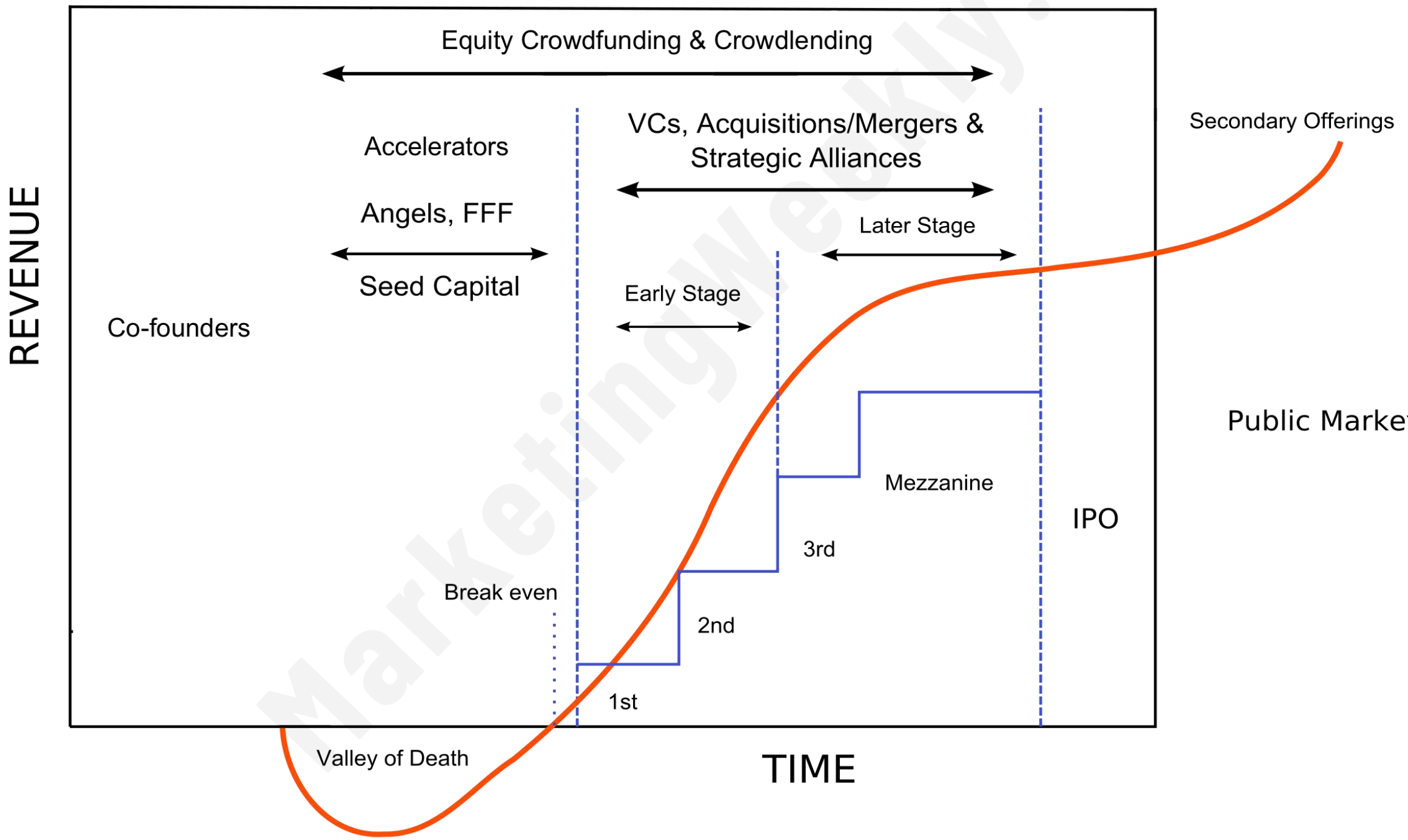
keep growing
for another 4 years,
and at that rate you
will reach
25 million users

SUCCESS

Funders and Founders

Source: https://notes.fundersandfounders.com/

Startup Financing Cycle

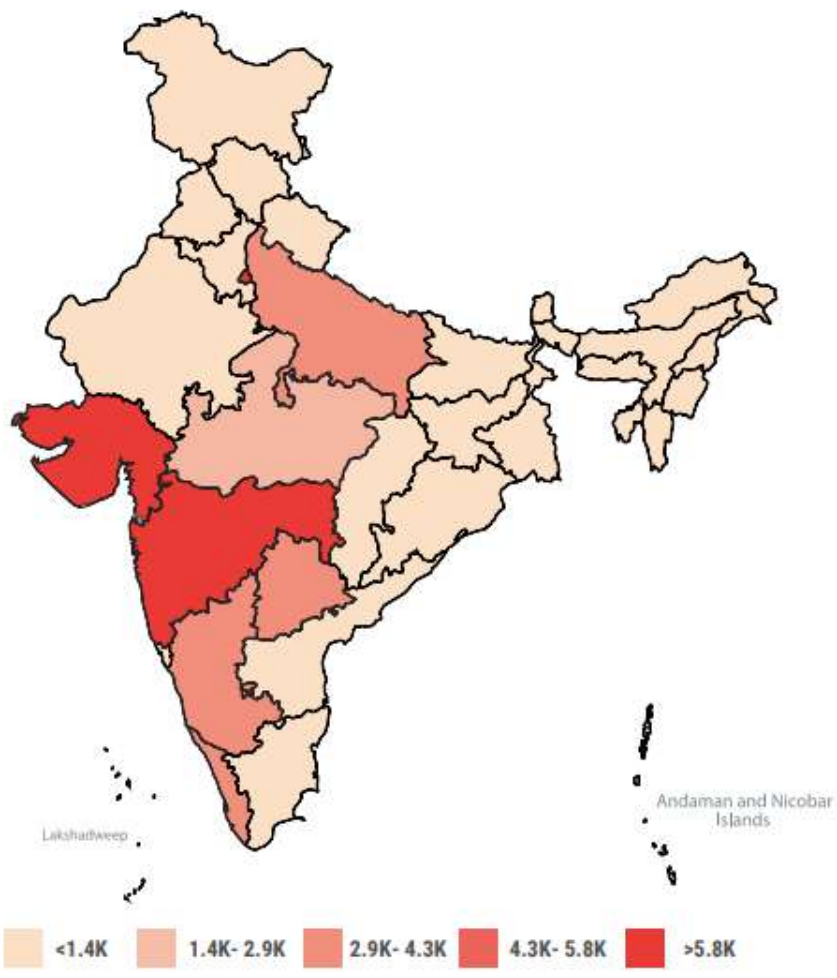


Source: Venture Capitalist

Startup Ecosystem of India - 2022

Comparing Indian Start-up Ecosystem with China & USA

Total Funding (2014 to 2021)	$112 Bn	$624 Bn	$1.1 Tn
Funding CAGR (2014 to 2021)	49%	12%	33%
Internet Penetration (2021)	61%	73%	90%
Total Internet Users (2021)	846 Mn	1.03 Bn	302 Mn



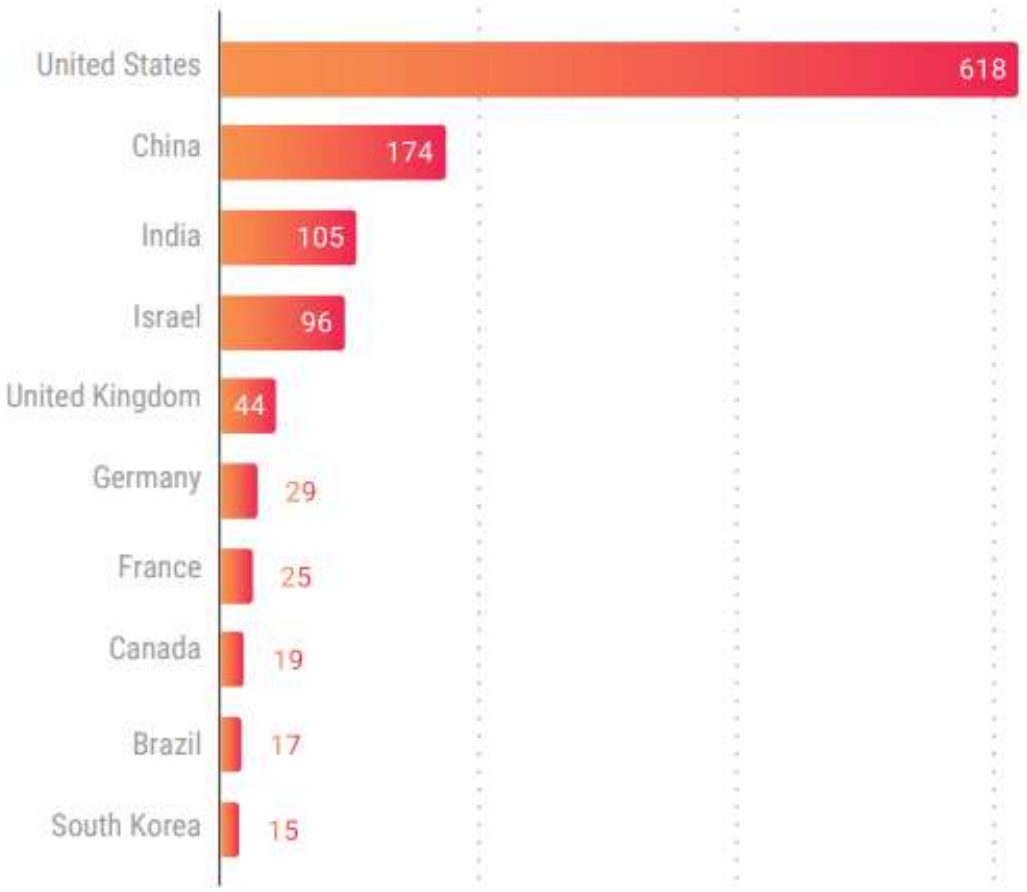
Top Performing Indian States & UTs In Terms Of Local Startup Ecosystem Development

	Total Number Of Startups	Total Funding (2014 & H1 2022)
Karnataka	4K+	$62 Bn
Delhi NCR	6.5K+	$39 Bn
Maharashtra	12K+	$20 Bn
Tamil Nadu	2.7K+	$4 Bn
Telangana	3K+	$2.5 Bn
Gujarat	216+	$816 Mn
Rajasthan	315+	$1.1 Bn
West Bengal	125+	$153 Mn
Kerala	$3.1K+	$93 Mn
Chandigarh	400+	$75 Mn

Source: Inc42

Indian Unicorn Racing past major economies:

India In Global Unicorn Race: India Minting Unicorns Faster Than China



- 3rd highest number of unicorns in the world
- 71% 5-year-CAGR (2016 to 2021) of new unicorn count in India

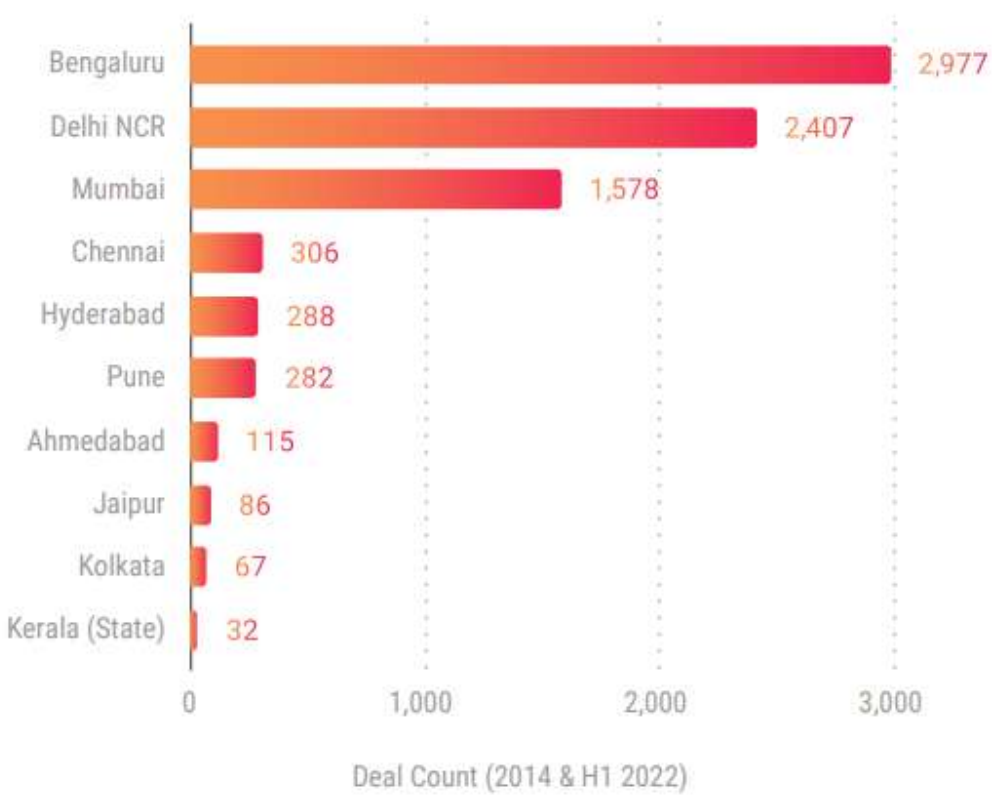
Source: Inc42

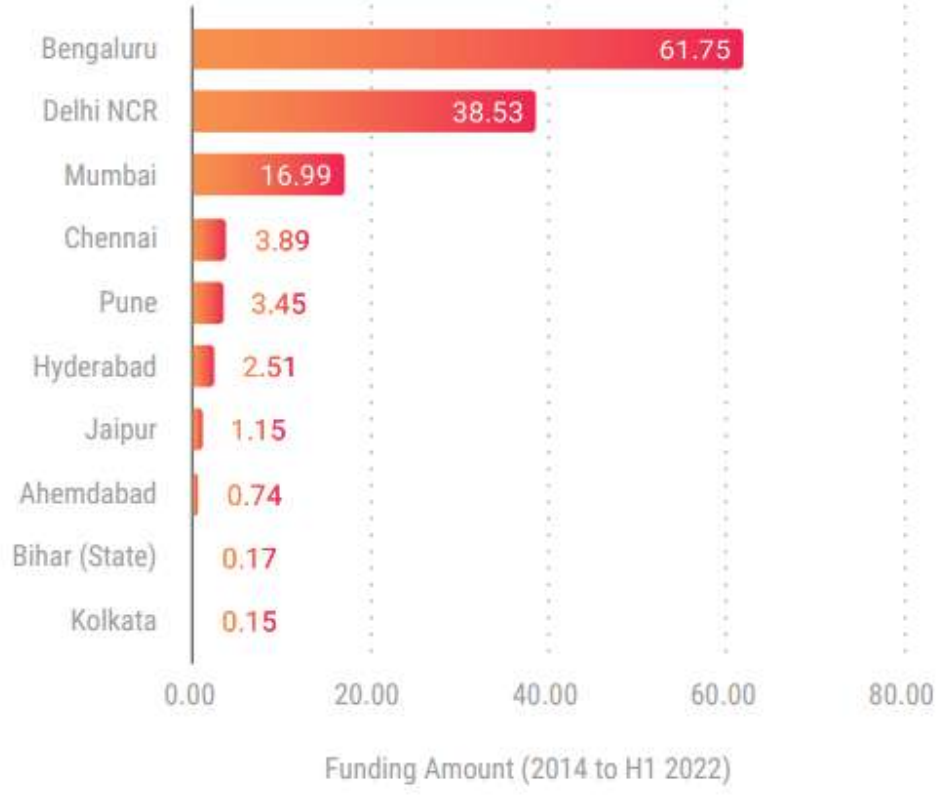
Top Startups

Top 10 Most Funded Startups In India

Startup Name	Total Funding Amount	Notable Investors
Flipkart	$13 Bn	SoftBank, TIGERGLOBAL, Accel, Walmart
BYJU'S	$5.5 Bn	SEQUOIA, GENERAL ATLANTIC, DST GLOBAL, Chan Zuckerberg Initiative
OLA	$5 Bn	TIGERGLOBAL, SoftBank, TEMASEK, Tencent
OYO	$4 Bn	SoftBank, SEQUOIA, Lightspeed, airbnb
ReNew POWER	$3.6 Bn	Goldman Sachs, ADB ASIAN DEVELOPMENT BANK, ADIA, CPP Investments
SWIGGY	$3.6 Bn	SoftBank, ELEVATION, Bessemer Venture Partners, Accel
zomato	$2.5 Bn	SEQUOIA, TIGERGLOBAL, TEMASEK, 蚂蚁集团 ANT GROUP
paytm	$4.8 Bn	SoftBank, T.RowePrice, 蚂蚁集团 ANT GROUP, SAPPHIRE VENTURES
DREAM SPORTS	$1.6 Bn	TPG, TIGERGLOBAL, Tencent
PhonePe	$1.7 Bn	TIGERGLOBAL, Walmart, Flipkart, Tencent

Top Startup Hubs In India



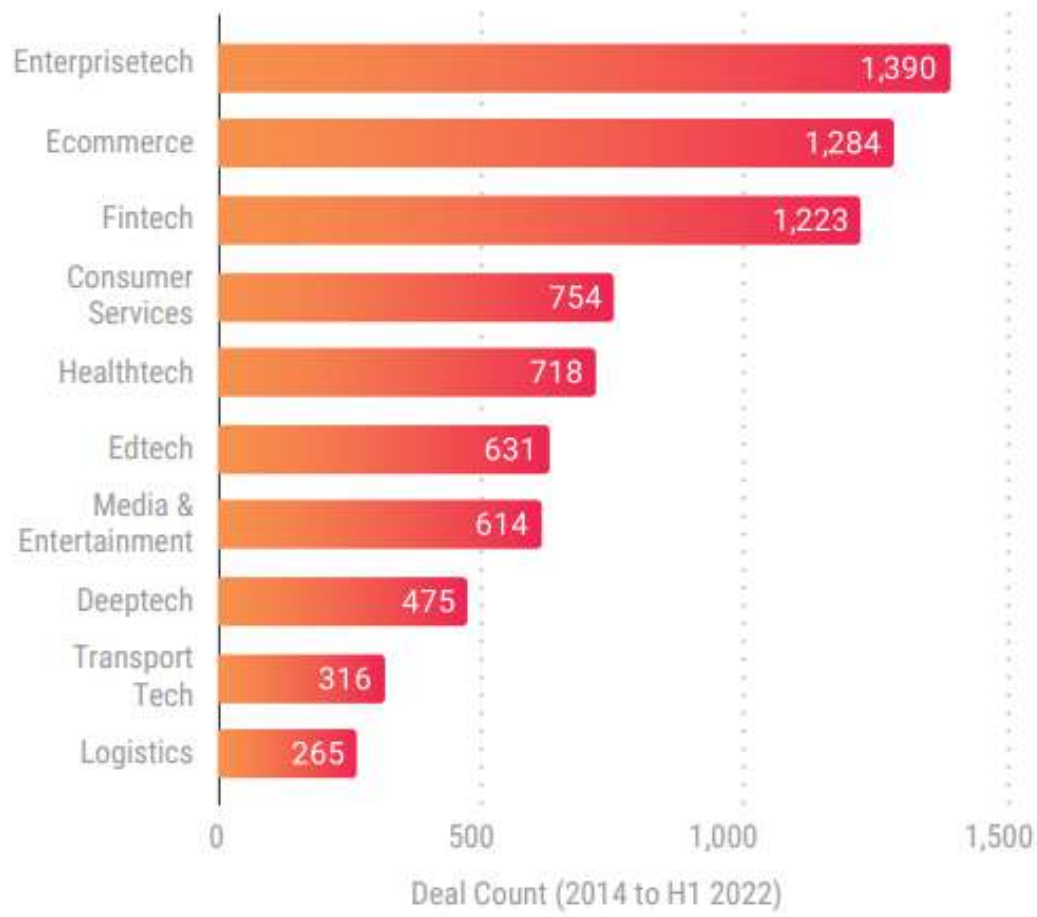


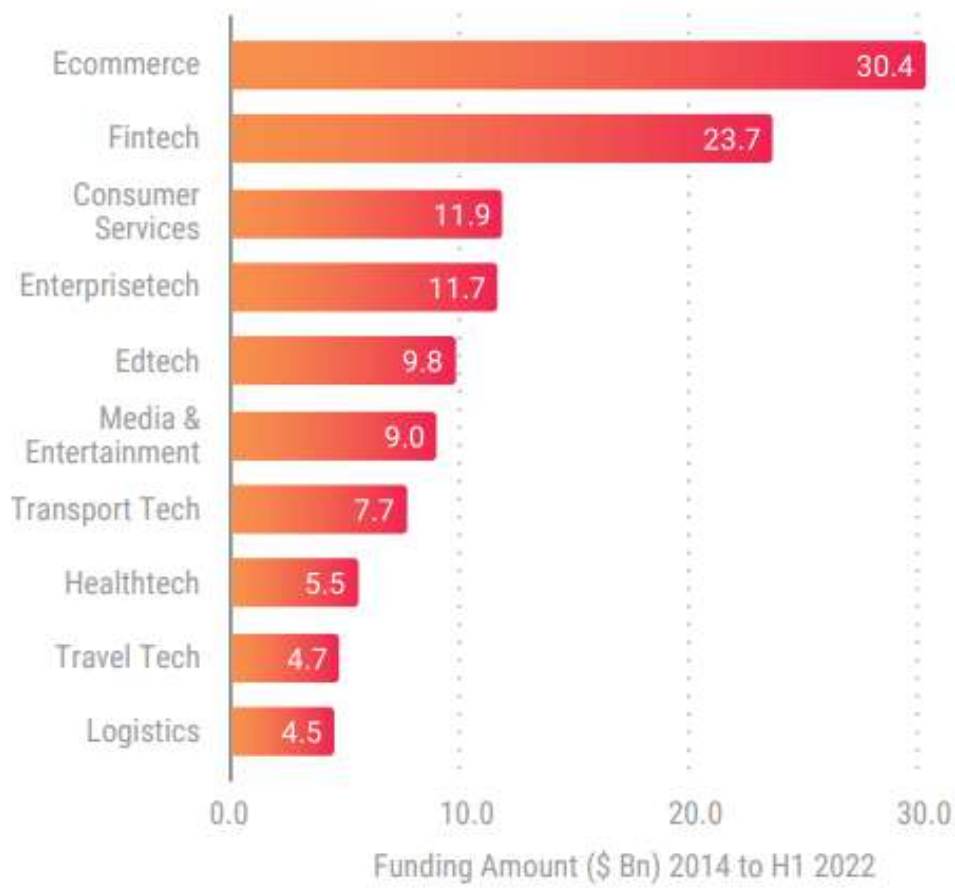
Source: Inc42

Indian Startup Ecosystem: Sector Landscape

Enterprisetech	Ecommerce	Fintech	Consumer Services	Healthtech	Edtech	Media & Entertainment	Deeptech	Transport tech	Logistics	Agritech
ZOHO	Flipkart	paytm	zomato	practo	BYJU'S	GAMES 24 7	polygon	OLA	DELHIVERY	DeHaat
freshworks	NYKAA	PhonePe	SWIGGY	HealthifyMe	upGrad	DREAM SPORTS	GreyOrange	ATHER	XPRESSBEES	ninjacart
uniphore	purple	policybazaar	bookmyshow	PharmEasy	LEAD	MPL	MIKO	BLU	RIVIGO	waycool
POSTMAN	bigbasket	slice	DUNZO	cure.fit	unacademy	MXPLAYER	pixxel	rapido	BLACKBUCK	Cropin
gupshup	CARS24	ZERODHA	BOX8	innovaccer	ERUDITUS	ShareChat	AGNIKUL	BOUNCE	PORTER	Otipy
amagi	udaan	Groww	magicpin	Pristyn Care	PHYSICS WALLAH	inshorts	smartron	Zoomcar	Ecom Express	stellapps
BrowserStack	meesho	digit	REBEL FOODS	TATA 1mg	SCALER	Nazara	INSTAOAPP	Ultraviolette Automotive	LOGINEXT	Gramophone
INMOBI	snapdeal	zeta	Urban Company	netmeds	cuemath	Chingari	IdeaForge	drivezy	Shiprocket	ecozen
druva	indiamart	MobiKwik	blinkit	CARESTACK	adda247	Koo	element5	revv	pidge	BIJAK
Chargebee	SUGAR	M2P	zepto	Suki	leverage edu	VERSE	DIGANTARA	PARK+	Pickrr	

Top Sectors In The Indian Startup Ecosystem





Source: Inc42

Key Policy Changes that lead to disruption:

Fintech In India: Regulatory Framework

Key Regulations Which Disrupted The Sector

2016: Demonetisation acted as a change catalyst, ushering in a less-cash economy.

2017: The launch of UPI by the NPCI democratised the payment sector.

2020: A proposal was made to set up a for-profit, pan-India new umbrella entity/entities (NEU) for retail payment. The system would be similar to UPI.

Key regulatory bodies monitoring the fintech

RBI

SEBI

IRDAI

NPCI

Ministry Of Electronics and Information Technology (MeitY)

Recent Announcements Impacting The Fintech Sector

April 2022 - Master Direction – Debit and Credit Card – Issuance & Conduct Directions, 2022 impacting NBFCs eyeing the credit card segment, co-branded cards

June 2022 - PPI-MD not permiting loading of PPI from credit line impacting online wallets, BNPL players offering credit

July 2022 - A 30% tax imposed on income from crypto and 1% TDS to be deducted on crypto asset transactions

Applicable Policies, Laws and Regulations

Payment And Settlement Systems Act, 2007	Principal legislation, governing payment regulation in India
Master Directions on Prepaid Payment Instruments (PPIs), 2017	Determines lender exposure norms and borrowing limits of P2P lending platforms
Reserve Bank of India Act, 1934	To be followed by NBFCs
Banking Regulation Act, 1949, Section 22	To be followed by payments banks
2009 EPT (Electronic Payment Transactions) Directions under Section 18 of the Payment & Settlement Systems Act	Safeguards the interests of customers and merchants against payments made online

Policies that changed eCommerce in India

2010 Department for Promotion of Industry and Internal Trade (DIPP) released a consolidated FDI policy.

2012 No FDI allowed in B2C ecommerce, including multi-brand and single-brand retail trading (MBRT and SBRT).

2015 DIPP permitted FDI in e-commerce for SBRT entities, which operated through physical stores in India.

2016 Ecommerce platforms were restricted from influencing the price of goods and services in order to curb deep discounts. Also, single-vendor sales were capped at 25% across marketplaces

2018 Ecommerce platforms were barred from selling the products of companies in which they or their group companies had an equity stake. Also, merchants could not sell their products exclusively on a single platform.

2019
- The government announced setting up a committee under the Department for Promotion of Industry and Internal Trade (DPIIT) to look into issues related to FDI in e-commerce and provide suggestions.
- FDI rules relaxed, and SBRT entities were allowed to set up physical stores within two years of commencing online retail.
- Ecommerce players joined hands to launch their own trade association called The Ecommerce Council of India.
- DPIIT issued the Draft National e-Commerce Policy; Yet to be finalised

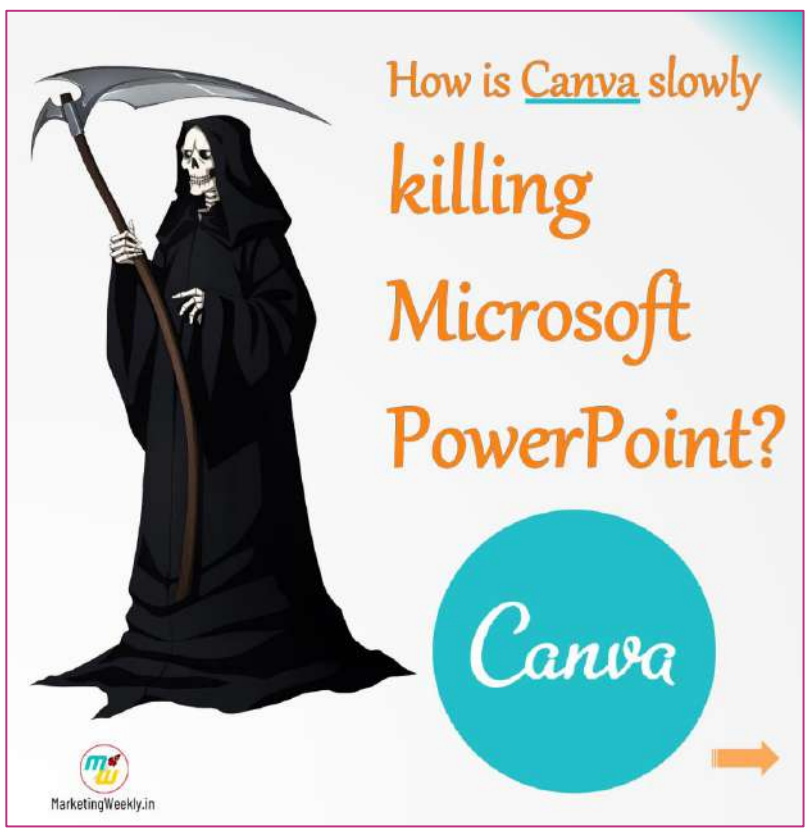
2020
- Delhi High Court ordered to display the 'country of origin' tag for products listed on ecommerce websites.
- Central Government notified the Consumer Protection (E-Commerce) Rules, 2020 with effect from 23 July 2020

2021 Government released draft* of the proposed amendments to the Consumer Protection (E-commerce) Rules, 2020; Yet to be finalised

2022 Open Network for Digital Commerce (ONDC) – an upcoming initiative aiming at promoting open networks for all aspects of exchange of goods and services over digital platforms

Source: Inc42

Some hand-picked articles for suggested readings:



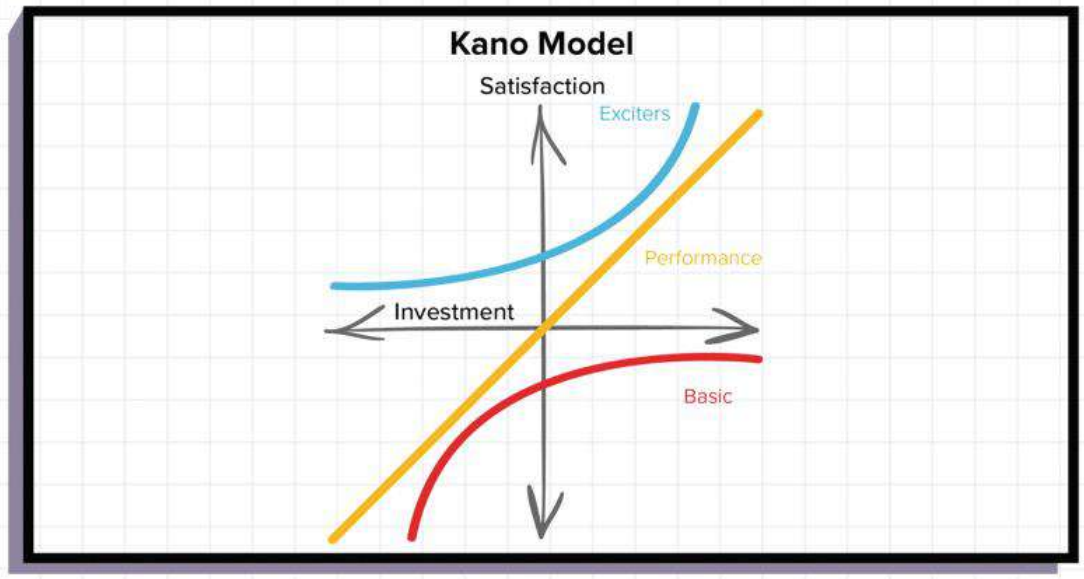
Some hand-picked articles for suggested readings:

What is an FCB Model?

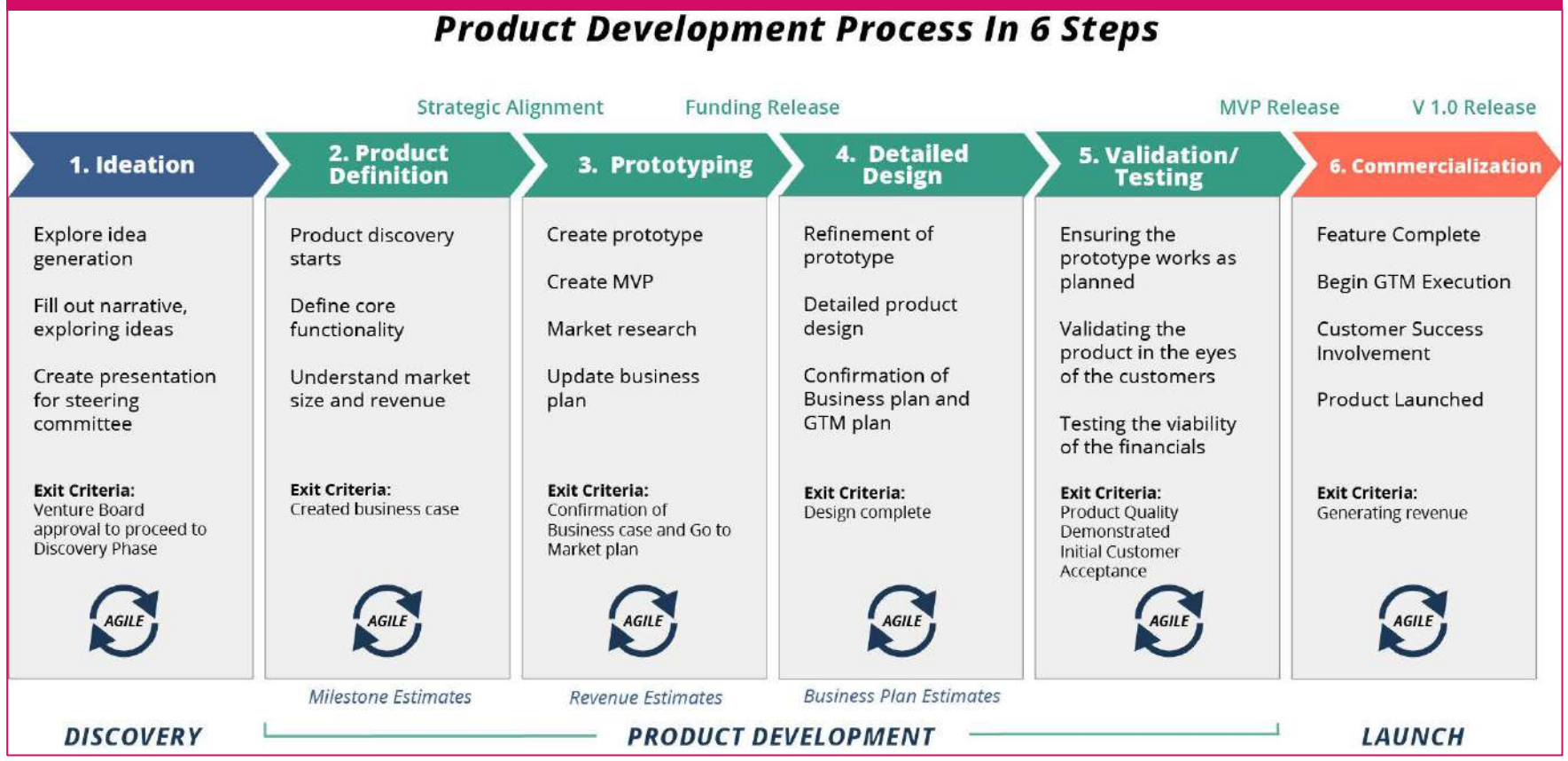
Why is it important for your Advertising Strategy?

What is a KANO Model?

Why is it so important in Product Management?



What is New Product Development?

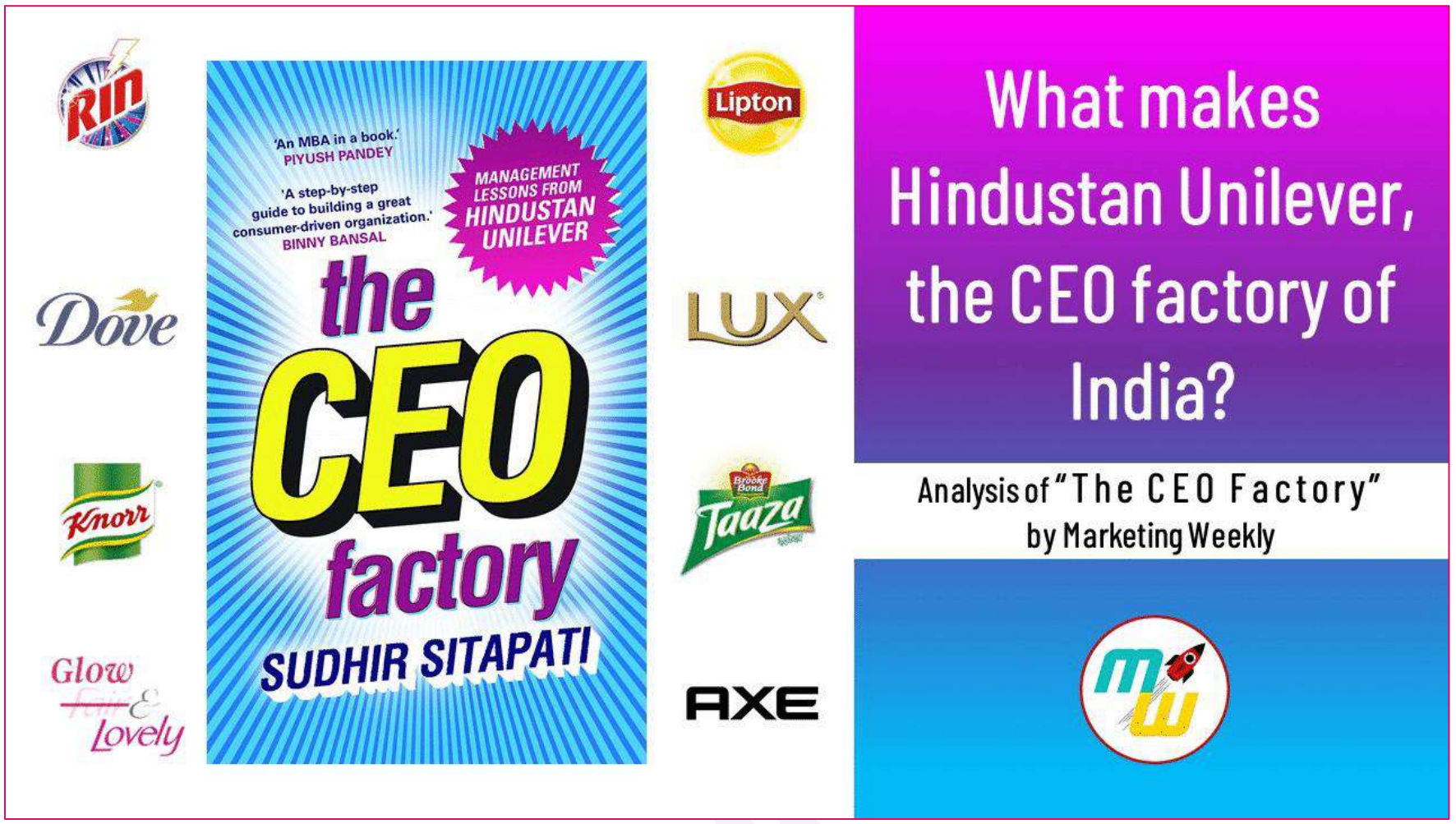


Some hand-picked articles for suggested readings:

How Podcast advertising is being done?

Why Starbucks failed in Australia?

Some hand-picked articles for suggested readings:



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